



Strides for Multifaceted Growth

Arpico Insurance PLC
Annual Report
2022

Strides for Multifaceted Growth

Journeying on with a decade of market presence in the life insurance sphere, Arpico Insurance PLC has moved ahead with purposeful strides toward business resilience, stability, and growth. Over the years we have focused on providing a full spectrum of insurance products and services with a range of benefits to enrich the lives of all Sri Lankans.

Strengthened by the backing of our parent company the Richard Peiris Group, is a trusted conglomerate, we are resolute and confident of scaling our business further with strides toward multifaceted growth. We remain committed to delivering collective value for all our stakeholders.



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ABOUT THE REPORT

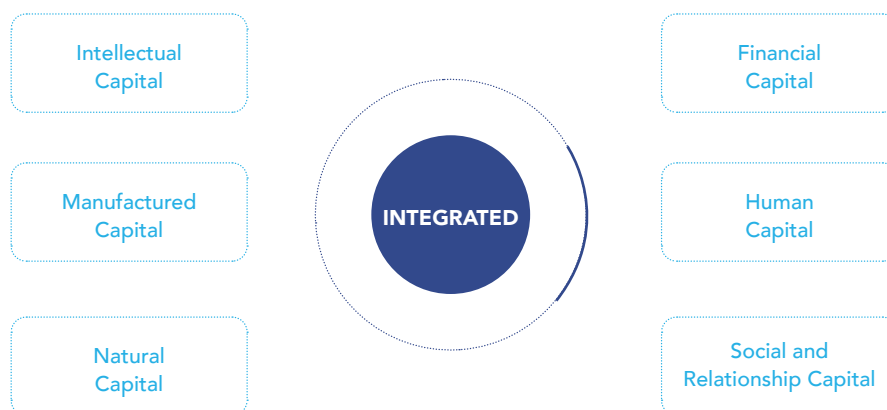
Arpico Insurance PLC strives to incorporate the principle of integrated thinking into its operational procedures and reporting processes. This annual report, based on the International Integrated Reporting Framework (IIRC) is our primary report to our investors, containing information relevant to value created for our stakeholders as well as Arpico Insurance's strategic, operational, and financial progress for the financial year 2022. Our integrated annual report is intended to provide all stakeholders with a comprehensive overview of how the business manages aspects that have a material impact on value generation for stakeholders.

AN INTEGRATED APPROACH

The decision to implement the Integrated Reporting Framework in 2021, aligned with the company's 10th anniversary, provides a timely opportunity to strengthen best practices in both reporting and value creation.

In accordance with the IR principles, we incorporated the six capitals listed below in our report. The annual report now enables stakeholders to obtain an integrated and holistic view of operations and management of both financial capital and non-financial capitals, which include human, intellectual, social and relationship, natural and manufactured capitals.

The 2022 integrated report titled "Strides for Multifaceted Growth," contains information comparable to our previous year's report. However, where necessary, changes have been made to enhance value to our stakeholders.



SCOPE OF THE REPORT

In the context of our operating environment, we aim to provide shareholders with a concise yet adequately informed view of the Company's strategy, governance, performance and prospects. The report presents financial and non-financial information and a capital management report, providing the overall annual progress of the company.

The information presented within the annual report covers the company's annual reporting cycle, which lasted from 1st January to 31st December 2022. Unless specifically stated, information presented in this report in relation to the previous year has not been re-stated.

NON-FINANCIAL INFORMATION

The term "non-financial" refers to those factors that, while not having an immediate effect on our financial performance, have a long-term financial impact. It also aims to provide a concise and balanced account of our business model, strategic objectives, outlooks, risk management, opportunities and corporate governance, all of which are fundamental elements in eliciting sustainable value for our stakeholders.

FINANCIAL INFORMATION

In demonstrating the company's ability to create financial value for its shareholders and investors, the annual report provides detailed and structured financial statements,

as well as disclosures. All financial reporting complies with relevant regulatory frameworks and accounting standards.

MATERIALITY

This report provides context to what we deem to be our material matters; those matters with the ability to significantly influence value creation over the short, medium and long term. We have identified such matters by determining stakeholder interests through means of various stakeholder engagements in addition to board and management discussions. Furthermore, risk assessments, internal controls and governance procedures also enable recognizing material matters.

How we apply the concept of materiality is detailed in page 20 of this Annual Report.

INTEGRITY AND INCLUSIVITY

The annual report depicts accurate and precise information based on extensive gathering of both qualitative and quantitative information. Information and statistics are presented in a structured and concise manner, while using analytical tools to present factual information in a graphical manner.

All non-financial and financial information have been vetted by the company's top management and relevant department heads.

ABOUT THE REPORT

EXTERNAL ASSURANCE

Financial information and audited financial statements have been audited by the independent auditors Messrs Ernst & Young, while an independent actuary, Actuarial Partners Consulting Sdn. Bhd valuated life fund and liability adequacy.

FRAMEWORKS APPLIED

The following frameworks are adopted by the Company, adopting best practices in financial reporting, governance and sustainability.



FINANCIAL REPORTING

- Companies Act No. 07 of 2007
- Sri Lanka Accounting Standards (LKAS and SLFRS)
- Rules, regulations, directives, and circulars of the Insurance Regulatory Commission of Sri Lanka (IRCSL)
- Insurance Industry Act.No.43 of 2000 and subsequent amendments



GOVERNANCE

- Code of Best Practice on Corporate Governance issued by the ICA Sri Lanka (Voluntary)
- Corporate Governance Framework by Insurance Regulatory Commission of Sri Lanka (IRCSL)
- Companies Act No.07 of 2007
- Listing Rules of the Colombo Stock Exchange



SUSTAINABILITY

- Sustainability Development Goals - United Nations (Voluntary)
- GRI Standards published by the Global Reporting Initiative



INTEGRATED REPORTING (VOLUNTARY)

- International Integrated Reporting Council (IIRC)
- Handbook on Integrated Corporate Reporting by the ICA Sri Lanka

DISCLAIMER ON FORWARD LOOKING STATEMENTS.

The Arpico Insurance annual report includes forward looking statements, which discusses the possible future financial position and results of the company's operations. These statements however involve an element of risk and uncertainty. We do not undertake to update or revise these statements publicly in the event of a change of circumstances.

STATEMENT OF THE BOARD OF DIRECTORS RESPONSIBILITY ON THE INTEGRATED ANNUAL REPORT

The board hereby assures the integrity of information presented in the company's second integrated annual report. The board also affirms the report's reliability and completeness in depicting material matters that are necessary for a complete understanding of the company's performance

– especially in relation to its ability to create value for stakeholders over time.

Lasinee Seresinhe
Acting Chairperson- Audit Committee

Mr. Kelum Senanayake
Chief Executive Officer

Mr. S H Dulanjith Kaweesha
Finance Controller



FEEDBACK

WE WELCOME YOUR FEEDBACK ON OUR 2022 INTEGRATED ANNUAL REPORT.



S.H.Dulanjith Kaweesha
Finance Controller -
Arpico Insurance PLC

No: 55/20, Vauxhall Lane,
Colombo 02.

Tel-0112200900-920

Email:dulanjith.k@arpicoinsurance.com

A dedicated website
for the Annual Report
and Integrated
Reporting Information



ABOUT THE COMPANY

Celebrating 11 years in the service of insuring lives, our journey once again heralds a new decade of sustainable growth. Founded in 2011 and thereafter listed on the Colombo Stock Exchange (CSE) in 2015, our position within the life insurance industry has gathered a perpetual momentum of growth. As a part of the value we create for our customers, we provide a holistic portfolio of insurance policies and solutions, which consist of term assurance, endowment, education plans, health insurance, investment plans, group assurance and loan protection plans. A subsidiary of one of Sri Lanka's most diversified conglomerates – Richard Pieris & Company PLC, we are backed by the trust and extensive strengths of our parent company. This recognition enables us to boldly pursue innovations and market expansions, while tapping into the needs of our customers extensively; delivering solutions with compassion, integrity and professionalism.



VISION

To be the most trusted and innovative solutions provider for life insurance needs.



MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.



VALUES

- To serve customers with care, compassion and respect.
- To do the right thing for the right reason.
- Always think to lead in new ways and introduce result-oriented solutions to customers.
- Continuously nurture and value team spirit along with satisfaction.
- Ensure maintenance of high standards in all professional aspects and practices of the company

WHAT WE OFFER



**RELIABLE
INDEMNIFICATION**



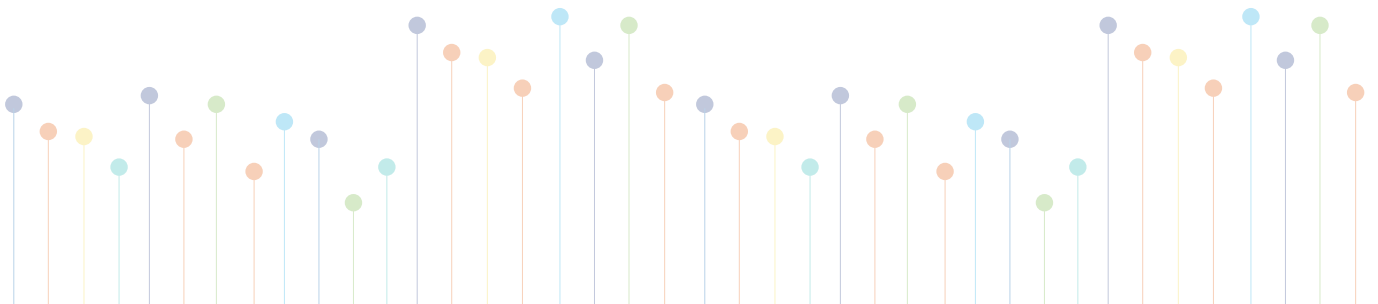
**INNOVATIVE
SOLUTIONS**



**THE STRENGTH OF
A TRUSTED BRAND**



RAPID GROWTH



JOURNEY AND MILESTONES

2011

- 'Arpico Insurance Limited' - incorporated as a public limited company
- Recognized by IRCSL and granted with the license to provide life insurance

2012

- Operations launched at Hyde Park Corner office
- Achieved LKR 100 Mn. GWP in our first year of operations

2013

- New head office moved to Vauxhall Lane - to accommodate growth

2014

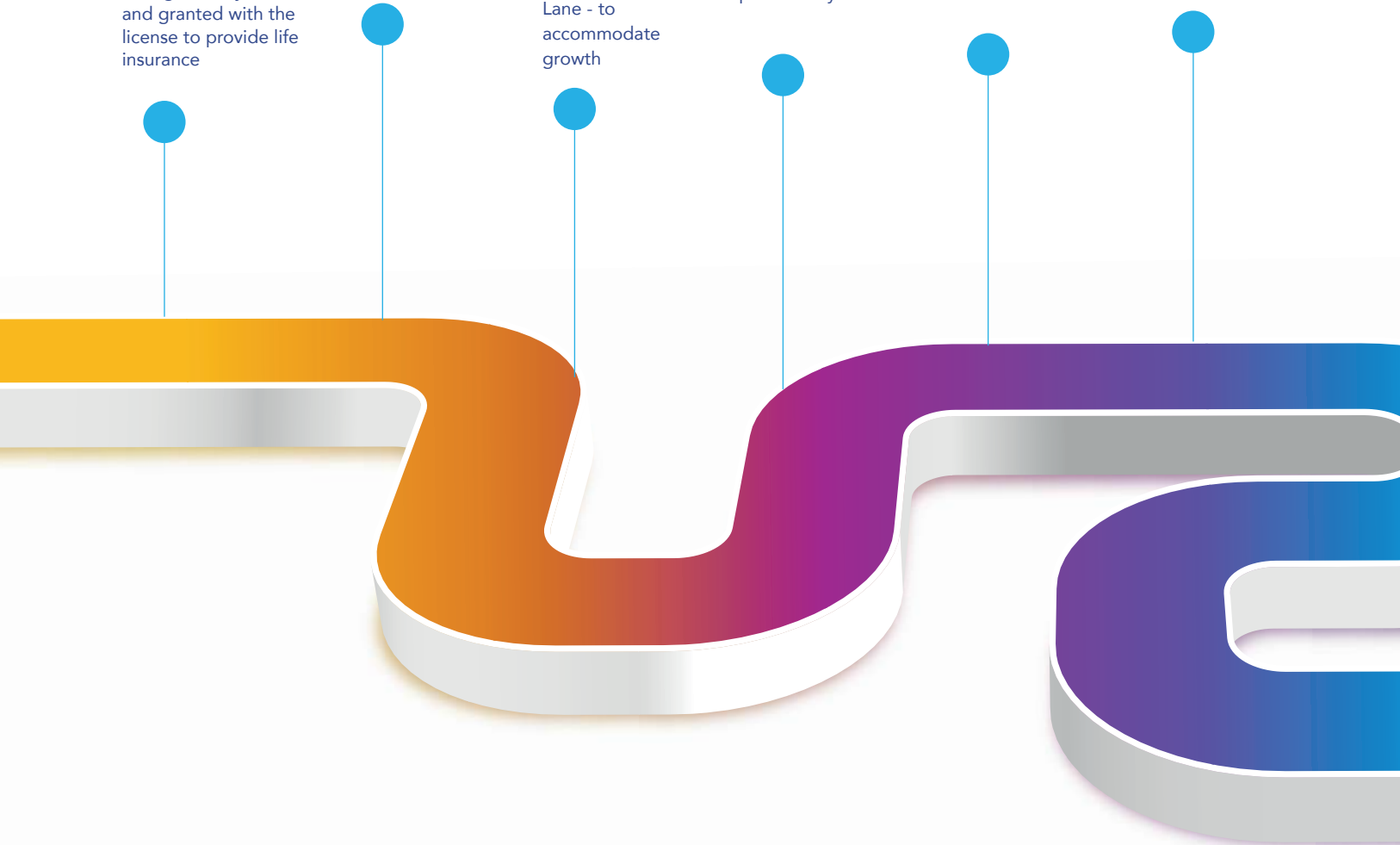
- IPO declared, opening shares to the public
- First life insurer to record a profit in only our third operational year

2015

- Commenced trading on the CSE (Diri Savi Board)
- Retail footprint expanded to 24 branches

2016

- Profit of LKR 107 Mn. achieved



2017

- Recognized as the fastest growing life insurer in Sri Lanka by the global banking and finance review

2018

- Became the fastest growing life insurer for the second successive year and adjudged most successful life insurer in Sri Lanka by the Global Brand Magazine - UK

2019

- Honoured with a special award from the Indian Chamber of Commerce for our risk management strategy for 2019
- Recognized as the most trusted life insurance brand in Sri Lanka 2019 by the Global Brands Magazine - UK

2020

- Awarded with the best life insurance company for innovation Sri Lanka by the Global Banking and Finance Review
- 24 employees qualified for MDRT and two as Court of the Table members

2021

- Completing 10 vibrant years in the industry
- Healthcare Product (introduced)
- Added new sector to the distribution channel

2022

- Won the award for Best Risk Management Strategy of the Year 2021
- ICA Sri Lanka TAGS awards Bronze award for Gross Premium up to 10Bn category
- Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka

AWARDS AND RECOGNITIONS



Most
Trusted Life
Insurance
Brand
Sri Lanka
2019

Best Risk
Management
Strategy of
the Year
2021

Fastest
Growing Life
Insurance
Company
Sri Lanka
2018

At the CA
Sri Lanka
TAGS Annual
Report Awards
- Bronze
Award in the
Insurance
Sector (GWP
up to 10Bn)

Fastest
Growing Life
Insurance
Company
Sri Lanka
2017

Most
Successful
Life Insurance
Company
Sri Lanka
2018

Risk
Management
Strategy of
the year
2019

The Best Life
Insurance
Company for
Innovation
Sri Lanka
2020

YEAR AT A GLANCE

AUGUST & DECEMBER



AWARDS WON BY ARPICO INSURANCE PLC 2022

1. CA Sri Lanka TAGS Annual Report Awards 2022
2. - Indian Chamber of Commerce Emerging Asia Insurance Awards 2021



AUGUST-SEPTEMBER-OCTOBER-NOVEMBER & DECEMBER

OPENING 7 NEW BRANCHES

AUGUST & DECEMBER



NEW RIDER COVERS

1. Arpico Platinum Investor Rider
2. Cash Back Protector



JUNE

ANNUAL AWARDS PROGRAM 2022

(21 winners received awards)



MAY

MDRT PROGRAMME 2022

(18 MDRT achievers during 2022)



JANUARY

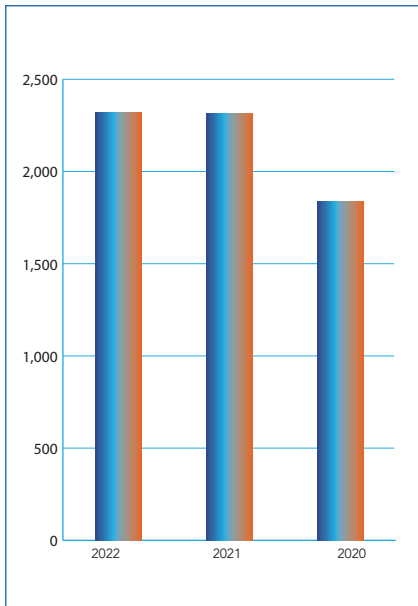
BLOOD DONATION PROGRAMME

(commemoration of the 10th anniversary)

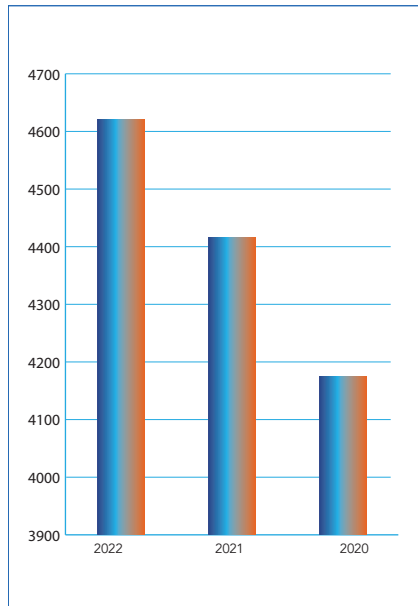
PERFORMANCE HIGHLIGHTS

	Aspect	Unit	Value Created (Outcomes)	
			2022	2021
Financial 	Net written premium	LKR Mn.	2,247	2,208
	Revenue (Other)	LKR Mn.	551	309
	Profit after tax (PAT)	LKR Mn.	36	236
	Market capitalization		1,503	1,881
	Earnings per Share	LKR	0.55	3.57
	Capital Adequacy Ratio	%	214	435
Human 	Workforce	No.	2,664	2,805
	New recruitments	No.	287	422
	Training hours	Hrs.	2,377	1,700
	Employees rewarded	No.	21	56
	Revenue per employee	LKR Mn.	1.05	0.82
	Financial benefits awarded	LKR Mn.	451	492
Social and Relationship 	Total policies	No.	16,890	22,186
	Claims and Benefits	LKR Mn.	860	573
	Customer complaints resolved	%	75	88
	Agents	No.	2,372	2,154
	Agent commissions	LKR Mn.	630	753
Intellectual 	New products	No.	2	1
	Brand Building	LKR Mn.	15	13.9
Manufactured 	New branches	No.	7	9
	Total assets	LKR Mn.	4,620	4,416
	PPE acquisitions	LKR Mn.	43	26
	Intangible assets	LKR Mn.	1.1	0.59
Natural 	Electricity saved	%	20	28
	Water Saved	%	20.28	34
	Fuel Saved	%	61	27

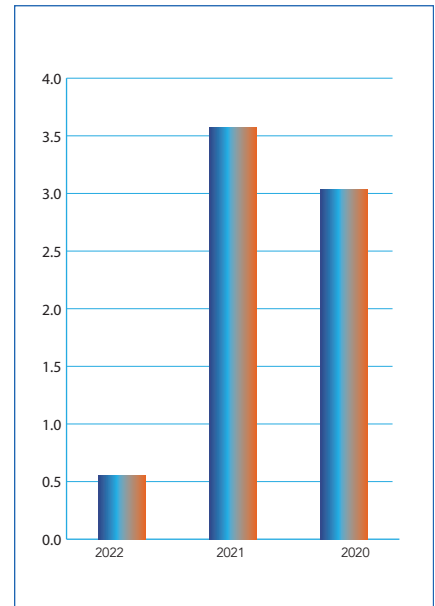
Gross written premium (Rs. Mn)



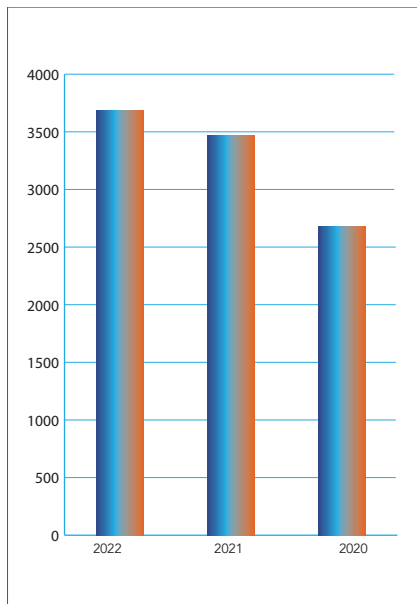
Total assets (Rs. Mn)



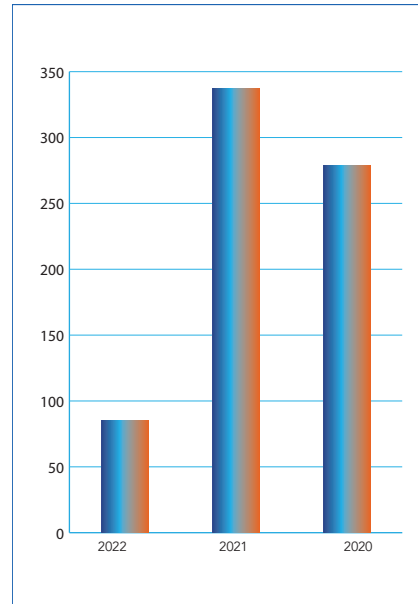
Earnings per share (Rs.)



Investment portfolio (Rs. Mn)



Profit before tax (Rs. Mn)



CEO'S REVIEW



DEAR STAKEHOLDERS,

It is my pleasure to present the annual report and audited financial statements for the financial year ended 31 December 2022 of Arpico Insurance PLC. The company focused on building a strong platform for growth amidst the multiple challenges that prevailed. We believe that the actions and initiatives taken in the FY 2022 will pave the way for the Company to achieve significant strides of progress in the years ahead to create sustainable value for our stakeholders.

CONTEXT TO PERFORMANCE

The year 2022 can be remembered as one of the most turbulent years in recent history. Sri Lanka was already undergoing an economic slowdown due to multiple economic shocks since 2019 when the economic fallout of the pandemic resulted in depleting reserves.

In April 2022, the country suspended its payment of foreign debt for the first time resulting in the country to be rated in the Restricted Default category by rating agencies. The severe depletion of foreign currency liquidity experienced by the country compelled the

Despite the challenging operating environment, the Company recorded a resilient performance during the year.

introduction of import restrictions causing shortages of food, fuel, medicines and other essential items. The Sri Lankan Rupee depreciated sharply by approximately 80% in a span of about 12 months, triggering unprecedented inflation levels. The effect of import restrictions and an overall slowdown in economic activity, caused a downturn in business activities across every sector of the economy.

FINANCIAL PERFORMANCE

Despite the challenging operating environment, the Company recorded a resilient performance during the year. Gross Written Premium was maintained on par with that of the previous year, recording a marginal increase of 0.3% to reach LKR 2.318 Bn as at December 2022. The total investment portfolio for the year 2022 was recorded as LKR 3.6 Bn in relation to LKR 3.4 Bn. reported in 2021, growing by 6% over the previous year.

Net claims and benefits to policyholders increased by 50% to LKR 860 Mn during the year as a result of the pending maturities claims related to 2022. Although cost escalations due to the depreciation of the rupee, tax increases and inflationary pressures continued to impact operating costs, the Company implemented cost-optimization strategies to contain the increase in recurrent operational costs to 11%.

The Capital Adequacy Ratio as of 31 December 2022 remained at 214%, well-above the minimum regulatory capital requirement, indicating our strong solvency position. Amidst the challenging conditions we focused on implementing varied mechanisms to reinforce the capital adequacy ratio.

CALIBRATING OUR BUSINESS MODEL

In light of the dynamic operating environment, the Company took a three-pronged approach to reconfigure its existing business model. This included optimizing the product portfolio to generate greater returns to shareholders and policyholders, training and

development and expansion of business development activities.

Having carefully assessed our product portfolio and its return to stakeholders we optimized our product portfolio with the objective of enhancing returns to our stakeholders and increasing our value proposition to policyholders. We looked at our product portfolio objectively whilst reassessing the commission structures of the company. We placed greater emphasis on fine-tuning our product mix and the internal processes. During this period we placed great priority on streamlining and developing our processes. Aggressive business development was deferred till we introduced a stronger and viable structure in place to ensure the long – term stability and sustainability of operations of the company. However, with the necessary infrastructure in place we were able to pursue our planned business objectives towards the latter part of the year. The Company undertook several initiatives to transform the business processes of the company to be customer friendly whilst abiding with regulatory and compliance requirements of the insurance industry.

Rationalizing our product mix enabled us to introduce revolutionary insurance products which were 'firsts' in the insurance industry in Sri Lanka. One such groundbreaking introduction was the Return of Premium option which enables a policyholder to obtain a refund of the premium charged on critical illness, total and permanent disability, partial and permanent disability rider covers if claims are not made during the policy term. This product has been well received in the market thus far.

During the year as part of our marketing strategy we placed greater emphasis on developing sales to corporates. We hope to leverage the trusted Arpico brand and our strength as a subsidiary of a leading business conglomerate to garner greater market share in the corporate insurance segments which includes medial insurance packages and group life insurance packages to corporates. Promoting established

relationships with our network of brokers has enabled us to reinforce our trust in this corporate segment which has led to an encouraging growth in this segment.

We strengthened our relationships with banks by signing up several bancassurance agreements with leading banks to promote DTA policies. It is encouraging to note that during the initial first year of introducing corporate sales 5% of the total revenue has been generated by this new business segment.

OUR PEOPLE – OUR STRENGTH

As a people-centric business we value the potential and capabilities of our team. We strongly believe that training and development is an important part of an insurance company's ecosystem. During the year we appointed a Head of Training to revamp our training and development function whilst developing our inhouse training capabilities with skilled and competent resource persons. We have introduced several training and development initiatives to harness the potential of our team.

We reassessed the agency structure of our sales team. Continuous recruitments and training and development has ensured that we have the required teams in place. We have also placed significant emphasis on coaching the future leaders of our company so that they possess the required leadership skills and are ready to take increased responsibilities. Our meticulous sales training programs ensures that our sales team reflects the brand values espoused by the Arpico Insurance brand with professional need-based selling techniques.

THE WAY FORWARD

We are cognizant of the evolving macro-economic externalities when charting our strategic path ahead, and will continue to monitor and be flexible in adapting to the challenges. Spiraling inflation levels and increased levels of the PAYE tax which affect disposable income levels will pose a challenge on the future growth prospects of the company and servicing of existing policies by policyholders. This will create a

direct impact on the policy lapse ratios.

Digitalization of business processes will be a priority in the future. We also plan on expanding our geographical presence with new branches located in strategic locations.

As Sri Lanka recovers from the current economic crisis, we anticipate the key economic indicators such as inflation, exchange rate and interest rates to stabilize over time with the finalization of the Extended Fund Facility from the International Monetary Fund and the implementation of policy reforms to rectify chronic anomalies in the Sri Lankan economy.

APPRECIATION AND ACKNOWLEDGEMENTS

I wish to express my sincere gratitude to the outgoing Chairman and the Board of Directors of Arpico Insurance PLC for their guidance in smoothly steering the Company through these challenging times. I wish to thank the Group Chairman of the Arpico Group for his wise counsel and guidance.

I take this opportunity to extend my sincere appreciation to all our employees for their continued commitment, passion and perseverance throughout the year. On behalf of the Board of Directors, I would like to thank all our policyholders, sales agents, business partners for their trust in us and partnering us in mutual growth.



Kelum Senanayake

Chief Executive Officer / Principal Officer



CREATING INTEGRATED VALUE

We are committed to offer a customer-centric, need-based product suite as we navigate through the path of innovation. To add value to our customers' experience we will focus on enhancing the customer experience by strengthening our traditional channels leading to ease of issuance, faster claims processing, servicing and allowing swifter engagement with our customers and distributors.

VALUE CREATED AND SHARED IN 2022

ECONOMIC VALUE ADDED

GENERATING VALUE

Arpico Insurance PLC is committed to creating value for stakeholders in the short, medium and long terms, delivering value that grows exponentially; value that is both economically and non-financially rewarding.

VALUE DISTRIBUTED

The financial rewards (Economic Value Generated) of our business decisions and activities enable us to distribute value amongst all stakeholders including shareholders, customers, partners, employees and the state.

VALUE RETAINED

This is equivalent to what we retain, subsequent to the distribution of value we generated within the financial period.

VALUE GENERATED

EVG Created	Value (Rs. Mn.)
Gross written premium	2,319
Net written premium	2,247
Revenue - fees and commission	50
Total other revenue	552

VALUE DISTRIBUTED

Stakeholders	Value Distributed (Rs. Mn.)	Indicator
Shareholders	1,917	Total Equity
Employees	451	Salaries
Agents	304	Commission
Customers	860	Claims and benefits

VALUE RETAINED

What we retain	Value (Rs. Mn.)
Profit after tax	36
Amortisation	0.3
Depreciation	94

STAKEHOLDER ENGAGEMENT

Stakeholder engagement is an integral element of our value creation process. By engaging with stakeholders in a structured and well-coordinated manner through meaningful and transparent communication,

we foster relationships that can serve as valuable social capital in both good as well as challenging times. Through this process we are able to shape our strategic thinking and corporate direction, while providing

relevant and timely information about our business, with our stakeholders for more informed decision making. The Board and Management engage with key stakeholders on a proactive basis in order to strengthen relationships and identify material concerns.



APPROACH TO STAKEHOLDER ENGAGEMENT

- Identification of stakeholder needs and wants
- Mapping stakeholders according to the impact to the business directly and indirectly
- Plan and design engagement modalities
- Evaluate the data
- Prioritize the stakeholders according to the impact
- Design necessary action plan to address material issues according to prioritization
- Keep the stakeholders updated

STAKEHOLDER EXPECTATIONS

We maintain formal communication mechanisms with all groups of stakeholders on a periodic basis with a view to identifying stakeholder expectations and assess the outcomes of its engagement. Our approach to engaging with stakeholders, the expectations and concerns raised as well as the strategic actions taken to address these topic are given below.

SHAREHOLDERS AND INVESTORS • Parent Company • Shareholding companies		
Engagement mode	Expectations and Concerns	Our response
Annual report	Sustainably growing returns (dividends)	Committed to increasing revenue
Interim Financial Reports	Increased financial performance	Managing outflows mindfully
Press releases	Comprehensive and transparent reporting	Switch to integrated annual reporting and adopting GRI
AGM	Strong governance and risk management	Regular improvements to risk and governance practices
Corporate Website	Strong financial management	Highly qualified and experienced team
	Relevant and innovative	Investments in industry trends and innovative solutions
	Clear strategic direction and achievable actions	Road-map with short, medium and long-term strategic objectives

CUSTOMERS • Existing policy holders • Prospective policy holders		
Engagement mode	Expectations and Concerns	Our response
Corporate website	Sustainably growing returns (dividends)	Committed to increasing revenue
Social media networks	Increased financial performance	Managing outflows mindfully
Mass media communications and marketing collateral	Comprehensive and transparent reporting	Switch to integrated annual reporting and adopting GRI
Interactions with employees and sales staff	Strong governance and risk management	Regular improvements to risk and governance practices
Call centre and e-mails	Strong financial management	Highly qualified and experienced team
	Relevant and innovative	Investments in industry trends and innovative solutions
	Clear strategic direction and achievable actions	Road-map with short, medium and long-term strategic objectives

STAKEHOLDER ENGAGEMENT

EMPLOYEES

- Employees in head office and branches
- Sales force of Arpico Insurance PLC

Engagement mode	Expectations and Concerns	Our response
Corporate communication tools	Remuneration and benefits	Annual increments
Staff meetings	Training and Development	Prioritized programs for technical and non-technical staff
Skip-level meetings	Work-life balance	Recreational facilities, annual outings and get-togethers
Management meetings	Non-discrimination	Non-discrimination policy
Award programs	Gender Parity	Equal opportunities for all
	Rewards, recognitions and empowerment	Annual awards program
	Job Security	Stable position ensures business continuity
	Job advancement	Succession planning Internal recruitment
	Open communication	Open-door policy Regular management meetings
	Employee health and safety	Medical insurance Health awareness programs High quality sanitization facilities

BUSINESS PARTNERS AND SUPPLIERS

- Agents
- Bancassurance
- Reinsurers
- Suppliers
- Bankers, auditing firm and other service partners

Engagement mode	Expectations and Concerns	Our response
Formal meetings	Partnerships based on trust, respect and professionalism	Amicable and professional communication
Management discussions	Honouring contractual obligations	Timely commission payments
Digital communication channels	Attractive and competitive payment structures	Prudent pricing policies

REGULATORS

- Government
- Insurance Regulatory Commission of Sri Lanka (IRCSL)
- Central Bank of Sri Lanka (CBSL)
- Colombo Stock Exchange (CSE)

Engagement mode	Expectations and Concerns	Our response
On-site surveillance	Accountable, transparent and ethical practices	Best practices on governance
Filing returns	Regulatory compliance	Compliance to statutory and financial regulations
Directives and circulars	Statutory taxes	Policy implementation
Media releases		Timely payment of taxes
Workshops and seminars		

COMMUNITY

- Financially vulnerable communities and individuals

Engagement mode	Expectations and Concerns	Our response
Charitable projects	Contributing to community well-being	Increasing the oxygen contribution by planting trees
Collaborations with institutes		Conducting awareness programs on World Oceans Day
Social events		

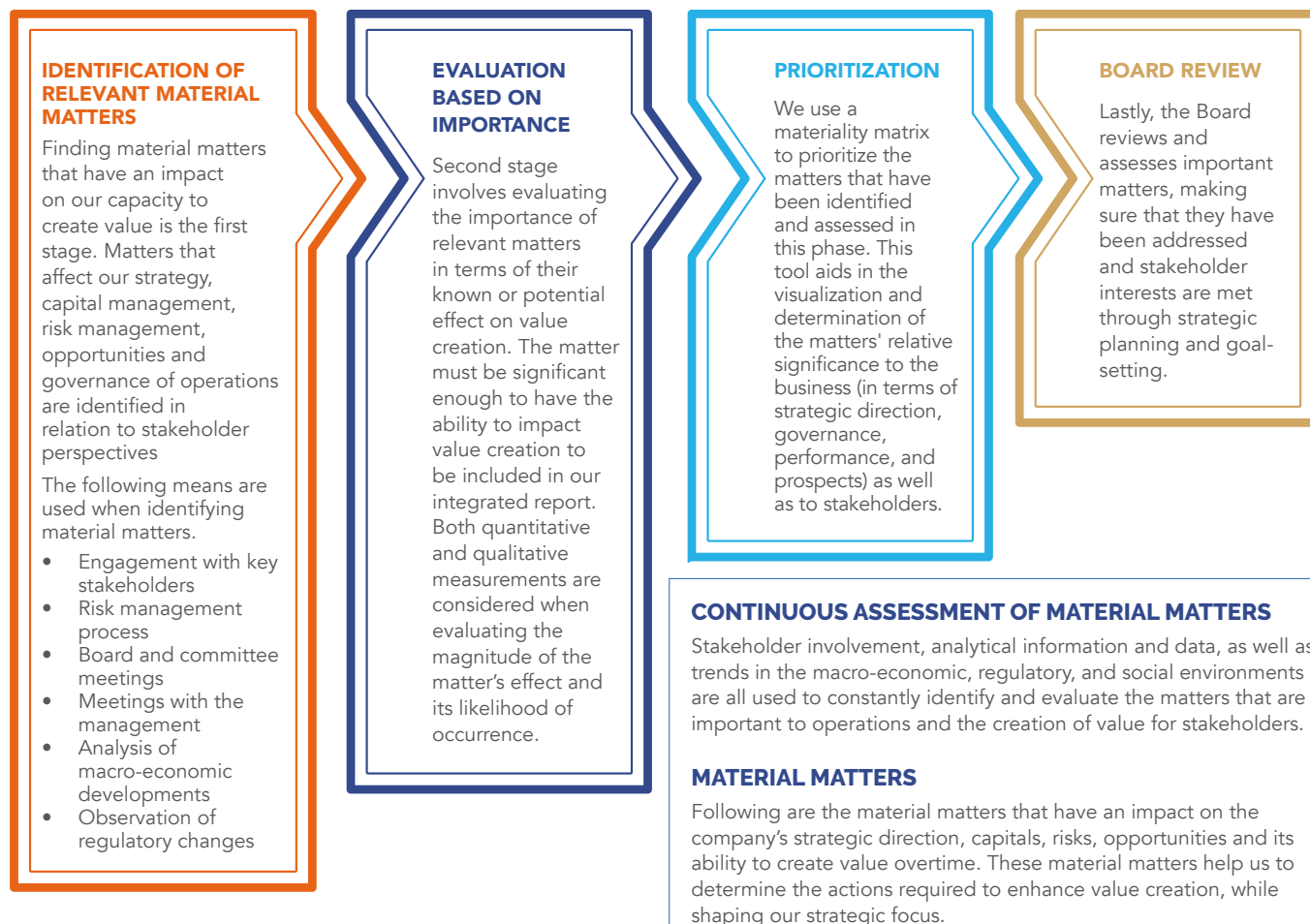
MATERIALITY

Company apply integrated thinking in our process of identifying the material matters that link with our strategy, governance, performance and future prospects. In this regard, our materiality determination method enables us to recognize and assess significant

elements that have a material impact on the organization's capacity to generate value over the short, medium and long terms. Through this process, we can also decide what information should be shared in light of stakeholder expectations and value creation.

The following process was created in accordance with the International Integrated Reporting Council's (IIRC's) Integrated Reporting Framework and the Global Reporting Initiative (GRI) Standards.

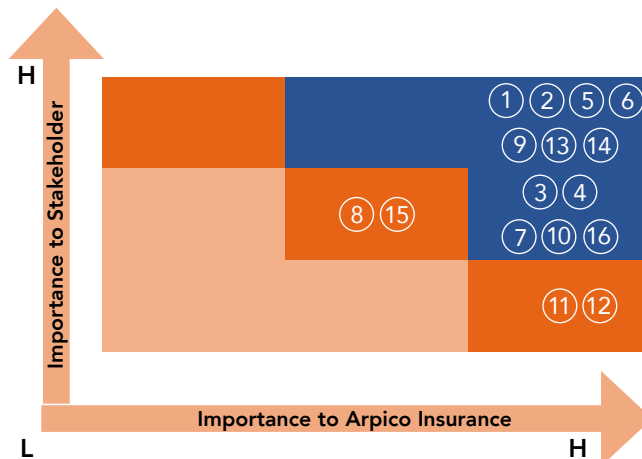
MATERIALITY DETERMINATION PROCESS



Material topic		Key focus areas	Impact on		Stakeholders impacted	Page reference for further information
			Company	Stakeholder		
1	Strong and inclusive financial growth	• Improved underwriting profits • Continuously improving investment and financial management • Cost optimizations	H	H	Shareholders	Financial capital page 31 to 35
2	Increasing shareholder returns		H	H		
3	Implementation of financial standards		H	M		

Material topic		Key focus areas	Impact on		Stakeholders impacted	Page reference for further information
			Company	Stakeholder		
4	Claims and benefits to customers	- Committing to contractual obligations - Investments in employee growth - Rewards and merits based on performance	H	M	Customers	Social capital page 43 to 49
5	Excellence in customer service		H	H	Customers	
6	Employee health and safety		H	H	Employees	Human capital page 39 to 42
7	Employee growth		H	M	Employees	
8	Revised operational procedures due to the pandemic	Ongoing assessment of regulatory requisites and revising procedures accordingly	M	M	Employees, customers, business partners and suppliers	
9	Strong governance	Continuous enhancements	H	H	Employees, customers, regulators	Corporate governance page 66 to 78
10	Sound risk management	Enhance the risk management knowledge of employees	H	M	Employees, customers	Risk management page 79 to 87
11	Improve employee knowledge on risk management		H	L		
12	Increase digital transformations	New approaches and investments	H	L	Employees, customers	Manufactured capital page 54 to 57
13	Strengthen data security		H	H		
14	Increase market share through healthy competition	Economically beneficial products and customer service enhancements	H	H	Shareholders, customers	Financial capital page 31 to 35
15	Environmental sustainability	Growing approaches to environmental sustainability	M	M	Community	Natural capital page 36 to 38
16	Marketing and labelling	Increase customer awareness	H	M	Customers	Social capital page 43 to 49

The following matrix depicts the relative importance of the above shown material matters, in relation to the company and stakeholders.



VALUE CREATION MODEL

INPUTS



FINANCIAL CAPITAL

- Equity of **LKR 1.9 Bn**
- Debt **0**



MANUFACTURED CAPITAL

- **73** branches
- IT capabilities and digital channels



HUMAN CAPITAL

- Diverse team of **2664** employees
- Remuneration and performance-based rewards
- Learning and development



SOCIAL AND RELATIONSHIP CAPITAL

- Relations with stakeholders
- **2186** suppliers



INTELLECTUAL CAPITAL

- Brand strength
- Tacit and explicit knowledge



NATURAL CAPITAL

- Energy
- Water
- Materials



Vision

To be the most trusted and innovative solutions provider for life insurance needs.



Mission

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.



UNDERWRITING



CLAIMS MANAGEMENT



FINANCIAL AND ASSET MANAGEMENT

CORE STRATEGIES



OUTPUT

**DIVERSE
PRODUCTS AND
SOLUTIONS THAT
MEET INSURANCE
NEEDS**



OUTCOME

FINANCIAL CAPITAL

31

Steadily growing financial position
Investment income growth - **43%**
Investment value growth - **6%**

MANUFACTURED CAPITAL

54

Enhanced branch network - **7** new branches
During the year investment **0.84 Mn**
2022 - **45%** investment against to 2021

HUMAN CAPITAL

39

Increased training programs - **7**
Growing increments
Improved performance
Opportunities for career progression - **21**
Staff members

SOCIAL AND RELATIONSHIP CAPITAL

43

Claims and benefits – **860 Mn**
Digital access
Cordial and professional relationships with partners
Timely reinsurance consultation, reinsurance risk, ceded premiums **LKR. 71 Mn.**
Honoring contractual obligations

INTELLECTUAL CAPITAL

50

Improved governance framework
Stronger brand presence – **15Mn** invested

NATURAL CAPITAL

36

Minimized paper usage and careful use of natural resources
3R concept of recycling, reducing and re-using
Conservation projects

STRATEGY AND RESOURCE ALLOCATION

STRATEGIC FOCUS

As we continue to evolve and grow into a seasoned insurer, our strategic aspirations to have evolved over the years to focus on a growth-based roadmap of strategic objectives and operational goals. While our vision of being the most trusted and innovative life insurance provider continues to be a guidepost for all our actions, we

have adopted a bigger strategic outlook that incorporates innovation, operational expansions and business growth to be achieved by 2025.

At the onset of the pandemic, we shifted our strategic agenda to accommodate the immediate structural changes, necessitated by lockdowns and financial relief offered to

customers. However, with the gradual return of normalcy into work life, we are once again shifting our focus to realign with our strategic outlook for the future.

Our ultimate focus is in expanding our market share, serving a wider cross-section of Sri Lanka through innovation and expansion based strategies.



RESOURCE ALLOCATION - REACHING OBJECTIVES

While strategic objectives address the direction the company wants to head in the future, resource allocation addresses how we intend to achieve it.

- Invest in infrastructure
- Invest in people
- Employee recognition and reward
- Environmental analyses
- High quality service
- Ensure compliance
- Introduce new product



MANAGEMENT DISCUSSION & ANALYSIS

We help our customers in securing their future with our complete range of protection solutions. Our wide portfolio of life insurance products covers life and offers financial support in different stages of life including retirement solutions, which secures wealth and savings. We place our customers' requirements first and aim to protect what is dear to them, with complete assurance.

EXTERNAL OPERATING ENVIRONMENT

OPERATING LANDSCAPE

THE GLOBAL ECONOMY

The global economy that appeared to have recovered strongly in 2021 experienced a slowdown and reversal in 2022. The emergence of the Omicron variant and subsequent re-imposition of mobility restrictions, coupled with supply chain disruptions and financial market volatility, threatened to set back the already fragile path to recovery. The prolonged and unprecedented accommodative monetary policy stance maintained during the pandemic period has now been followed by global monetary conditions being tightened to curtail the pent-up demand pressures and address broad-based inflation. The resulting uncertainties, combined with increasing interest rates, have led to asset price volatilities and impacted households' and corporates' balance sheets.

The Russian invasion of Ukraine further amplified the disruptions to the global economic recovery, with the war and related sanctions increasing commodity prices and intensifying supply disruptions, thereby fuelling inflation. Escalating uncertainties in the global financial environment have further strengthened the safe-haven status of the US dollar, making foreign financing extra difficult and expensive for emerging and low-income economies.

As of the third quarter of 2022, the global economy was experiencing multifaceted challenges, including winding up of fiscal and monetary support, inflation remaining above the levels observed during the past decades, tight financial conditions in most regions, geopolitical uncertainties, and the lingering effects of the COVID-19 pandemic, all weighing heavily on the growth outlook. Risks to the

global economic outlook remain largely on the downside, including compounding contractionary impact on output with the widespread tightening of policy interest rates to rein in inflation back to target levels, further energy and food price shocks that may cause inflation to persist for an extended period, and US dollar appreciation and global financial tightening which could trigger widespread debt distress in both developing and emerging markets.

Outlined are important topics for our short to medium-term planning. We analyze risks and opportunities using a PESTLE analysis, taking into account political, economic, social, technological, environmental and legal factors. Our analysis considers how these factors may affect our business and stakeholders. We take necessary actions to leverage or mitigate these developments.

LOCAL OPERATING CONTEXT



POLITICAL AND ECONOMIC ENVIRONMENT

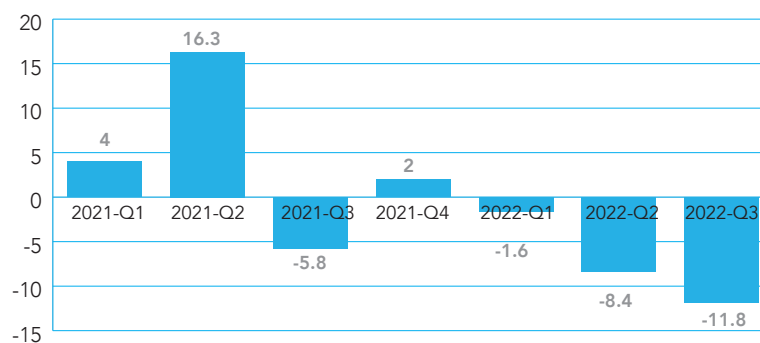
In 2022, Sri Lanka faced its worst economic and political crisis, marked by prolonged power outages, shortages of essential commodities, and public disaffection. High-level bureaucrats and political leaders were held responsible for the country's problems and were swept away by protests and violence. The economy experienced a contraction of 4.8% year-on-year during the first half of 2022, with all major sectors experiencing a decline. This was primarily due to shortages of inputs and disruptions in the supply chain. According to high-frequency indicators such as the purchasing managers' indices, the situation is expected to remain stressful beyond the first six months.

Furthermore, year-on-year inflation reached an unprecedented 64.3% in August 2022, driven mainly by high food inflation of 93.7%. This can be attributed to the impact of rising global commodity

prices, monetization of the fiscal deficit, and currency depreciation. In addition, the ban on chemical fertilizers in 2021 and its associated impact on crop yields has affected domestic food supplies, agriculture earnings, and food security. The Central Bank responded by raising policy rates by a cumulative 950 basis points between January and July 2022 to combat inflation.

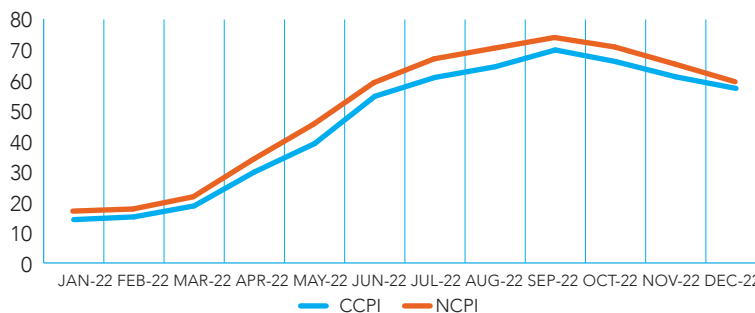
In early 2022, the Sri Lanka rupee remained stable with the help of the Central Bank's intervention in the foreign exchange market and moral suasion. However, a liquidity shortage in the market led to a measured adjustment in March 2022, causing the rupee to depreciate substantially by April due to market forces. To reduce volatility, the Central Bank introduced a

QUARTERLY REAL GDP GROWTH (%)

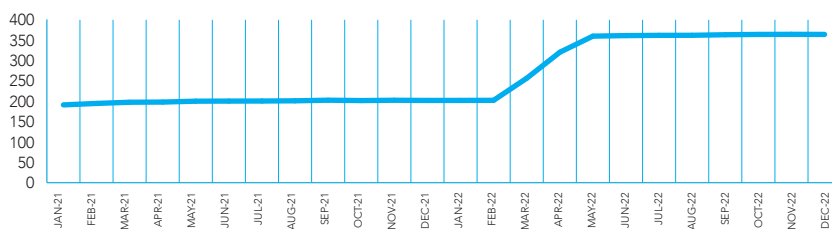


new exchange rate arrangement in May 2022, providing daily guidance to banks on the degree of volatility in the spot exchange rate. The rupee only marginally depreciated against the US dollar from May to September 2022, despite a 44.8% depreciation for the year up to September 2022. The outstanding external debt position of Sri Lanka decreased slightly to USD 48.7 billion by end June 2022, mainly due to the repayment of ISBs and a decline in the market value of outstanding ISBs. The Central Bank's outstanding external debt position increased with the SAARCFINANCE swap arrangement of USD 400 million from the RBI, while the private sector and SOBEs' outstanding external debt decreased in the first half of 2022. However, inter-company borrowing of DIES recorded an increase during this period. The Consumer Price Index (CPI) in Sri Lanka reached an all-time high of 244.70 points in September 2022, with an average of 60.89 points from 1985 until 2023.

INFLATION- NCPI & CCPI



AVERAGE SPOT EXCHANGE RATE



Opportunities and risks

- Reduced purchasing power of consumers
- Increase in costs
- Impacts on foreign currency payments to reinsurers
- + Higher interest rates which provide greater yields on investments
- + Increased premia

Our response

- Accommodate individual purchasing power through flexible policy premia
- Engage in better product marketing and cross-selling opportunities
- Constantly monitor market rates and invest prudently, maintaining a diverse portfolio



SOCIAL ENVIRONMENT

In 2022, Sri Lanka faced a cost-of-living squeeze, which had placed it in the top five countries with the highest food price inflation for much of the year. This had tipped many vulnerable Sri Lankans into poverty. Many households in the country have reduced their food consumption due to rising food prices, putting vulnerable Sri Lankans at risk of food insecurity. The nutrition situation has also deteriorated, with the rising prices of nutritious foods and disruptions in supply chains. The shortage of fuel has also affected small-scale fishers, who have had to significantly reduce fishing. Safe drinking water is also a concern, with a shortage of chemicals used to test and

treat water, leading to the risk of spread of waterborne diseases. The healthcare system has been severely affected, with shortages in essential medicines, including those for heart attacks, limiting access to lifesaving services. There has also been a rise in

domestic violence, with limited resources available to support those affected. There is a need for enhanced support for women, children and marginalized groups to manage emergency cases and access services.

Opportunities and risks

- Low disposable income of majority of the people
- High investments required in improving customer service channels and technologies

Our response

- Greater focus on social media marketing campaigns
- Dedicated resources to track evolving customer needs and develop insurance solutions for financially vulnerable people
- Create healthcare policies that promote early prevention through diagnosis and also financial coverage in addition to tele-medicine

EXTERNAL OPERATING ENVIRONMENT



TECHNOLOGICAL ENVIRONMENT

Technology has drastically revolutionized the insurance industry, offering tools for automating manual business processes, customer relationship management (CRM) systems for managing customer data, predictive analytics to identify new target markets, field service management software for optimizing the claims process, and the Internet of Things (IoT) for mitigating risk. A CRM system is an essential tool for insurance companies to handle enquiries and deliver exceptional customer experiences, whereas predictive analytics can be used to identify potential markets and risks, enabling companies to stay competitive in the industry. Field service management software can optimize assignments and workflows for adjusters to increase productivity and improve the

quality of customer service. IoT can be used to monitor physical objects, reducing risks and spurring policyholders to act accordingly. Telematics technology can be used to design custom, usage-based policies, enabling customers to only pay for

the coverage they need based on usage metrics. These technological trends have revolutionized the insurance industry and will continue to do so as insurers adopt new technologies and innovate to meet their customers' needs.

Opportunities and risks

- + Improved engagement with customers
- + Efficient delivery of service and greater productivity
- + Better risk assessment,
- + Greater potential to reach more customers through internet penetration
- Risk of data theft and threat of viruses

Our response

- Facilitated digital solutions for greater internal and external convenience
- Identifying possibility of adapting RPA for claims settlement
- Strengthened IT policies and controls



REGULATORY ENVIRONMENT

- Amendments to Determination 14 and 15 - Amendments to the regulatory reporting formats for submission of Annual Returns to IRCSL via email.
- Prohibition of providing different quotations (reduction in premia) to same policy holder for the same insurance cover
- Amendments to Determination 12 - Revisions made to quarterly return templates and deadlines
- Direction 1 of 2022 - Requires insurers to provide insurance codes only to insurance agents and insurance brokers.

- Direction 2 of 2022 - Provides a Corporate Governance Framework for Insurers

- Income tax rate was increased to 30% from 24%

Opportunities and risks

- + Provide more transparent ways to perform business.
- + Provide a ground to have healthy competition within the industry.
- Risk of non-compliance due to a number of new directions and any legal enforcements.
- Reduction in profits due to increase in tax rates.
- Risk of non-compliance due to number of new directions and any legal enforcements.

Our response

- Complied with new directions.
- Close monitoring by the management
- Educate the employees about the developments in the regulatory environment.



NATURAL ENVIRONMENT

The state of environmental health in Sri Lanka in 2022 continues to be a cause for concern, with several factors contributing to poor health outcomes for the population. One of the most pressing issues is air pollution, which remains at levels three times higher than the World Health Organization's recommended guideline value for particulate matter (PM).

Another significant environmental factor impacting the health of Sri Lankan residents is the state of water and sanitation. Unsafe drinking water, poor sanitation, and inadequate personal hygiene not only pose a significant risk to human health but also have wider implications for economic development, as access to safe water and sanitation is essential for sustained growth and prosperity.

Climate change is also a growing concern, with the frequency and severity of extreme weather events increasing in recent years. This highlights the urgent need for action to mitigate the effects of climate change and reduce carbon emissions.

Thus, it is essential that policymakers, healthcare professionals and other stakeholders work together to address these issues and improve the overall health and well-being of Sri Lankan residents.

Opportunities and risks

- Potential escalations in claims, arising due to natural disasters

Our response

- Energy conservation through energy-efficient solutions and careful consumption
- Strengthen the relationships with communities through green initiatives
- Reduction in paper consumption through digital adoption

THE INSURANCE INDUSTRY IN 2022

The insurance sector plays a vital role in any economy by safeguarding individuals and businesses against unexpected risks. However, like any other industry, it is subject to market forces and external factors that impact its growth and profitability. In this context, it is worth exploring the recent trends in the insurance industry in terms of market share, total assets, investments, and profitability. The highlights for the final quarter of 2022 is as follows -

28 INSURANCE COMPANIES

14 Life Insurance Companies

12 General Insurance Companies

2 Composite Insurance Companies

EXTERNAL OPERATING ENVIRONMENT

	Value	Growth compared to Q4 2021
Gross Written Premium (GWP)	LKR 257,580 million	10.31%
Long-Term Insurance Business GWP	LKR 135,367 million	8.51%
General Insurance Business GWP	LKR 122,213 million	12.37%
Total Assets	LKR 947,259 million	7.42%
Long-Term Insurance Business Assets	LKR 668,676 million	5.70%
General Insurance Business Assets	LKR 278,583 million	11.78%
Investment in Government Securities	LKR 413,262 million	22.04%
Claims Incurred	LKR 122,262 million	29.42%
Long-Term Insurance Claims	LKR 60,639 million	31.50%
General Insurance Claims	LKR 61,624 million	27.44%
Profit Before Tax (PBT)	LKR 50,336 million	19.36%
Long-Term Insurance Business PBT	LKR 23,439 million	1.34%
General Insurance Business PBT	LKR 26,897 million	41.25%
Registered Insurance Brokers	77 companies	-
Total Assets of Insurance Brokers	LKR 9,230 million	8.47%

INDUSTRY OUTLOOK

Despite the challenges faced by Sri Lanka in 2022, the insurance industry has demonstrated promising growth. The Gross Written Premium (GWP) of the industry, including long-term and general insurance businesses, amounted to a significant increase compared to the previous year. Both long-term and general insurance businesses recorded a growth in GWP, with the general insurance business showing a higher percentage increase. The total assets value of insurance companies also increased and investment in government debt securities for both long-term and general insurance businesses saw an overall increase. Despite an increase in claims incurred by insurance companies, the profit before tax of insurance companies for both long-term and general insurance businesses also showed an increase compared to the previous year. These positive indicators demonstrate the potential for growth in the insurance industry in Sri Lanka.

(Sources: Central Bank of Sri Lanka, Insurance Regulatory Commission of Sri Lanka)

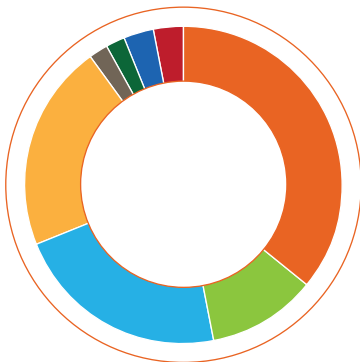
FINANCIAL CAPITAL



At Arpico Insurance, our financial capital is represented by funds and financial sources which enhance business activities in creating value for stakeholders. In managing financial capital, our primary responsibility is towards our shareholders and investors, in safeguarding their investments and in carrying out strategies that exponentially adds to their investments



FINANCIAL ASSETS



- Treasury bond
- Coporate debt
- Treasury bills
- RPAF loan
- Repos
- Fixed deposits
- Unit trust
- Quoted shares

We are uncompromisingly responsible for shareholder funds and client investments and in maintaining ethical and transparent financial conduct.

SNAPSHOT OF VALUE CREATION AND PERFORMANCE



REVENUE PERFORMANCE

GWP growth of **0.3%**

LKR 2.24 Bn. in Net Written Premium

2% increase in Net Written Premium



PROFITABILITY PERFORMANCE

LKR 85.1 Mn in Profit Before Tax

LKR 36.2 Mn in Profit After Tax

FINANCIAL POSITION



Investment Portfolio
LKR 3.6 Bn.

Asset Base
LKR 4.6 Bn.

Return on capital
employed

LKR 1.06 Bn.

New Premium Business

LKR 173 Mn

in Group Premium

LKR 1.08 Bn.

Renewal Premia

LKR 860 Mn.

Net Claims & Benefits

214%

Capital Adequacy Ratio

VALUE CREATION - FINANCIAL METRICS

Management of financial outcomes is of paramount importance in achieving strategic objectives. Expanding profitability alongside growth in premium income

remains foremost focus points, both equally vital in injecting new investments to keep our growth strategy in constant motion.

FINANCIAL CAPITAL

DRIVERS OF FINANCIAL VALUE

The following became imperative in strengthening core areas of financial management.

PROFITABILITY

Our profit before tax recorded a decrease reaching a value of LKR 85 Mn. with a subsequent after-tax profit of LKR 36 Mn. a decrease of 85 % over the PAT posted in 2022.

Year	2022 (LKR Mn.)	2021 (LKR Mn.)
PBT	85	337
PAT	36	237

REVENUE & OTHER INCOME

Metrics of revenue indicates increases across GWP, investment income and comprehensive income.

Meanwhile, Group Premium also increased by 158%. First year of policy Premium decreased due to the economic crisis.

GROSS WRITTEN PREMIUM

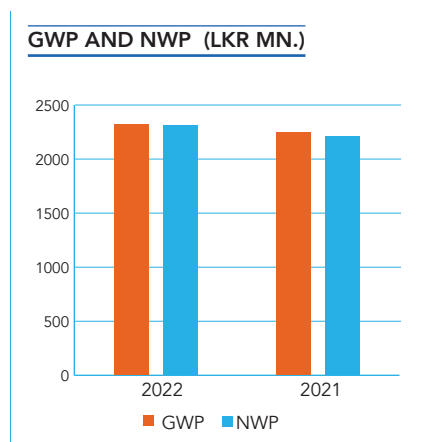
GWP	2022 (LKR Mn.)	2021 (LKR Mn.)
FYP	1,060	1,376
Renewal	1,085	869
Group premium	173	67

GWP during the year under review increased by 0.3% over the previous financial year, and reached LKR 2.318 Bn. in 2022 against LKR 2.312 Bn. earned in 2021.

Renewal premia increased to LKR 1.08 Bn. against LKR 869 Mn. reported in the previous year. Meanwhile, Group Premium also increased by 158%. First year of policy Premium decreased due to the economic crisis.

NET WRITTEN PREMIUM

As a result of increased GWP, the NWP marked a 2% growth rising to 2.24 Bn. In 2022 from LKR 2.20 Bn. posted in 2021



CHANNEL-BASED REVENUE

The increase in premium earnings is partially a result of improved sales force and agent performance. During the year, increase in earnings was recorded through our agent force of 2,372 members.

REVENUE – PROVINCIAL BREAKDOWN

Province	No. of Branches	GWP (LKR Mn.)	GWP Per branch
Western	18	778	43
Northern	6	351	59
Eastern	9	160	18
Southern	9	478	53
Sabaragamuwa	7	108	15
Central	9	58	6
North Central	5	156	31
Uva	6	229	38
North Western	4	0.17	0

Revenue branch-wise	2022	2021
Number of branches	73	66
Net underwriting result per branch (Average) (LKR Mn.)	9	11
Net business premium per branch (Average) (LKR Mn.)	31	35

INVESTMENT PORTFOLIO

The total investment portfolio for the year 2022 was recorded as LKR 3.6 Bn. in relation to LKR 3.4 Bn. reported in 2021 – growing by 6% over the previous year.

2021 (LKR Mn.)	3,470
2022 (LKR Mn.)	3,682
Growth in 2022	6%

INVESTMENT INCOME

The increase brought the total earnings from investments in financial instruments up to LKR 452 Mn. from LKR 256 Mn.

2021 (LKR Mn.)	256
2022 (LKR Mn.)	452
Growth in 2022	76%

COMMISSION INCOME & OTHER OPERATING REVENUE

Income from fees and commissions was reported as LKR 50 Mn., an increase from LKR 45 Mn. posted in 2021.

2021 (LKR Mn.)	53
2022 (LKR Mn.)	81
Growth in 2022	53%

NET INCOME

Net income for the financial year was reported as LKR 2.7 Bn. The total income accumulative of various income streams increased by 11% over the net income of the previous financial year.

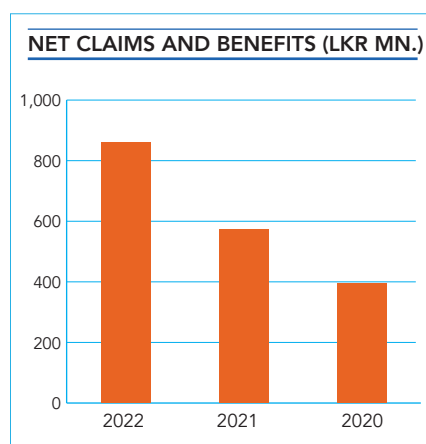
2021 (LKR Mn.)	2,518
2022 (LKR Mn.)	2,799
Growth in 2022	11%

TOTAL COMPREHENSIVE INCOME

2021 (LKR Mn.)	210
2022 (LKR Mn.)	(154)
Growth in 2022	-173%

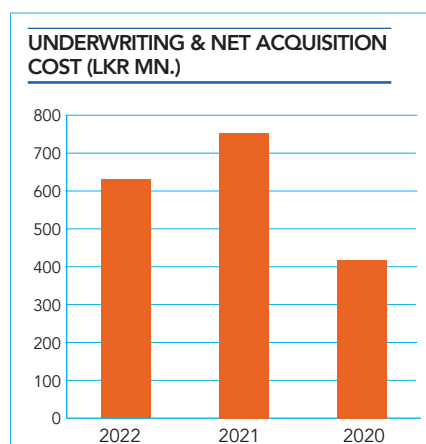
NET CLAIMS AND BENEFITS

During the financial year under review, a total of LKR 860 Mn. in total claims and benefits was paid to our policyholders. This increase falls in line with clear the pending maturities claims related to 2022 and with the expansion of the group life we have to paid more OPD claims related to 2021.



UNDERWRITING & NET ACQUISITION COST

In relation to the changing of permanent cadre to non-permeant cadre in 2022, underwriting and acquisition cost also decreased by 16% to LKR 630 Mn. In 2021, this figure was around LKR 753 Mn.



	2022	2021
Underwriting results per branch (Average) (LKR Mn.)	9	11

OTHER OPERATING AND ADMINISTRATIVE EXPENSES

Operating and administrative expenses increased over the year from LKR 671 Mn to LKR 747 Mn. in 2022. The increased is due to expansion of physical branch network and new recruitments.

2021 (LKR Mn.)	671
2022 (LKR Mn.)	747

PREMIUM CEDED TO REINSURERS

During the year, the premium ceded to reinsurers decreased to LKR 72 Mn. from LKR 103 Mn. reported in the corresponding year.

2021 (LKR Mn.)	103
2022 (LKR Mn.)	72

CAPITAL ADEQUACY

At the end of the financial year, capital adequacy was well-above the statutory minimum indicating our ability to compensate any financial losses in the future.

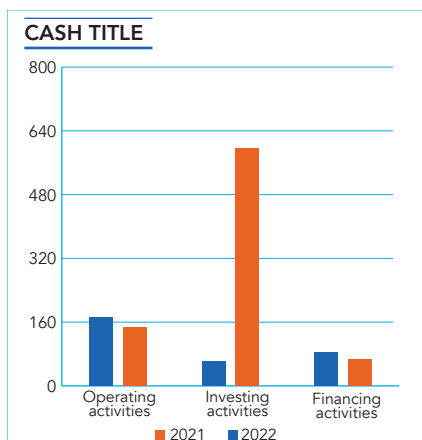
	2022	2021
Capital Adequacy Ratio	214%	435%
Statutory Requirement	120%	120%

CASH FLOWS

In managing the cash flows effectively, we focused on timely and calculated planning to manage expenditure, mainly payments to stakeholders. Cost projections and budgeted receipts of inflows enabled us to maintain a balanced cashflow position.

Cash Flows	2022	2021
Cash Flows from operating activities	173	148
Net cash generated from operating activities	167	145
Net cash flow used in investing activities	62	596
Net cash flow used in financing activities	85	67

FINANCIAL CAPITAL



The cash flow from operating activities for the financial year stood at LKR 173 Mn. increasing by 17% over the last financial period, which was at LKR 148 Mn. This increase impacted net cash generated from operating activities which rose to LKR 168 Mn. from LKR 146 Mn. reported in 2021.

Net cash flows used in investing activities fell substantially in 2022 to LKR 62 Mn. from LKR 596 Mn. in 2021; Acquisition of financial investments in 2022 Increased to LKR 2 Bn by 73% in comparison to LKR 1.2 Bn recorded in 2021. Moreover, proceeds from maturity of financial investments Increased by 252% to LKR 1.7 Bn. from LKR 487 Mn. reported at the end of 2021.

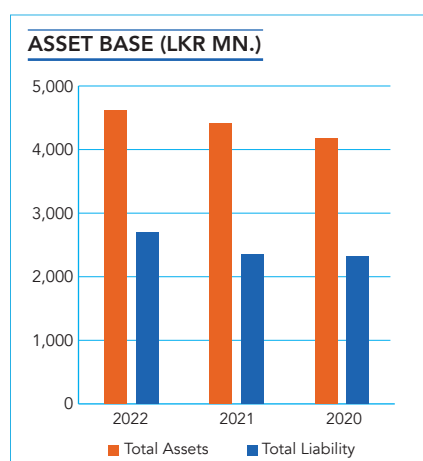
Net cash used in financing activities also increased by 27% over the corresponding financial period. Subsequently, the net increase / (decrease) in cash and cash equivalents increased from LKR (518 Mn.) reported in 2021, to LKR 19.7 Mn. in 2022. Moreover, cash and cash equivalents at the end of the year increased by 13% to LKR 170 Mn.

ASSET BASE

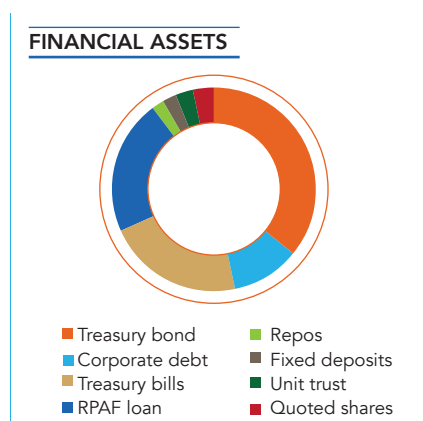
Total asset base of the company increased to LKR 4.6 Bn. in the financial year ended 31st December 2022, from LKR 4.4 Bn. reported in the previous financial year.

The biggest proportion of our asset base is weighed on financial assets, which

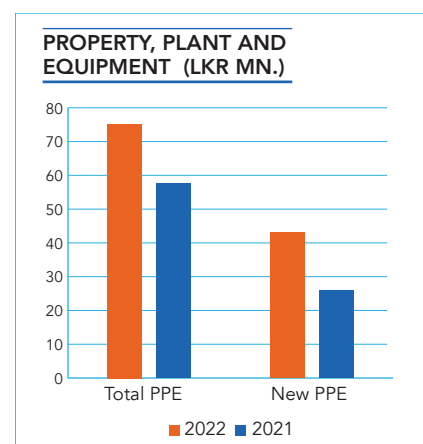
amounted to LKR 3.7 Bn. This increased to 6% from previous year's total financial assets. Financial assets represent a 80% portion of total assets. Maturity profiles of financial assets are spread across a period beginning from 1 year to 10 years baised on contractual obligations.



Financial Assets	2022 (LKR Mn.)	2021 (LKR Mn.)
Treasury bond	1,322	534
Repos	405	1,062
Corporate debt	794	1,101
Fixed deposits	784	412
Treasury bills	70	49
Unit trust	90	76
RPAF loan	100	100
Quoted shares	116	234



In the year under review, PPE increased to LKR 75.2 Mn. from LKR 57.6 Mn. recorded in 2021. Nevertheless, at the end of the financial year under review, new PPE investments rose to LKR 43 Mn. from LKR 26 Mn. incurred in the year before.



LOANS AND RECEIVABLES

A major portion of our financial assets is represented by loans and receivables, which amounted to LKR 2.1 Bn. compared to LKR 2.6 Bn. reported in the previous financial year.

REINSURANCE AND PREMIUM RECEIVABLE

Reinsurance receivables were decreased to LKR 1.9Mn and premium receivables were increase to 99Mn. Meanwhile other assets increased to LKR 84Mn in 2022 from LKR 63 Mn in 2021.

INTANGIBLE ASSETS

Our intangible assets at present amount to LKR 1.1 Mn. This amount is expected to increase in the coming years from investments in digital transformations such as internal digitalizations and digital customer channels.

STATEMENT OF FINANCIAL POSITION

TOTAL LIABILITY

Total liabilities of the Company increased only marginally during the 12 month period of the financial year under review. The sum of total liabilities stood at LKR 2.70 Bn. at the end of the financial year, changing almost unnoticeably from LKR 2.34 Bn. which was the total liabilities of 2021.

2021 (LKR Bn.)	2.34
2022 (LKR Bn.)	2.70

REINSURANCE LIABILITIES

The Company's dues to reinsurance companies amounted to LKR 32.4 Mn., which had reduced at the end of the financial year. The amount corresponding from last year's balance sheet was LKR 70 Mn. recording an 54% reduction for the year 2021.

2021 (LKR Mn.)	70
2022 (LKR Mn.)	32

LEASE & OTHER FINANCIAL LIABILITIES

The Company's obligations in lease increased to LKR 175 Mn. in 2022 from LKR 157 Mn. recorded in 2021. Similarly, other financial liabilities also increased, standing at LKR 117 Mn. at the end of the financial year, from LKR 107 Mn. recorded in 2021.

2021 (LKR Mn.)	157
2022 (LKR Mn.)	175

ACCOUNTING STANDARDS AND SLFRS 17

Several initiatives have been successfully completed in transitioning to SLFRS 17. Relevant gap analysis was conducted by the finance department together with the assistance of third-party consultancy services and in ascertaining the best direction going forward. Internal accounting

system software has been adapted to suit the necessary changes, through compatibility testing.

GOING CONCERN

In preparing Financial Statements the Board of Directors used 'Going Concern'. This was done subsequent to a thorough analysis of the Company's financial position and cash flow position. It has been ascertained that the Company is not in the midst of any risk to its liquidity and can operate without any cause for concern in the foreseeable future.

EQUITY POSITION

Composition of Shareholders' Funds

	2022	2021
Stated Capital	676 Mn	676 Mn
Retained Earnings	1.46 Bn	1.42 Bn
AFS Reserves	(216 Mn)	(27 Mn)
Shareholders Equity	1.92 Bn	2.07 Bn

VALUE CREATION OUTCOMES

The outcomes of our drivers of financial value are depicted below, presenting our financial health and stability.

Indicators	2022	2021
Return on equity (%)	1.8	12
Return on assets (%)	0.78	5
Earnings per share (LKR)	0.55	3.57
Share price (LKR)	22.7	28.4

RETAINED EARNINGS AND STATED CAPITAL

Retained earnings for the year 2022 was reported as LKR 1.46 Bn. in comparison with the previous year's sum of LKR 1.42 Bn. The deviation is an increase of 3% as a result of the commendable increase in net earnings and profitability for the year ended 31st December 2022.

The company's stated capital of LKR 676 Mn. remained unchanged with no further capital injections in the financial year under review.

NATURAL CAPITAL



At Arpico Insurance PLC we increasingly focus on giving back to the environment and on conserving natural resources. We are conscious of the impact we have on the environment and continue to be mindful and responsible about our consumption needs as a business organization. We remain committed towards reducing our carbon footprint by adopting sustainable business practices that encourage the responsible consumption of resources across all spheres of the organisation.

HOW WE CREATED VALUE DURING THE YEAR

- Adoption of flexible and remote working arrangements.
- Adhering to practices that minimize our carbon footprint.



WHAT WE ACHIEVED DURING THE YEAR



782_{GJ}
energy saving



620Kg
paper recycled



100Kg
e-waste recycled



175m³
water saving

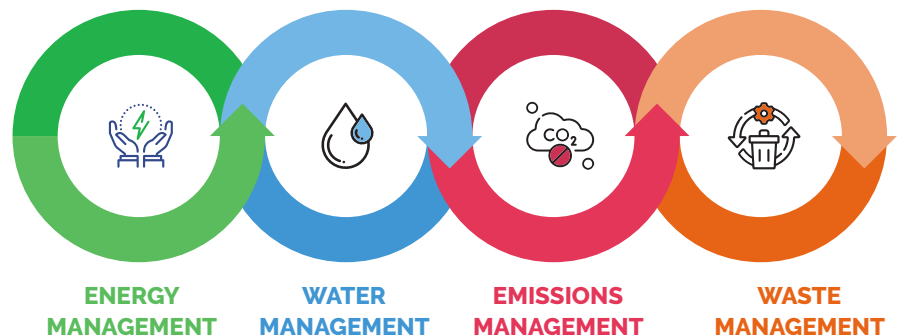
LINK TO MATERIAL ISSUES

- Topic 15 - Environmental sustainability

OUR ENVIRONMENTAL AGENDA

Our environmental agenda revolves around best practices in energy management, water management, emissions management and waste management across our value chain. Whilst ensuring that we strictly adhere to all environmental laws, regulations and requirements we also continue to create awareness within our organization through ongoing awareness and knowledge sharing sessions about the importance of protecting our environment.

ENVIRONMENTAL MANAGEMENT ASPECTS OF ARPICO INSURANCE





ENERGY MANAGEMENT

We continue to focus on enhancing energy efficiency across all aspects of our operations. Total energy consumption during the year amounted to 5,379 GJ resulting in an energy cost of LKR 21 Mn. We focused on several measures to reduce energy consumption and enhance energy efficiency and as a result we were able to achieve a saving of 28% in terms of the total energy cost compared to the previous year.

ACTIONS TAKEN TO SAVE ELECTRICITY

- Switching off a/c plant No. 2 at 4.30 p.m. according to the business hours and optimal temperature.
- Turn off unused electrical devices.
- Optimum use of natural lighting through efficient interior planning.
- Make employees aware about the energy saving.
- Initiated the replacement of all incandescent and compact fluorescent lights at office premises to LED light bulbs.

Total energy consumption

5,379 GJ

Total energy saving

782GJ

Energy consumption per branch

68.1GJ



WATER MANAGEMENT

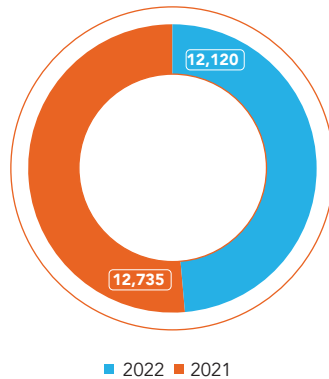
We continue to implement water conservation initiatives across our branch network. We create awareness on the importance of water conservation and provide information on water saving tips in our lunchrooms and washrooms. The

Company has also assigned a dedicated maintenance officer to oversee preventive work and repairs and prompt immediate action to minimize any wastage.

ACTIONS TAKEN TO REDUCE WATER USAGE

- Monitor indoor and outdoor water usage and review water bills of the branches and the head office
- Consult with a plumber to ensure that the company has all the bases covered once in three months
- Educate employees on the importance of water conservation and set conservation goals
- Continuously remind employees on the importance of conserving water
- Reduce water pressure which would ultimately reduce water waste over time

Water Usage (M³)



Total water consumption

12120 m³

Water consumption per person

2.1 m³

Water consumption per branch

175 m³



EMISSIONS MANAGEMENT

As a service organization our emissions are mainly Scope 1 emissions on account of fuel consumption for generators and employee commuting and scope 2 emissions on account of electricity consumed. We introduced several measures to reduce the usage of fuel during the year in light of the fuel shortage that occurred. The work from home option provided to employees and holding of meetings virtually via zoom enabled us to reduce scope 1 emissions. Additionally, we also made it a point to turn off air conditioning when using generators and used Company vehicles for promotional activities only within the Colombo city limits.

Fuel cost saving in 2022

27%



WASTE MANAGEMENT

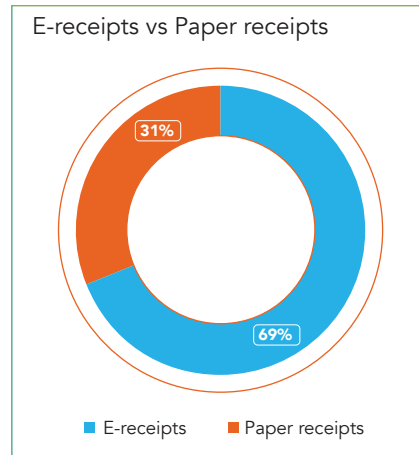
The Company continued to advocate good waste management practices revolving around the 3R concept of reduce, reuse and recycle. These principles are ingrained into all areas of our operation through employee awareness and systems and processes to implement and monitor progress.

INITIATIVES TO REDUCE PAPER

- Use of e-mails and other digital methods for most branch communications, to minimize paper consumption, ultimately moving towards a paperless work environment.
- All non-permanent contracts are sent to the branches as pdf documents.
- Re-usable envelopes and papers are utilized for transferring documents, internally.

NATURAL CAPITAL

- An administrative officer handles material allocation to branches, provides approval and monitors consumption.
- Implementation of an electronic payment gateway
- Introduction of an e-receipt system to eliminate the use of paper receipts to customers. This system was implemented in March 2022 and we have been able to achieve a 64% saving in terms of paper receipts during this period. This initiative will contribute indirectly to a considerable number of trees saved.

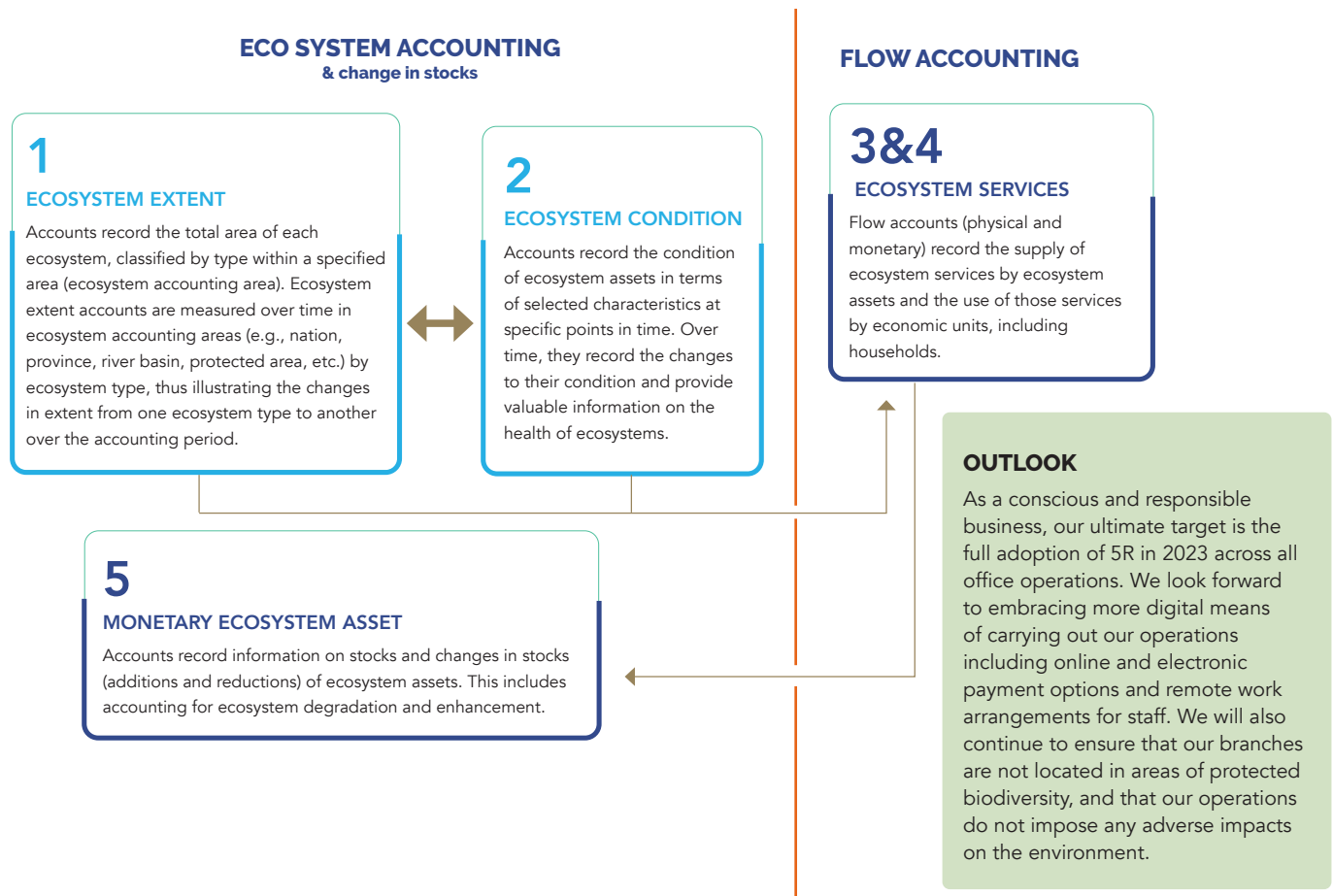


CONSERVATION OF BIODIVERSITY

Even though our operations do not have a direct impact on biodiversity, we have embarked on several initiatives over the years to create a positive impact on the natural environment. The “Green Club” is one such initiative which spearheads the Company’s sustainability efforts and aims to create awareness both internally and externally on environmental protection. We also ensure that our branches are not located in areas of protected biodiversity. The following programs were carried out during the year.

ECO SYSTEM ACCOUNTING

System of Environmental Economic Accounting (SEEA) constitutes an integrated and comprehensive statistical framework for organizing data about habitats and landscapes, measuring the ecosystem services, tracking changes in ecosystem assets and linking this information to economic and other human activity.



HUMAN CAPITAL



The human capital of Arpico insurance PLC is represented by its competent and dynamic workforce. The combined effects of workforce composition and diversity, their capabilities and initiatives for growth amplify our ability to meet stakeholder expectations and strategic objectives. Our approach to managing our human capital is supported by a strong HR policy framework, and well governed systems and processes. Inspiring and motivating our team to reach higher is important to us and we support our staff towards their professional growth and development as it is the human capital resource that ultimately drives our success.

HOW WE CREATED VALUE DURING THE YEAR

- **LKR 500 million** payments to employees
- **LKR 72 million** investments in training and development
- **62 employees** promoted during the year
- **LKR 32 million** investments in ensuring employee safety

OUR TEAM

Our team comprised of 468 high-performing and dedicated employees bringing a varied set of skills and expertise to our value creation process as at the end of the year under review. Their commitment, professionalism and capabilities continued to steer the company forward and drive organisational growth.



WHAT WE ACHIEVED DURING THE YEAR



287
New recruits



2,377
Total training hours



6.3
Training hours per employee



45%
Female representation
Work from home enabled for
20% staff

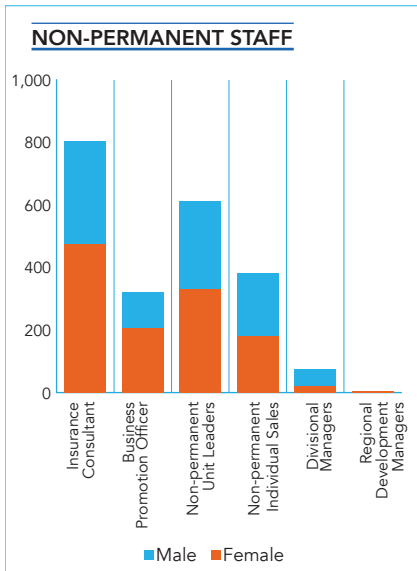
LINK TO MATERIAL ISSUES

- Employee health and safety
- Employee growth
- Improve employee knowledge on risk management

Employees	2022		
	Executive	Non-executive	Total
Permanent	230	44	274
Contract-basis	17	44	61
On-probation	63	70	133
Total	310	158	468

Gender	2022		
	Executive	Non-executive	Total
Female	70	136	206
Male	212	50	262

HUMAN CAPITAL



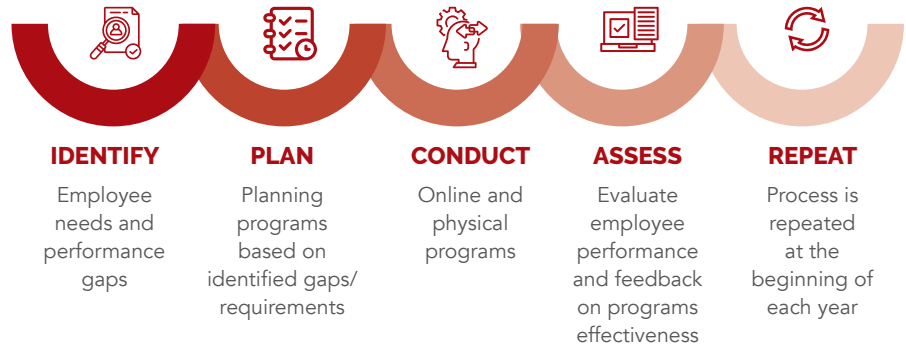
NEW RECRUITS BY GENDER AND CATEGORY OF EMPLOYMENT

	Male	Female	Total
Assistant manager and above	7	3	10
Executive	125	36	161
Non-executive	45	81	126

BUILDING TALENT

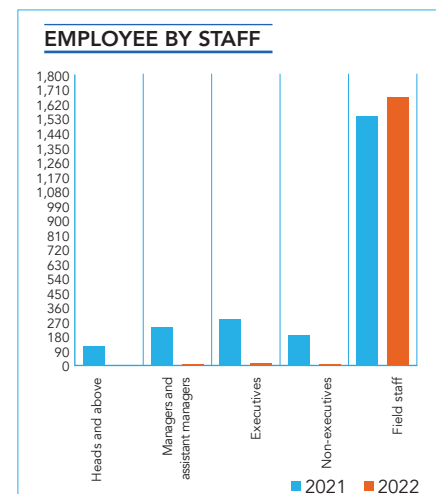
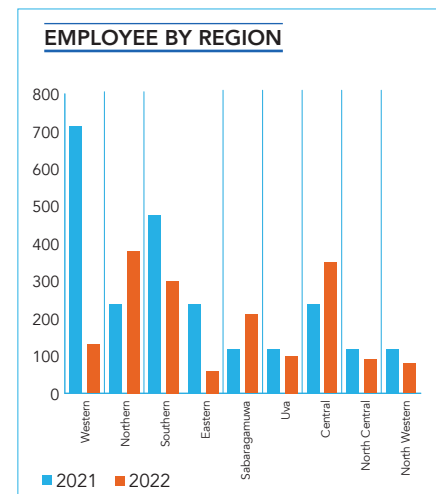
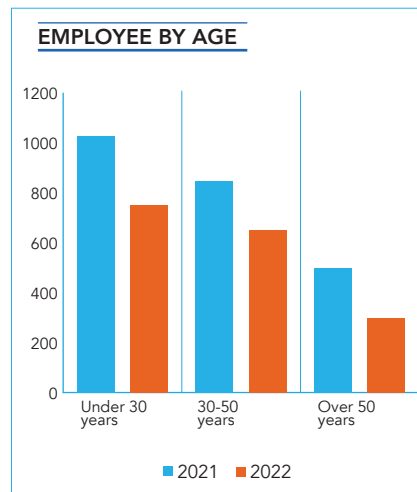
The company makes every effort to build a corporate culture where employees can perform well, meet their potential and truly connect with the vision of the organization. In a rapidly evolving business environment Arpico Insurance aims to create a game-changing workforce that is up to date with the latest technological developments and technical standards by fostering a culture of continuous learning.

Training programs are developed gradually, accommodating employee and organizational needs.



During the year, our focus leaned towards internal training endeavours with the addition of two external training programs.

2022	
Total internal programs	232
Internal training hours	2,362
Total external programs	2
External training hours	15
Online training programs	66
Online training hours	528



PERFORMANCE MANAGEMENT

We have set in place relevant indicators (KPIs) in providing benchmarks for employee performance. KPIs are assessed for employee recognition and awards, making them measurements of success for staff (sales and technical) across the company. KPIs are created and revised regularly under the direction of the company's HRM and our senior management. Subsequently the departmental level and employee level KPIs and action points are cascaded down under the guidance of the CEO.



Appraisals are conducted periodically using the set KPIs and the results of appraisals are used for annual awards and employee recognition, particularly in rewarding the achievements of the sales team.

RECOGNITION AND REWARDS

Our remuneration policy aims to recognize, reward and retain high-performing employees thereby nurturing a performance driven culture. Several recognition initiatives were carried out during the year in appreciation of the commitment and dedication of our employees as outlined below.

ANNUAL AWARDS PROGRAMME

Our annual awards program is a key initiative which aims to uplift employees and reward performance excellence. During the year, we held our 10th program, recognizing the best of our sales professionals. The program was conducted in adherence with the relevant health regulations. In total 21 winners received awards titles, across 07 categories.



EMPLOYEE OF THE MONTH

Each month, an employee with outstanding service is selected and recognized for his or her service performance, upon evaluating nominations from all divisions. Subsequently, the selected employee of the month is announced through e-mails, social media and is recognized across the organization.



MDRT PROGRAMME 2022

During the year, our sales force received commendations for their dedication and passion for excellence in business achievements.

- In 2022, an agent from our Nelliady Branch emerged as the year's first MDRT achiever.
- Altogether there were 18 MDRT achievers during 2022.



ARPICO INSURANCE 10TH ANNIVERSARY

As the company celebrated its 10th anniversary the following rewards were given in appreciation of the loyal service demonstrated by its employees.

- Long service appreciation award for employees who completed 5 years of service - 27 recipients.
- Long service appreciation award for employees who completed 10 years of service - 07 recipients.



HUMAN CAPITAL

REMUNERATION AND BENEFITS

The duties employees undertake are recognized with fair remuneration and benefits without discrimination between those of the same pay grades. Our salaries are on par with industry standards and complemented by medical benefits and allowances. Moreover, annual increments are given to employees with demonstrated performance. We also ensure timely contributions to ETF and EPF payments on behalf of all our permanent staff. They are also entitled to gratuity as per regulations.

NON-MONETARY BENEFITS PROVIDED TO EMPLOYEES

- Free health cover
- Re-imbursement of medical expenses
- Education Loan
- Professional Subscriptions
- Phone Allowance
- Internet Allowance
- Travel/Vehicle Allowance
- Fuel Allowance

HEALTH AND SAFETY

During the past couple of years, we increased our focus on the health and safety of employees with the outbreak of the pandemic. To ensure employees safety and health, the Company's management continued to encourage employees to work from home and limited employee visits to our office premises for critical work functions which required their physical presence. When visiting the office, employees were expected to adhere to all government-mandated COVID-19 safety rules.

EMPLOYEE ENGAGEMENT

Ensuring open engagement through which we can listen to and learn from our employees is critical in creating a conducive work culture. Some of the initiatives carried

out to enhance employee engagement and camaraderie are as follows.

COFFEE WITH CEO

'Coffee with CEO' was initiated by the Company CEO as a means of having direct and open engagement with employees, while exchanging ideas and concerns for corporate and individual growth.

TOWNHALL MEETINGS

- 2022 Together as One – Way Forward
- 2022 Q1 Review at Citrus Waskaduwa



COMPLIANCE

Group HR ensures that we comply with all labour regulations, in addition to ensuring no underage recruitments, as well as compliance to timely statutory payments for employees (ETF, EPF and salaries).

NON-DISCRIMINATION

A zero-tolerance stance is taken against any gender-based discriminations or violations of rights of employees. Policies are in place to manage such circumstances and in taking remedial action in resolving matters.

FUTURE OUTLOOK

We will maintain our focus on nurturing and developing a strong and ethical workforce able to contribute to the company's goals while supporting sustainable development. The well-being of employees will remain a priority while the country navigates through a challenging phase. We will continue to provide our fullest support to overcome this crisis. We hope to increase the depth and breadth of our talent pool with specialized training and succession planning programs aimed at building the next layer of leadership. We will also continue to place increasing emphasis on finding ways to make operational processes more efficient and effective through increased digitization and process automations which will also allow us to reassign our resources in a more effective manner.

Our key human capital enhancement plans are demonstrated below;



Knowledge-sharing culture



360° feedback



Provide ongoing coaching



Divide labor into specialized niches



Continue to hire a diverse workforce.

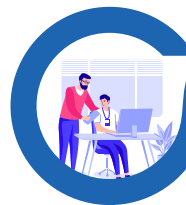


Change management for leadership



Provide a work culture that encourages creativity

FIVE WAYS TO INCREASE HUMAN CAPITAL



IMPROVE EDUCATION FOR YOUR WORKFORCE



PROVIDE A WORK CULTURE THAT ENCOURAGES CREATIVITY



DIVIDE LABOR INTO SPECIALIZED NICHES



HIRE A DIVERSE WORKFORCE



PROVIDE ONGOING COACHING

SOCIAL AND RELATIONSHIP CAPITAL



Relationships are the heart of our company and an integral part of our day-to-day operations. Our relationships with our customers, business partners and society at large are proof of our Social and Relationship capital. Healthy stakeholder relationships are crucial for preventing value loss and promoting sustainable value creation. The value we produce for them allows us to retain their loyalty, trust and support for years to come.

CREATING VALUE FOR CUSTOMERS

The value we create for our customers continues to increase, as we place them at the centre of our vision for the future. We strive to make improved customer service a key metric through which customers retain their trust and confidence in us. Throughout the year, we offered novel and efficient products and solutions in an effort to remain relevant.

PRODUCT IMPROVEMENTS DURING THE YEAR

1. Arpico Platinum Investor Rider

We introduced an innovative 'Platinum Investment Rider' scheme that can be purchased with different base plans to increase the maturity value. The additional benefits included:

- Guaranteed increase of initial sum assured every year up to 35%.
- A fixed life insurance cover equal to the maturity benefit + maturity booster.



WHAT WE ACHIEVED DURING THE YEAR



CUSTOMERS

- **LKR 746 Mn.** in Claims And Benefits
- **5 New** Innovative Rider covers
- **7 New** Branches
- New e-receipt system
- Operational support during the Economic crisis.



AGENTS

- Growth in **GWP by 26%**
- Growth in commissions and incentives
- Training Programs
- MDRT achievers adding value to human capital



OTHER PARTNERS

- Maintaining relationships with international reinsurers
- Trusted bancassurance partners

LINK TO MATERIAL ISSUES

- Provide a satisfactory service to customers and suppliers
- Adoption of fast-moving technological development
- Enhance business transparency and ethical practices

SOCIAL AND RELATIONSHIP CAPITAL

- 15% of initial sum assured as cash to your hand in an emergency, after 3 years.
- Up to 100% increase of the initial rider sum assured for timely premium payments.

2. Cash Back Protector

This latest cover was introduced to protect clients against critical illnesses and total and permanent disabilities while paying back paid rider premiums if no claims were made. Benefits included:

- Protection made available for both life assured and the spouse
- Monthly, quarterly, half yearly and annual premium payment options

3. Digital Claims Submission and Online Settlement (Contactless management)

We continued to digitalize our operations during the year under review as outlined below.

- We facilitated customers with digital claims submissions, via e-mail and WhatsApp.
- Online methods gradually deployed for claim settlement.
- Moreover, all COVID-related claims were settled for 2022.

EXPANDING OUR REACH

Developing networks is one of the best ways to grow your business. Hence, expanding our reach and accessibility through both physical and digital channels continues to be a vital strategy in providing solutions and services. Our touchpoints remain key mechanisms through which we engage with a diverse customer base.

TOUCHPOINTS



BRANCH NETWORK – RETAIL FOOTPRINT

Our branches serve as vital means that not only enable direct customer services but also play a key role in how we develop focused and individualized relationships with all of our clients.

Getting insurance solutions to thousands of customers across the island, we operate through a branch network of 73 offices spread across all provinces. Out of the 73 branches we included 7 new branches in 2022, with 11 branches being relocated to new areas.

BRANCHES PROVINCE-WISE

Province	No. of Branches
Central	9
Eastern	9
North central	5
North western	4
Northern	6
Sabaragamuwa	7
Southern	9
Uva	6
Western	18

DIGITAL INTERACTIONS

Our corporate website, Facebook page and LinkedIn profile power our digital media presence, making them digital channels for interacting with consumers throughout Sri Lanka.



WEBSITE

The user experience on our business website is constantly being improved by adding new features. We enabled online payment choices through our website starting in 2021 to enable flexible online payment options.



SOCIAL MEDIA

Our social media footprint was stronger in 2022 through multilingual, informative posts and engaging adverts on Facebook and LinkedIn which led to improved customer interactions.

THROUGH FACEBOOK;

- On World Oceans Day, we promoted awareness of the oceans' critical importance and their part in maintaining a healthy planet.
- Raised public awareness of issues linked to population growth on World Population Day.



PRODUCT PORTFOLIO

Based on the ideal of 'Insurance for the Living' our portfolio of insurance solutions extends well beyond life insurance. It encompasses insurance that supports critical moments of life, from health emergencies to educational requirements, as well as financial security through investment and retirement policies

- Arpico Endowment Plan
- Arpico Relief Plan
- Arpico Term Assurance Plan
- Arpico School Fees Plan
- Arpico Investment Bond
- Arpico Retirement Plan
- Arpico COVID Care Plan
- Arpico Healthcare Plan
- Arpico Diabcare Plan
- Arpico Trust Plan

SAFEGUARDING CUSTOMER INTERESTS

At Arpico Insurance PLC, we claim responsibility in product designs and policy creations, while remaining compliant with regulations.

The following steps are taken to ensure accountability in introducing covers to the market.

INTERNAL APPROVAL

Upon creation of new policies, approval is sought from the Board of Directors.

This enables a conscious, independent evaluation of benefits offered and its positive and negative impacts on customers.

EXTERNAL EVALUATION AND APPROVAL

Approval of IRCSL is sought prior to product launch.

Any suggested revisions made and re-submitted for approval.

LAUNCH

A launch event held with participation of the media and public

RESPONSIBLE COMMUNICATIONS

Clients are informed of all related policy aspects, benefits and premium requirements in a clear and comprehensive manner, prior to formulating policies

REGULATORY MANDATE

Arpico Insurance PLC is subject to the IRCSL's laws and regulations and complies with all of its directives.

STRENGTHENING DATA AND NETWORK SECURITY

We prioritize digitization and technological developments through online payments, but we also make sure that all security precautions are taken to ensure customer online safety.

ACCESS TO INFORMATION

Customers requiring access to product information can pursue several options.

- Website – provides comprehensive overviews of product information. Branch information also can be obtained in addition to relevant applications and financial documentation for shareholders.
- Product material – Access to product information and communication materials are readily available in our branches.
- Enquiries – For any issues, customers can contact our 24-hour call center at 011-2-200-900. They can also send queries and concerns to us via our Facebook page or by email.

CLAIMS MANAGEMENT AND SETTLEMENT

Insurance claim management is crucial as it affects how insurance policyholders are protected. Therefore, we adopt a prudent approach in managing and settling claims and continuously work on improving turnaround times. Our investments in digital transformations are anticipated to boost effectiveness, with space for further improvements.

3-Day
claim settlement

LKR 926 Mn.
Claims paid in 2022

Digital
claims submissions

100% settlement
of COVID-related claims

SOCIAL AND RELATIONSHIP CAPITAL

CLAIMS SETTLEMENT

Claims are settled in an average of three days. The percentages of cases that were resolved in 2022 are shown in the table below.

% of Claims Settled	2022
Maturity claims	36%
Hospitalization (per day) benefit	20%
Hospitalization reimbursement benefit	89%

SERVICE STANDARDS

TURNAROUND TIMES

We adhere to a set of service standards for our most important operations, which call for us to constantly increase our productivity to deliver the best service possible.

Service Turnaround Times	
Time taken for underwriting decisions -Non Medical	8 Min
Time taken for underwriting decisions -Medical	25 Min
Time to formulate policies and reach customers	6 Working Days
Average time to resolve queries	30 Min
Claims settlement average time	3 Days

CLAIMS

- Claims will be paid within 3 working days if all documents are in order.
- Rejection letters will be sent within 2 days.
- Pending requirements will be notified within 48 hrs.
- 1st reminder after 7 days from the pending letter.
- Final reminder after 7 days from the 1st reminder.
- Closed letter after 7 days from the final reminder.

POLICY CONSERVATION UNIT

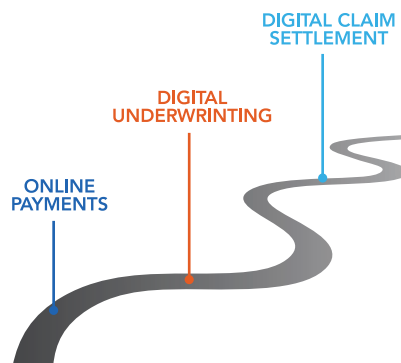
Despite changes in agents and advisors, the policy conservation unit, which was established in 2021, continued to guarantee that policies are followed. The department is in charge of making sure that policyholders are informed of any required changes while continuing to provide uninterrupted customer service.

BRANDING AND PROMOTIONS

We carried out a number of brand-building exercises throughout the year with the goal of increasing consumer and media recognition of our products and brands. LKR 15 million was spent on these endeavors in total.

DIGITAL TRANSFORMATION

We started implementing digital solutions in place of conventional methods to allow quicker turnaround times and more effective processes. We have started making the transition to digital solutions, primarily in the payment, underwriting and claim settling sectors.



COMPLAINT MANAGEMENT

Management of complaints is crucial to both successful customer service and company operations. It not only provides a way to collect insightful customer data, but it also aids in the development and improvement of the business, which lowers costs, boosts profitability and improves customer satisfaction.

The core component of resolving complaints from holders of individual and corporate policies is the complaint management system.

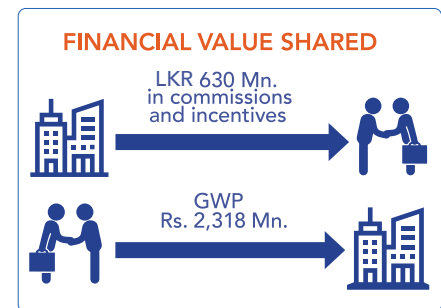
- Complaints received in 2022 – **206**
- Those resolved – **155**
- Resolution ratio – **75**

STRENGTHENING BONDS WITH BUSINESS PARTNERS

Our method of creating value depends to a great deal on our business partners. They support our general business outlook and help us achieve our strategic goals in addition to being our business partners.

AGENTS

Our priority is to establish successful working relationships with our agents so they can introduce clients from all over Sri Lanka to our services.



TRAINING AND DEVELOPMENT

Our development is greatly influenced by our agents and consultants. We conducted a number of training and development initiatives to fuel their knowledge and professional dedication.

RECRUITMENT

During the year we witnessed a reduction in our sales staff by 15%.

Agents	2022	2021	Change %
Total Agents	2372	2805	(15%)

REINSURERS

We have collaborated with reinsurance firms in order to manage and diversify risk to minimize volatility. Our reinsurance partners are chosen for their prominence in the global insurance market, as evidenced by their rating and excellent liquidity. We collaborate with reinsurers rated "A" or higher. Ratings for reinsurers are continuously reviewed.

We work with two esteemed international reinsurers; namely Munich Re and Hannover Re.



Munich Re – Originated in German, Munich Re is one of the top providers of reinsurance, primary insurance, and insurance-related risk solutions in the world with a history of over 143 years. Taking on risks worldwide of every type and complexity, the Munich Re Group and its business units are active in all lines of insurance. We have partnered with Munich Re for both individual and group policies.

Fitch Ratings has affirmed Munich Re and its core subsidiaries Ratings at 'AA'. The affirmation reflects Munich Re's 'Most Favourable' company profile within the global reinsurance sector, 'Very Strong' capitalization and 'Strong' financial performance.

In addition, AM Best has affirmed the Financial Strength Rating of A+ for Munich Re. The ratings reflect Munich Re's balance sheet strength, which AM Best assesses as strongest, as well as its strong operating performance, very favourable business profile and very strong enterprise risk management.



Hannover Re – Established in 1966, Hannover Re, is the third-largest reinsurer in the world. It transacts all lines of property & casualty and life & health reinsurance and is present on all continents. Hannover Re has grown into a global player within around 50 years, successfully dealing with risks and making the most of its opportunities. Services from Hannover Re are used in certain, special circumstances.

Fitch Ratings has affirmed Hannover Re Ratings at 'AA-'. The affirmation reflects Hannover Re's 'Favourable' company profile within the global reinsurance sector and 'Very Strong' capitalization and financial performance.

In addition, according to A.M. Best, the company is rated as A+ with a stable outlook.

CLAIMS CEDED TO REINSURERS

During the year, claims ceded to reinsurers increased.

Claims Ceded	2022	2021
Hospitalization	62.8	51.8
Death	3.4	2.8

SUPPLIERS AND SERVICE PROVIDERS

Vendors and other service providers are important partners who guarantee the smooth and efficient functioning of our business.

Goods providers

- Office equipment
- ICT hardware

Service providers

- Data and mobile connectivity
- IT solutions
- Advisory
- Maintenance services
- Logistical services

RELATIONSHIP WITH SUPPLIERS

Selection – Is conducted through a gradual process, adhering to internal protocols. Moreover, we ensure their adherence to ethical conduct, transparency and reliability; attributes which are imperative for sound relations.

Engagement – Supplier engagement is done regularly through meetings, discussions and digital communication means.

Mutually rewarding partnerships - We strive to respect contractual obligations, while maintaining pricing policies that are in line with internal group policies. Moreover, our business continuity plan ensures contingencies for unexpected circumstances.

SOCIAL AND RELATIONSHIP CAPITAL

RECOGNITIONS AND REWARDS

ANNUAL AWARDS PROGRAM 2022

Through the Annual Awards Program, Arpico Insurance PLC recognizes and rewards its best sales performers each year.



The rewards program was held in June 2022 at Cinnamon Grand Colombo in accordance with health and safety regulations. In total, 21 winners were recognized with awards under 7 categories.



INDUSTRY ACHIEVEMENTS

Our sales team earned awards during the year, highlighting their commitment and enthusiasm for outstanding business accomplishments.

MDRT Program 2022



MDRT is a global, independent association of the world's leading life insurance and financial services professionals. MDRT focuses on networking, education, personal and professional growth, adhering to ethical standards and outstanding client service.

In 2022, an agent from our Nelliady Branch emerged as the year's first MDRT achiever. In total, 22 agents emerged as MDRT achievers during the year. Moreover, 18 members of our team met the requirements for MDRT membership by exemplifying excellence through integrity, reliability and professionalism.

IASL Life Insurance Industry Sales Award

- Three of our dedicated Advisors received one silver award and two bronze awards as Best Advisors for 2022, awarded at the IASL Life Insurance Industry Sales Awards.

EVENTS

Arpico Insurance PLC 10th Anniversary



With 90 years of accomplishments of the Richard Peiris Group behind us, we have quickly grown to become one of the most formidable, credible and competitive insurance providers in the market. Providing insurance for the living during the last 10 years has been our honour.

Our 10th year anniversary was celebrated at our Head Office during which we presented awards to 27 employees who had been with the company for five years and 7 others who had been employed for more than a decade. In all, 34 awards for service excellence were given in 2022.

"One Blood" Blood Donation Programme



To mark the 10th year milestone, the "One Blood" Blood Donation Program was held at the head office in January 2022. The worthy cause proved to be a success with Arpico Insurance PLC being able to donate the highest units of blood during the day. 75 donors from the head office donated blood along with 30 donors from branches around the island who directly donated at the regional level hospitals.



Town Hall meetings

Two major town hall-style meetings took place in 2022. 'Together As One - Way Forward' was conducted in January 2022 and the 2022 Quarter 1 review was held in April 2022 at Citrus Waskaduwa.

OUTCOMES OF VALUE CREATED

Hoping to provide a great service for social welfare by achieving all the goals missed with Covid 19

Continuously focusing on giving back to the environment with the project of tree plantation

To provide the valuable service by expanding the branch network and strengthening the existing relationships.

Carry out the professional development activities to empower the employers

OUTLOOK

We will keep fostering our connections with customers, business partners and the wider community by being more involved and making interventions that are significant and meet their changing requirements.

INITIATIVES	2022	2021
CUSTOMERS		
Total Policies	16,890	22,186
New Rider covers	5	1
New Branches	5	9
Total Branches	73	66
Investments in new Branches (LKR)	26.4Mn	10.8 Mn.
AGENTS		
Total team force	2,372	2,154
Commissions and incentives (LKR Mn.)	630 Mn.	754 Mn.
Training programs (No.)	234	165
GWP (LKR Mn.)	2,318 Mn.	2,312 Mn.
MDRT Qualified (No.)	18	16
REINSURERS		
Munich Re (A.M. Best rating)	A+	A+
Hannover Re (A.M. Best rating)	A+	A+
Expense paid (LKR)	32Mn	70 Mn.
Claim Recoveries (Mn)	57	55

INTELLECTUAL CAPITAL



The term "intellectual capital" refers to the intangible assets that support the performance of our business. Our intellectual capital is a combination of intangible assets, represented by organizational governance and culture, innovations in systems and processes, employees' tacit and explicit knowledge, and brand value. At Arpico Insurance, we value these as assets that can be used to drive profits, gain new customers, create new products, or otherwise improve the business.

HOW WE CREATED VALUE DURING THE YEAR

- Online training programs for employees
- Introduction of E-receipting system
- Investment towards brand building activities
- Providing required training to all level of staffs
- Attract more industry experts to create value.



WHAT WE ACHIEVED DURING THE YEAR

- Best Risk Management Strategy of the Year 2021 - Emerging Asia Insurance Awards 2021
- Bronze Award in the Insurance Sector at the CA Sri Lanka TAGS Annual Report Awards 2022.



- Employees moulded to work under the 'new normal' environment



- Built a positive Arpico Insurance reputation in the market



- Digitalization



- Produced 18 MDTR members during year 2022.

LINK TO MATERIAL ISSUES

- Maintain a quick solution mechanism within the organization
- Development of an internal team for the implementation of IFRS 17
- Introduction of a new sales channels in order to increase the business value.

EMPLOYEE KNOWLEDGE

Our workforce consists of 3993 employees who possess extensive industry knowledge, skills and experiences, who make up our organization's tacit knowledge. These highly competent employees with diverse skills and inferred knowledge give us an edge over our competitors and drive our business growth. Along with employing qualified personnel, we make sure to provide ongoing training that meets industry standards.

KEY VALUE DRIVERS OF ARPICO INSURANCE PLC

Department	PHD	MBA	Graduate	Undergraduate	Professional Qualifications	Other	Diploma
Finance		1	10	2	3		
Actuarial & Investment			5		2		1
LIFE		2	5	3	1		
IT			3	1	3	3	
Marketing		1	1		1		
Administration	1		2		0	1	
Call center			1	1	0		5
Training	1		2	3	3		3
Total	2	4	29	10	13	4	9

TRAINING CONDUCTED IN 2022

The management conducted several training programs in 2022 totaling 2,377 hours in order to cultivate tacit knowledge. Some of the key programs were:

1. Technical underwriting training
2. Non-technical sales related training
3. 'Coffee with CEO' forums hosted by the Ceylon Chamber of Commerce to mentor our employees
4. Leadership trainings for middle level managers
5. Technical and practical training to non-sale staff members.

The training programs were carried out virtually and in accordance with the health regulations during the lockdowns as well as during the unrest situation in the country. Through these training programs our staff succeeded in expanding their capabilities and embraced greater responsibilities with confidence.

PROCESSES AND INNOVATIONS

Our systems and procedures, which have allowed us to stay responsive to a rapidly changing working environment, are a crucial part of our intellectual capital. The digitalization of our procedures has completely changed the game in adding value to our customers and as a result, we keep stepping up our efforts in digitalization.

• Process Improvement

We introduced the e-receipt system in 2022 and began offering our clients e-receipts. Moving away from the conventional paper-based receipt this initiative proves to be more beneficial and convenient for both parties while also enabling us to be more environmentally conscious.

• New Product Improvements

- We introduced an innovative 'Platinum Investment Rider' scheme that can be purchased with different base plans to increase the maturity value. (For more details, refer the Social and Relationship Capital section)



INTELLECTUAL CAPITAL

- 'Cash Back Protector' cover was introduced to protect clients against critical illnesses and total & permanent disabilities while paying back paid rider premiums if no claims were made. (For more details, refer Social and Relationship Capital section)



BRAND BUILDING

Arfico Insurance PLC is a well-known and reputable name in Sri Lanka's insurance industry. Being a subsidiary of the Richard Peiris group of companies provides the Company significant leverage in gaining customer acceptance and confidence. Arfico Insurance has established an image as the most pioneering brand that provides elite insurance solutions by remaining unwavering in its commitment to serve with integrity, compassion and professionalism.

The company invested LKR 15 Mn in brand development initiatives over the course of the year to create a brand which evokes positive policyholder sentiments and to build new, lucrative relationship with our clients. As part of our initiatives in brand building, we engaged in several activities adding value to our brand worth

such as Branch level activations, selective advertising, and PR communications along with key events.

LKR 15 Mn

Invested in brand development

The "Arfico Insurance Policy Revival Campaign," which was carried out in May 2022, was one such online campaign. For policies that exhausted the maximum allowed revivals, an additional one-time special revival was granted during the campaign period.



Our Online presence continues to strengthen with

over 9,000

Followers spread across our social media accounts.

- **Business Recognition**

While encouraging us to strive for even greater excellence, the numerous awards that Arfico Insurance earned throughout the year served to further cement its reputation as one of Sri Lanka's top insurance brands. These awards reflect our intellectual capital's real value.

In 2022, we won the following awards.



INDIAN CHAMBER OF COMMERCE EMERGING ASIA INSURANCE AWARDS 2021

Best Risk Management Strategy of the Year 2021

Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka

At the 3rd Emerging Asia Insurance Awards 2021, hosted by the esteemed Indian Chamber of Commerce and held in Kolkata, India, Arfico Insurance received the Best Risk Management Strategy of the Year 2021 award in addition to a Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka.



ICA SRI LANKA TAGS ANNUAL REPORT AWARD 2022

Bronze award insurance sector (Gross Premium up to 10Bn)

Bronze Award in the Insurance Sector at the CA Sri Lanka TAGS Annual Report Awards 2022.

In addition to the above awards received during the year under review, Arpico Insurance PLC has over the years won several international awards in recognition of innovation, trust, risk management and growth. These accolades represent the true worth of our intellectual capital.

Best Sri Lankan Life Insurance company for Innovation (2020)

Risk Management Strategy of the Year (2019)

Most Trusted Life Insurance Brand in Sri Lanka (2019)

Most Successful Life Insurance Company in Sri Lanka (2018)

Fastest Growing Life Insurance Company in Sri Lanka (2017/18)

OUTLOOK

By offering cutting-edge insurance solutions, we will continue to boost brand communications by drawing on our in-depth knowledge of the insurance sector.

Short term	Medium term	Long term
• Increase brand communications • Innovative insurance solutions • Interactive customer mobile application • Introduce specialized risk management training	• New categories of insurance • Advanced phase of risk management training with AML and cyber security awareness • Real-time disaster recovery facility • Implementing an advanced CRM	• Use of Artificial Intelligence Software • Personalize customer experiences • Improved management and turnaround times in claims and underwriting • Be a strong industry contender of insurtech

MANUFACTURED CAPITAL



The physical infrastructure, especially our branch network, IT infrastructure and fixed assets that support the delivery of insurance solutions make up our manufactured capital, which is essential to our value creation process. The Group's manufactured capital gives us a significant competitive advantage. Thus we continue to invest in this key capital with the goal of increasing revenue, enhancing productivity and lowering our carbon impact for supporting sustained value creation.

HOW WE CREATED VALUE DURING THE YEAR

Physical Presence

- Addition of **7 new branch** locations and relocation of 11 branches, bringing our overall number of branches to **73**.
- **LKR 43.4 Mn** invested in PPE while total asset base was increased to **LKR 4.9 Bn**

Digital and ICT Infrastructure

- Introduction of e-receipt for payments made online
- Purchase of new software
- Increase in computer hardware



WHAT WE ACHIEVED DURING THE YEAR



LKR 32 Mn

Average gross business premium per branch



LKR 12.9 Mn

Average underwriting results per branch

LINK TO MATERIAL ISSUES

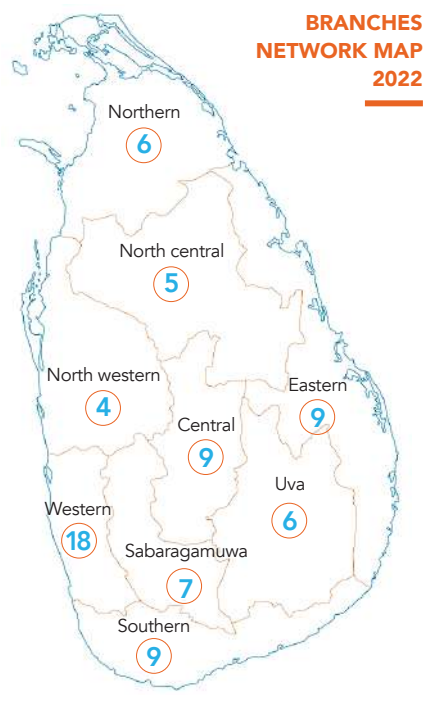
- Strong and inclusive financial growth
- Excellence in customer service
- Increase digital transformations
- Strengthen data security

OUR BRANCH NETWORK

Our branch network serves as our primary customer touchpoints and our goal is to increase our footprint year-on-year in order to reach new client demographics and firmly establish our position in the insurance industry.

We expanded our network by 7 additional branches in 2022. The current network has expanded to 73 locations, covering all the provinces. 11 branches were also relocated during the year thereby allowing our agents to provide better customer service and giving our staff members a conducive and secure workplace.

Number of branches province-wise	2022	2021
Central	9	9
Eastern	9	8
North central	5	6
North western	4	6
Northern	6	5
Sabaragamuwa	7	3
Southern	9	8
Uva	6	5
Western	18	16



7 NEW BRANCHES
11 BRANCH RE-LOCATIONS
11 BRANCH UPGRADES

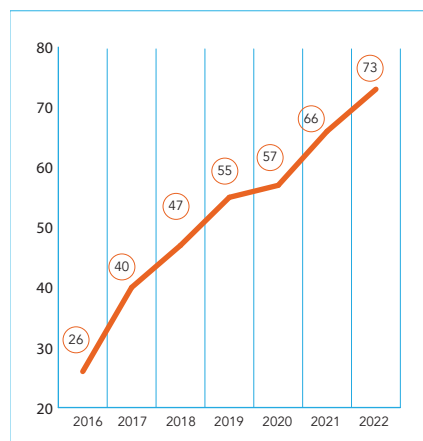
BRANCH PERFORMANCE – PROVINCIAL BREAKDOWN

Province	Gwp (LKR Mn.)	GWP Contribution%	Average Revenue Per Branch LKR Mn
Western Province	778	34%	43
Northern Province	351	15%	59
Eastern Province	160	7%	18
Southern Province	478	21%	53
Sabaragamuwa Province	108	5%	15
Central Province	58	3%	6
North Central Province	156	7%	31
Uva Province	229	10%	38
North Western Province	0.17	0%	0
Total	2,318	100%	

7 new branches were opened in Matara, Ratnapura, Badulla, Gampola, Nittambuwa, Tissamaharama and Kandy.

While the Western Province continues to be the province with the most branches, we invested in 4 new branches in the Sabaragamuwa province in 2022 to enhance our strength in the area.

BRANCH GROWTH



PROPERTY, PLANT AND EQUIPMENT

Our inventory of property, plant and equipment (PPE) grows yearly as a result of purchases and new investments. In turn, this allows us to give customers and employees greater convenience and improved service standards. Additionally, asset-based purchases are seen as long-term investments.

LKR 4.6 Bn

Total Assets

LKR 75.3 Mn

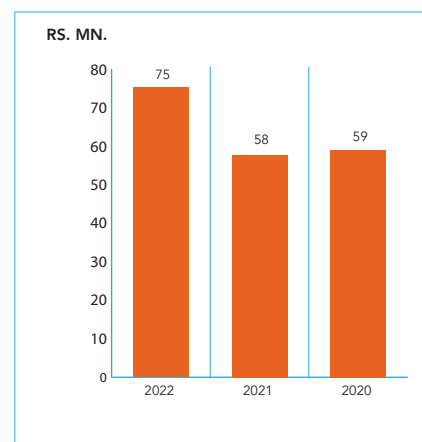
Total PPE

LKR 43.4 Mn

Investment in PPE during 2022

PPE GROWTH

Overall PPE for the year demonstrates an increase with the new acquisitions in equipment and computer hardware.

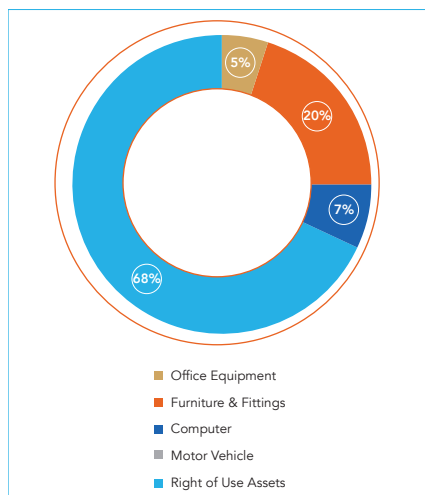


FIXED ASSET COMPOSITION AND TOTAL ASSETS

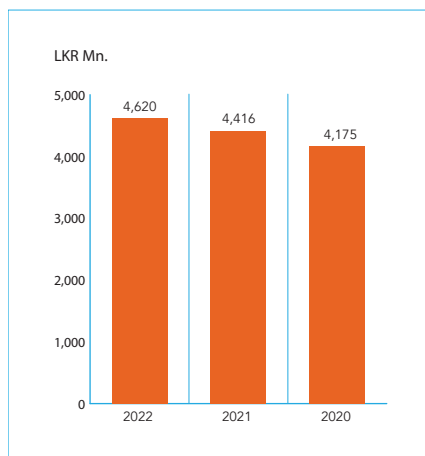
The following summarizes the fixed asset makeup as of December 31, 2022. There are 7 branches that are under right of use

MANUFACTURED CAPITAL

and have been leased for the year. Furniture and fittings make up the second-largest portion of fixed assets with 30%.



For the financial year under review total asset base increased from LKR 4.4 Bn. to LKR 4.6 Bn.



SHARED INFRASTRUCTURE

We utilize public infrastructure and resources, including roads for transportation. Moreover, electricity, fuel and water are sourced from state-owned public utility companies. We are committed

to timely payments to compensate consumption levels, while taking added measures to conserve and reduce consumption of these non-renewable resources. (Please refer natural capital on page 36 to 38 for more details).

RISK MANAGEMENT AND ASSET MAINTENANCE

The following steps were taken to reduce any risks associated with PPE and its maintenance.

- Maintaining an up-to-date Fixed Asset Register.
- Formulated a capitalization policy.
- Introduced a plan for maintenance and established a replacement cycle.
- Conducted routine fixed asset inspections
- Allowed only authorized individuals access to the company's fixed asset register.
- Reviewed the company's asset and management procedures on a frequent basis.

DIGITAL AND ICT INFRASTRUCTURE

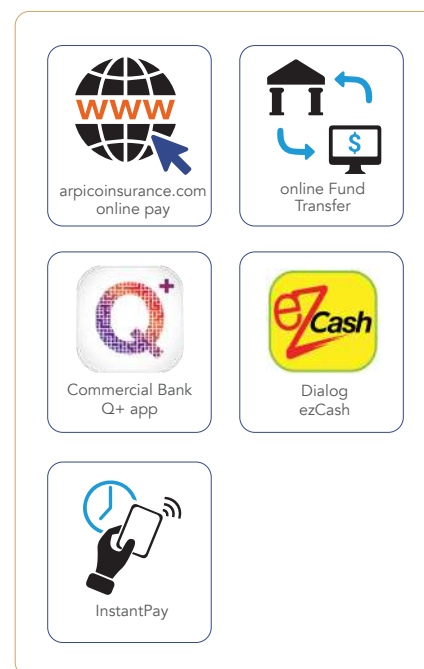
Our customer focused digital agenda that addresses customer concerns, eliminates operational complexities, and provides customized solutions to the evolving needs of customers, continues to augment our customer value proposition and strengthen our customer relationships.

E-RECEIPTS

We began offering our clients the E-receipting system in 2022. Moving away from the traditional paper-based receipt system this initiative proves to be more beneficial and convenient for both parties while also enabling us to be more environmentally conscious.

ONLINE PAYMENTS

With the start of the pandemic and lockdowns, digital changes drastically accelerated in 2021. In line with the growing market trends and changing customer behaviour we continued to offer our clients the convenience of making payments for their premia online.



We made progress in 2022 toward improving our ICT infrastructure by investing in hardware, software and other network-related improvements.

SYSTEM DOWNTIME AND RESOLUTION PROCEDURES

- Ensuring all devices are updated regularly.
- Run routine backup testing.
- Constantly monitor the network and devices
- Trained employees on ICT related matters

OUTCOMES OF VALUE CREATED

Along with a list of the total stock of manufactured capital that the Arpico Insurance owns, the financial outcomes of activities related to manufactured capital are shown below. During the year in review, new PPE investments as well as the number of new branches increased.

Indicators	2022	2021
Underwriting & net acquisition cost (Mn.)	630	754
Branches	73	66
Underwriting & net acquisition cost per branch (LKR Mn)	9	11
Net written premium (LKR Mn)	2,319	2,311
Net written premium per branch (LKR Mn)	31	35
Profit after Tax (LKR Mn)	36	237
Average revenue per branch (LKR Mn)	0.4	3.5
Financial Outcomes (LKR Mn.)		
Average revenue per branch	0.4	3.5
Net written premium per branch (LKR Mn.)	31	35
Underwriting results per branch (LKR Mn)	9	11

OUTLOOK

Our objective is to grow our network throughout the island in order to achieve branch saturation and increase market share while implementing forward-thinking ICT advancements and digitalization. Making our customers our primary focus, we will constantly improve our operating systems, branch infrastructure and online portals to deliver a better user experience.

Short term	Medium term	Long term
- Invest in new branches. - Modernize the website for better interaction. - Improve online payment interface.	- Gradually increase new branches. - Gradually increase online services and ICT adoptions.	- Wider branch saturation. - Bigger market share, branch-wise. - Modernize branch infrastructure. - Advanced operating systems. - Futuristic digital tools for customers.

SUSTAINABLE DEVELOPMENT GOALS

PRIORITISING SUSTAINABILITY

As an insurer, we strongly believe in creating sustainable processes and services that have positive impacts on socio economic dynamics and the environment. Hence, our priorities in sustainability are based on the three pillars of sustainable development – economy, society and environment.

UNITED NATION'S SUSTAINABILITY DEVELOPMENT GOALS

Our efforts in sustainability align with the UN SDGs, which are connected with the three pillars of sustainable development.

Established in 2015, the SDGs are a roadmap to a sustainable future, with

interlinked and specific targets that calls to action institutions and individuals in reducing poverty and inequality and in protecting the planet.

Arpico Insurance PLC directly contributes to several SDGs through inclusive insurance, which provides risk mitigation and protection to all who require.

SUSTAINABLE DEVELOPMENT GOALS





LEADERSHIP AND GOVERNANCE

Our wide portfolio of products and services have been developed to cater to our customers' needs. These insurance plans and solutions enable customers and their family members to live a protected life. Designed to meet unique life challenges, our products enable them to secure their present and future.

BOARD OF DIRECTORS

2 MRS. DILUKSHIKA FERNANDO

Non- Executive Independent Director

1 MR. SHIRON GOONERATNE

Non- Executive Independent Director

3 MRS. LASINEE SERESINHE

Non- Executive Independent Director



**MR. SHIRON GOONERATNE**

Non- Executive Independent Director

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he has held finance director / CFO positions at fortune 500 and leading corporates. Having trained at Ernst & Young, he joined GlaxoSmithKline consumer health care where he completed 11 years of which 7 years as the finance director.

Thereafter, he joined the telecommunication sector where he was the chief financial officer of Sri Lanka Telecom PLC, which provides diversified services and a range of ICT solutions that cover fixed and mobile telephony, broadband, data services, internet protocol television (IPTV), cloud computing and hosting services. Thereafter, he held the position of chief financial officer at Dilmah Ceylon Tea Company PLC and currently functions as an executive director of Richard Pieris & Company PLC, one of the largest conglomerates in Sri Lanka.

**MRS. DILUKSHIKA FERNANDO**

Non- Executive Independent Director

Mrs. Dilukshika Fernando is a multi-qualified chartered insurer with over 13 years of experience in the insurance industry. She is an associate member of the Chartered Insurance Institute (ACII), associate member of the Chartered Institute of Management Accountants (ACMA) and an associate member of the Chartered Institute of Marketing (Dip M (UK) ACIM).

She started her career at Ernst & Young as a management consultancy trainee. Thereafter, she stepped into the insurance industry by joining Union Assurance PLC as a management trainee and held managerial and senior managerial positions during her tenure.

Her job role further expanded after joining Allianz Life Insurance Lanka limited as she was heading the life operations division for 2 years. She was also a member of the compliance and audit committee and executive committee.

Her experience in a multinational insurance company paved the way for her to join another reputed multinational insurance company - AIA Insurance PLC. She functioned as head of operations and was the specified officer for AIA Insurance PLC

**MRS. LASINEE SERESINHE**

Non- Executive Independent Director

Mrs. Seresinhe is an industry leader and veteran with over 20 years of leadership and experience to her name. During this tenure she held positions of leadership at the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL - former Insurance Board of Sri Lanka).

At IRCSL, she commenced her duties as director general during its time as an independent office and served at the commission until her retirement. Parallel to her tenure as director general of IRCSL, she also served on the board of the National Insurance Trust Fund as an Ex-Officio member. Before her tenure at IRCSL she also served as a director at the Securities and Exchange Commission.

She was then engaged as an advisor at the Ministry of Finance for a short span of time. Prior to her positions of leadership at IRCSL and SEC, Mrs. Seresinhe worked in the private sector, for several years within the finance discipline and also held duties as a consultant. In addition, she was also attached to SSP Corporate (Pvt) Ltd.

Mrs. Serasinhe is a fellow member of the Chartered Institute of Management Accountants (UK), a fellow member of the Chartered Global Management Accountants and is also a diploma holder in computer programming.

CORPORATE MANAGEMENT

① **MR. KELUM SENANAYAKE**

Chief Executive Officer

② **MR. T S KITCHILAN**

General Manager – Corporate Affairs

③ **MR. PRAMODA KARUNATHILAKA**

General Manager - Partnerships and Strategic Planning

④ **MR. P VANOJAN**

Senior Assistant General Manager - Sales

⑤ **MR. PRASHAN JAYATISSA**

Senior Manager - Actuarial, Risk, Compliance and Investments

3

7

2

1

4



6 MRS. L A C PRIYANTHI

Manager Actuarial

7 MRS. SRIYONIE MENDISDeputy General Manager - Life
Operations / Specified Officer**8 MRS. PAVITHRA PEIRIS - MANAGER**

Conservation and Customer Care

9 MR. NELUSHAN GUNewardena

Head of Marketing

10 MR. PIYAL GUNAWARDANA

Head of Training

11 MR. SIDESH JAYASEKARAAssistant General Manager - National
Recruitment & Developments

8

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CORPORATE MANAGEMENT

**MR. KELUM SENANAYAKE**

Chief Executive Officer

Kelum is a well known personality in the regional life insurance landscape and as the chief executive officer of Arpico Insurance PLC brings to the table a wealth of experience & exposure spanning almost 40 years, from both local as well as international insurance industries. He also makes history by becoming the first and only CEO in the Sri Lankan Insurance industry to hold the coveted Million Dollar Round Table (MDRT) status achieved in Sri Lanka, in an impressive 133 days.

A product of Ananda College Colombo, he holds a diploma in business management from Worldview Institute & Master of Business Administration from the University of Western Sydney, Australia.

In addition to being a management professional, he is also a respected trainer who has trained over 5,000 insurance professionals in his career and received training in the UK, Germany, Japan, Singapore, Hong Kong, Malaysia & South Africa. He has extensive experience in the areas of operations, life underwriting, life servicing, claims, product development, re-insurance, branch operations, corporate solutions distribution, contact centers and logistics

**MR. T S KITCHILAN**

General Manager - Corporate Affairs

Toni Kitchilan is a fellow member of the Institute of Management Specialists, UK and holds a MSc in Information Management from the Sri Lanka Institute of Information Technology. In addition, he holds a Diploma

in Business Management from Worldview Institute and a National Diploma in Human Resources Management from the Institute of Personnel Management.

He brings in a wealth of experience in both administrative and managerial functions and from various industries such as manufacturing, supply chain, financial services and real estate. He has over 40 years of experience in total which includes over 20 years' experience in the insurance industry. He also counts over 15 years in senior management holding various positions in advancing to the current position of General Manager.

**MR. PRAMODA KARUNATHILAKA**

General Manager Partnerships & Strategic Planning

Pramoda is an experienced professional with over 25 years of experience. His experience ranges from strategic planning, sales, marketing, operations, trainings, human resources and administration. He has experience in the fields of media, pharmaceutical, banking and insurance in both Sri Lanka and overseas.

He completed his Post Graduate Diploma in Marketing from Chartered Institute of Marketing-UK in 2003 and obtained full membership status (MCIM) in 2007. In the year 2008 he also obtained Chartered Marketer status offered by the Chartered Institute of Marketing in the year 2008. He completed his MBA offered by Sikkim Manipal University of India in the year 2009. Over the years Pramoda has been instrumental in restructuring business units, starting new business ventures and expanding to new areas.

**MR. P VANOJAN**

Senior Assistant General Manager – Sales

Vanojan counts over 16 years of experience in the insurance industry. He holds a Diploma in Accounting & Business from AAT. He joined as an assistant sales manager and he has been promoted to the senior assistant general manager level within his 11 years of service to the Arpico Insurance PLC.

**MR. PRASHAN JAYATISSA**

Senior Manager – Actuarial, Risk, Compliance, and Investments

Prashan has gained over 6 years of professional experience in a wide range of technical areas in the insurance industry. He is a Master of Mathematics graduate from University of Durham, a Fellow Member of the Chartered Insurance Institute (FCII), a Fellow Member of the Institute and Faculty of Actuaries (FIA), and a Chartered Insurance Risk Manager. He currently leads the multi-disciplinary department handling actuarial, risk management, compliance, and investments at Arpico Insurance PLC.

**MRS. L A C PRIYANTHI**

Manager Actuarial

Priyanthi counts over 25 years of experience in the insurance industry. She holds a BSc degree with first class honors in

Mathematics and Statistics from the University of Colombo and holds a Msc in Actuarial Science also from the University of Colombo.



MRS. SRIYONIE MENDIS

Deputy General Manager - Life Operations / Specified Officer

Deputy General Manager- Life Operations/ Specified Officer. Sriyonie counts 22 years of industry experience. She joined the insurance sector after her Bachelor of Science degree in Physical Science from University of Colombo. She is a Chartered Insurer and Associate Member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.



MRS. PAVITHRA PEIRIS

Manager- Conservation & Customer Care

Pavithra counts 8 years of experience in the field of insurance. She has gained professional experience in a leading multinational life insurance company in her career heading conservation departments.

She holds a Degree in Human Resources management from the Chartered Institute of Personnel Management (CIPM) and Diploma in Information & Communication Technology from IDM computer studies.

She currently leads the Conservation & Customer Care departments of the company.



MR. NELUSHAN GUNewardENA

Head of Marketing

Nelushan is a resourceful and pragmatic marketing and management professional who counts over 18 years of extensive experience and expertise in strategic marketing planning, brand management, marketing & corporate communications, product development, public relations, revenue generation, operations & administration, etc. Having received numerous awards and accolades for business as well as academic excellence.

He possesses a Master of Business Administration Degree from the London Metropolitan University (UK), a Post Graduate Diploma in Marketing (SLIM), numerous qualifications in the field of mechanical engineering and has achieved recognition in highly dynamic industries such as retail, automotive, real estate, apparels, advertising and insurance at leading local and multinational organizations.



MR. PIYAL GUNAWARDANA

Head of Training

Piyal has 25 years' experience in Sales, Marketing, Business Development and Training in both local and multinational corporate entities in Sri Lanka, held diverse senior management roles in the capacity of Deputy Director General, Director, Chief Operating Officer and General Manager, in addition to other senior management positions such as Zonal Manager, Regional Manager, and Head of Training and also

possess extensive experience in project-based local and foreign assignments in both corporate and government sector.

Piyal is a member of Chartered Insurance Agency Management- CIAM, (LIMRA USA) and Professional Financial Advisor PFA (LIMRA USA). He is a Certified moderator under (Awarded LIMRA USA).

He is currently reding for Doctoral Program in Business Management at the Open University of Malaysia. Piyal holds an MBA from Post Graduate Institute of Management (PIM), University of Jayewardenepura and Bachelors Degree in Art from University of Colombo



MR. SIDESH JAYASEKARA

Assistant General Manager - National Recruitment & Developments

Sidesh has been with the Insurance industry for over 17 years, having started off as a Senior Executive and progressing to the position of Senior Zonal Manager at a multinational Life Insurance company in Sri Lanka, and has in-depth experience in sales, underwriting and customer relations, with a special background in training and recruitment.

He has undergone the Agency Management Training Course (AMTC) at LIMRA, possess a Young Executive Diploma from the Insurance Institute of India, a National Diploma in Sales Management from the Sri Lanka Institute of Marketing (SLIM) and heads the national recruitment and development operations of Arpico Insurance PLC.

CORPORATE GOVERNANCE

The purpose of corporate governance is to facilitate effective, entrepreneurial and prudent management that can deliver the long-term success of the company. The responsibilities of the board include setting the company's strategic aims, providing the leadership to put them into effect, supervising the management of the business and reporting to shareholders on their stewardship.

Corporate governance is therefore about what the board of a company does and how it sets the values of the company, and it is to be distinguished from the day-to-day operational management of the company by full-time executives.

Our corporate governance structure enables us to prudently and effectively pursue business goals. More importantly, it provides the groundwork with which we preserve the interests of our stakeholders – in a manner conducive to their expectations, and in compliance with regulatory requirements.

The strength of our corporate governance is bolstered by the support we receive from our group – Richard Peiris & Co. PLC, in addition to constant collaborations in reinforcing sound governance across the organization.

OBJECTIVES OF CORPORATE GOVERNANCE

- Ensuring compliance to internal and external regulations
- Accountable and successful leadership
- Demarcate clear responsibilities
- Evaluate leadership performance
- Strengthen internal processes and frameworks
- Introduce necessary frameworks and policies
- Evaluate and strengthen risk management

COMPLIANCE

INTERNAL CONTROLS

Internal controls followed by the company, mainly focus on financial controls, operational procedures and risk management. These in turn enable the effective and proper management of company assets, while prudently mitigating risk exposures of to the company and safeguarding stakeholders' interests.

INTERNAL AUDIT DIVISION

The division conducts regular evaluations of the internal control system across the organization and is responsible for reporting such evaluations and subsequent findings to the chairman of the audit committee, and thereon to the board upon completion of reviews.

EXTERNAL REGULATIONS

In addition to internal controls and frameworks, the company complies with several mandatory regulatory frameworks, rules and regulations committing to statutory expectations. Moreover, such frameworks are accepted by the company as guidelines which strengthen governance.

COMPLIANCE WITH MANDATORY AND VOLUNTARY CODES OF GOVERNANCE

Mandatory Frameworks

- Companies Act No. 07 of 2007
- Listing Rules of the CSE
- Regulation of Insurance Industry (RII) Act No. 43 of 2000 and amendments
- Code of Best Practice on Corporate Governance - Issued by CA Sri Lanka and the SEC
- IRCSL's corporate governance directives

Voluntary Frameworks

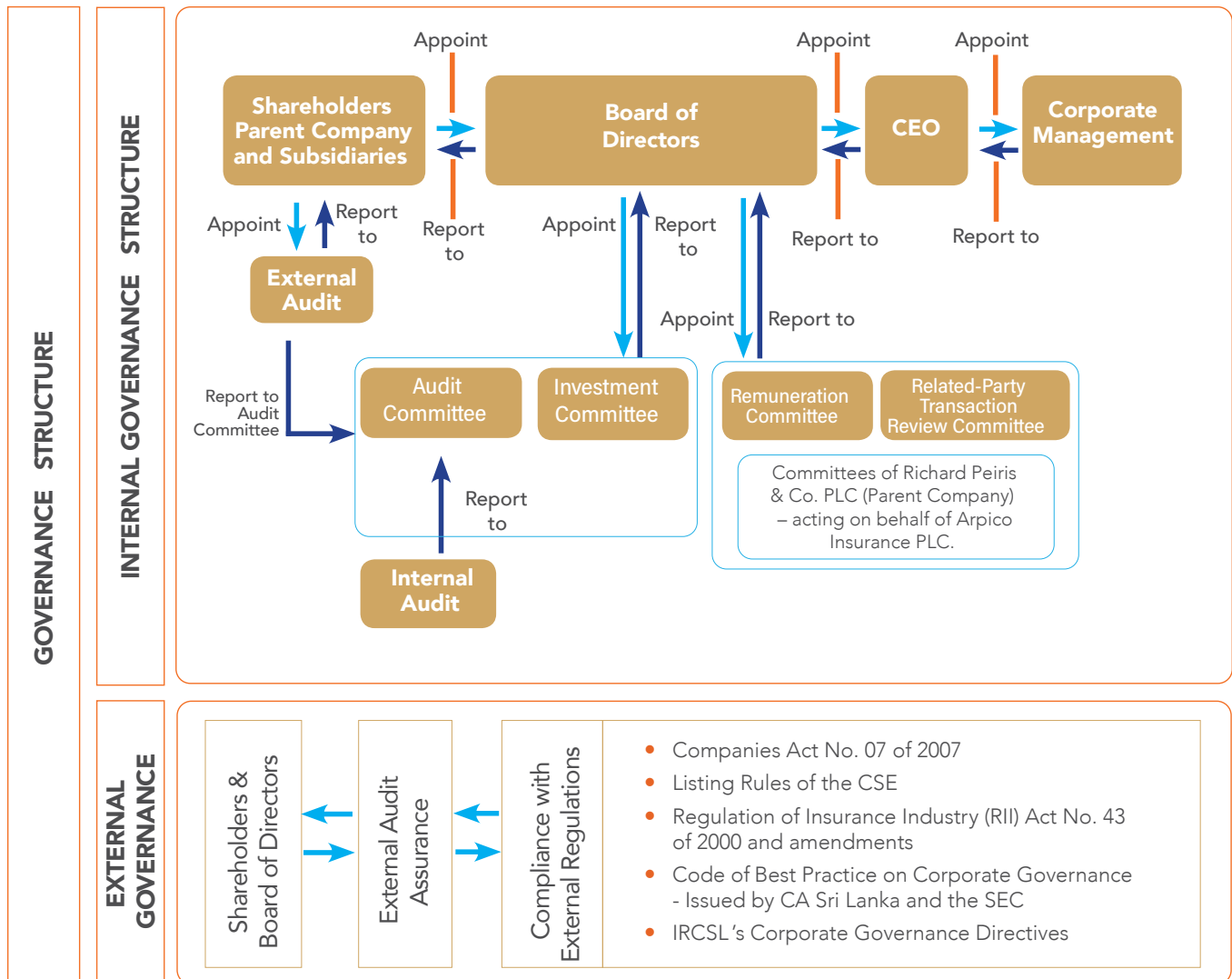
- Articles of Association
- Terms of Reference
- Committee Charters
- Department Policies
- Risk Management
- Corporate Governance
- Company Code of Conduct

In terms of financial regulations, the company strictly adheres to:

- Guidelines issued by the Sri Lanka Accounting Standards (LKAS and SLFRS)
- Other statutory regulations in preparation of the Financial Statements of the Company.
- Listing Rules of the Colombo Stock Exchange – in the preparation of Quarterly Financial Statements
- Preparing and submitting monthly and quarterly returns.

GOVERNANCE STRUCTURE

The Board of Directors and senior management remains at the helm of corporate governance – taking the Company and its stakeholders towards growth, leading with accountability.



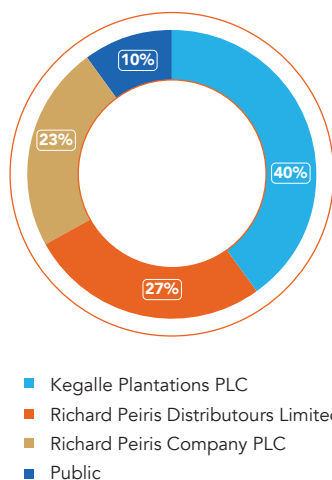
CORPORATE GOVERNANCE

INTERNAL GOVERNANCE STRUCTURE

The company's internal governance structure is a reflection of authority and responsibility that spreads across the organization. In essence, it provides clarity on levels of authority, in driving the organization towards growth, responsibly and effectively.

EXTERNAL GOVERNANCE STRUCTURE

The external governance structure entails guidelines, directions, laws and regulations, which we comply with, in fulfilling our responsibility towards a disciplined and structured business environment.



The Board of Directors report's directly to the company's shareholders, primarily Arpico Insurance PLC's parent company Richard Peiris & Co. PLC.

Kegalle Plantations PLC remains the key shareholder, followed by Richard Peiris Distributors Limited, and the parent company, respectively. The public retains ownership of 10% of company shares.

RELATIONS WITH SHAREHOLDERS

The Board makes use of the Annual General Meeting (AGM) to communicate information and engage with shareholders. Prior to this, Arpico Insurance arranges

and sends the Notice of AGM and related papers to shareholders.

During the AGM, separate resolutions are sought by the Company on each distinct issue. Arpico Insurance PLC proposes a resolution in relation to the adoption of report and accounts. The Company also ensures proper counting and recording of all valid proxy appointments received for General meetings.

Furthermore, the Board Chairman ensures that Chairmen of Board Sub-Committees and the Senior Independent Directors are available to address shareholder concerns and questions.

THE BOARD

At the highest echelon of the governance structure is the company's Board of Directors, who are responsible for meeting

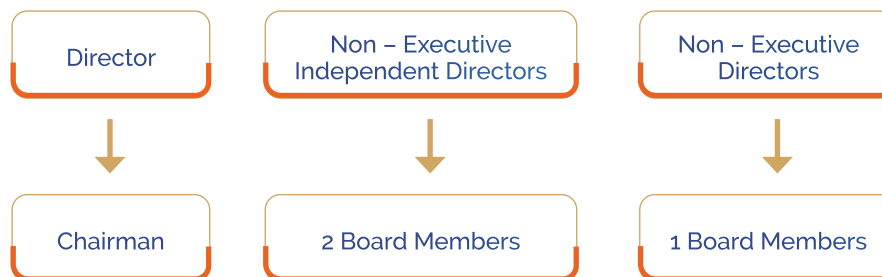
shareholder expectations, including those of the parent company.

With an outlook on improving governance across the organization, the Board of Directors along with the senior management proactively and prudently engages in assessing and discussing governance-related requirements. They are accountable in providing guidance on improving frameworks and processes, and in ensuring that employees adhere to governance principles, effective conduct of work and ethical behavior.

The board currently comprises of three non-executive directors. Their views carry considerable weight on board decisions; two of these non-executive directors are independent directors.

Director	Appointment Date	Status	Experience in Industries
Mrs. Lasinee Serasinhe	17 January 2014	Non-Executive Independent Director	- Financial sector – Insurance and stock exchange - consultancy
Mr. Shiron Gooneratne	2 May 2016	Non-Executive – Director	- Audit and assurance - Manufacturing - Telecommunication - Insurance (Sri Lanka and overseas)
Mrs. Dilukshika Fernando	1 November 2021	Non-Executive – Independent Director	- Insurance - Audit

COMPOSITION



PRIMARY RESPONSIBILITIES OF THE BOARD

- The role of making strategic decisions and the ultimate purview of the organisation's compliance to internal controls rests with the team of Directors.
- They work in collaboration with the Senior Management to effectively distill best practices in governance – taking an active stance in ensuring the organisation's commitment to ethical business practices.
- The Board also oversees that the Senior Management and Executive Officers perform their duties in aligning Company's functions with the core strategy.
- The Board is also responsible in appointing a CEO and in evaluating his performance, in relation to strategic objectives.

RELATED RESPONSIBILITIES

- Addressing shareholder interests including parent company expectations.
- Provide management and company with strategic direction.
- Providing feedback, approving strategic plans.
- Review performance against strategic goals / KPIs.
- Guidance and approval of risk policies and governance.
- Appointing committee members
- Review reports and evaluations presented by committees and make relevant approvals.
- Approve Financial Statements.
- Approve and guide on investments.

SKILLS AND DIVERSITY

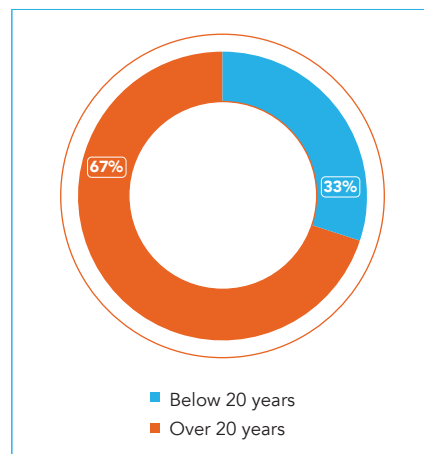
Board members provide diversity through their professional experiences, technical and industry knowledge. Their age and gender also reflect diversity, bringing a rich mix of thinking and skills on board.

Based on the varying levels of experiences and technical expertise, they provide varied perceptions and strategic thinking, which enables non-biased, well-balanced decision making.

FINANCIAL ACUMEN

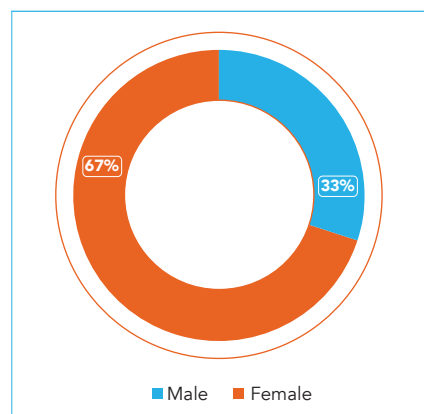
All directors of the company have sufficient financial acumen and experience to offer guidance on matters of finance.

PROFESSIONAL AND BUSINESS EXPERIENCE

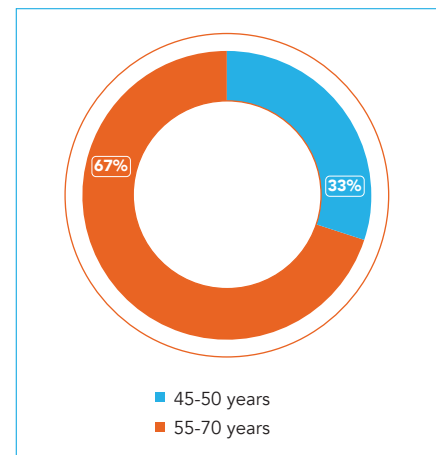


67 % of members have professional experience of over 20 years while 33% have professional experience below 20 years.

GENDER DIVERSITY



AGE DIVERSITY



The age range of board members reflects a sufficient dispersion, enhancing the levels of experience and expertise that comes with age, as well as multiplicity in perspectives.

MEETINGS

The board met on 4 occasions during the year under review. During these meetings the board engaged in:

- Company strategy
- Reviewing of policy frameworks
- Discussing risk management and approval of risk management framework.

SUPPLY OF INFORMATION

The board receives timely information and in a form that is conducive to discharging duties efficiently and effectively. In this regard, the management is responsible for providing the board with well-presented information. Directors can also make inquiries, if information is insufficient. Moreover, agenda and papers required for board meetings are provided to directors two weeks before the meeting date.

CORPORATE GOVERNANCE

Name of Director	Directorship Status	Date of Appointment
Mrs. Lasinee Serasinhe	Non-Executive – Independent Director	17 June 2014
Mr. Shiron Gooneratne	Non-Executive – Director	02 May 2016
Mrs. Dilukshika Fernando	Non-Executive – Independent Director	01 November 2021

APPOINTMENTS

Arpico Insurance PLC obtains consent from the insurance regulator – IRCSL prior to appointing directors to the board. This is conducted in accordance with article of the association of the company, upon passing an ordinary resolution for authorization of appointments.

Furthermore, prior to appointing a new director, their various conflicting interests are reviewed by the board.

Information of newly appointed directors is disclosed to shareholders and investors through the Annual Report and announcements by CSE.

RE-ELECTION

Three directors were re-elected for the year 2022, Re-elections are conducted as per the articles of association.

All directors of the company should be required to submit themselves for re-election at regular intervals and at least once in every three years. Non-executive directors are appointed for specified terms subject to re-election and to the provisions of the company's act relating to the removal of a director, and their re-appointment is not automatic.

RESIGNATIONS

In the event a director resigns prior to completion of his appointed term, the director is required to provide written notification to the board on reasons for resignation. No director resigned during 2022.

MAINTAINING BOARD SOVEREIGNTY

The board takes prudent steps in both structures and nomination procedures to inhibit insiders and executive owners in exercising undue control over the board's activities and decisions.

INDEPENDENCE AND DECLARATION

The board has verified the independence of the one non-executive directors, and they have no direct or indirect material relationship and have the freedom to exercise independent, un-biased judgement on company matters.

CHAIRMAN AND CHIEF EXECUTIVE OFFICER

The responsibilities of the chairman and CEO are provided with clear delineation, in order to establish clarity on the different roles both positions are presented with.

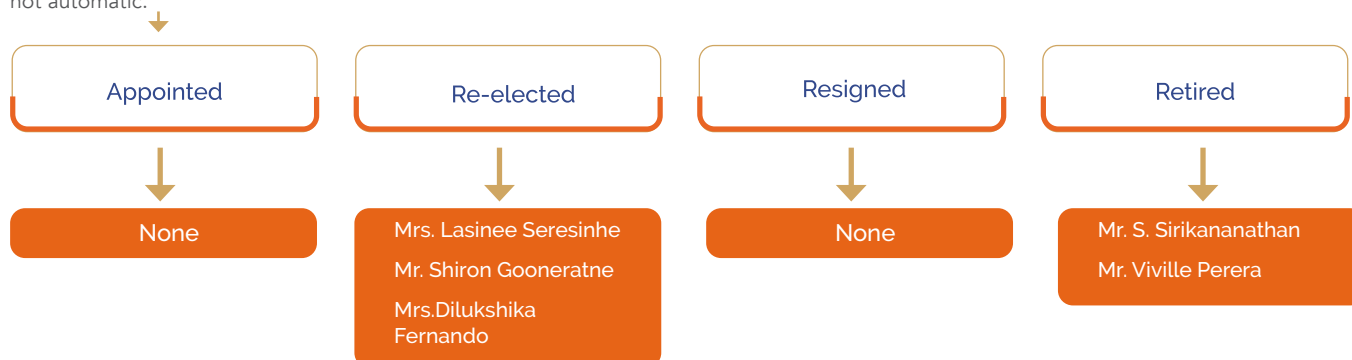
This segregation also ensures a balance in power, and provides a proper distribution of responsibilities.

CHAIRMAN

As per the code of best practice on corporate governance, the chairman's role in assuring sound corporate governance is imperative. As the head of the board, he is responsible for preserving order, while facilitating effective conduct of board functions. He is responsible for providing objective leadership to the company.

CHIEF EXECUTIVE OFFICER

During the year, the board appointed a new chief executive officer with the objective of separating the company's growing portfolio of strategic takings and in driving the company towards its objectives.



Chairman	Chief Executive Officer
• Provide firm and objective leadership to the board.	• Taking leadership in the execution of long term and short-term strategies outlined by the board of directors
• Maintains order and smooth functioning of the board.	• Carry out decisions and strategies recommended by the board
• Promote and carry out responsibilities the best in interests of good governance.	• Lead management and employees towards target achievements.
• Presiding over director's and shareholder's meetings to ensure directors' participation and proper execution of board proceedings.	• Overseeing proper functioning of technical and functional areas.
• Promoting and overseeing the highest standards of corporate governance within the board	• Taking strategic decisions in enhancing operational efficiencies.
• Ensuring board compliance with schedule of matters served	• Tasking management with targets and goals

ROLE OF THE SECRETARY

The company secretary holds responsibility for the following.

- Support the board by ensuring a proper flow of information.
- Ensure that meetings are conducted in accordance with the articles of association, and relevant legislations.
- Formulate meeting agenda with the chairman and other directors.
- Coordinate with the management on board papers, memoranda or presentations for the meetings.
- Maintain statutory registers and filing statutory returns.

BOARD SUB-COMMITTEES

The company's governance structure includes five committees, overseeing the functions of audit, investment, remuneration, risk and compliance and related party transactions review.

Responsibilities assigned to board sub-committees have been delegated by the board, as committee members have broader expertise and experience in performing relevant committee responsibilities.

Regular meetings are conducted by the committees with evaluations and findings reported to the board. Minutes are also maintained during committee meetings. Board sub-committees of Arpico Insurance PLC includes:

Audit Committee

Investment committee

Risk and compliance committee

Remuneration committee

Related party transaction review committee

AUDIT COMMITTEE

The audit committee is responsible for several accounting and financial reporting-based functions.

Key Responsibilities	Members
• Overseeing financial reporting, and timely disclosures • Oversee compliance and application of accounting policies • Execution of internal control principles • Investigate organizational risk • Analyze management and auditor's reports.	Mrs. Lasinee Serasinhe

In ensuring that the company's responsibilities towards its internal and external stakeholders are fulfilled, the audit committee undertakes the following:

- Internal controls and risk management systems
- The internal audit process including appointment and resourcing
- Financial statements including governance statements
- The external audit processes
- Compliance reports
- Regulatory inspection reports
- Key performance data
- Shareholder communications

CORPORATE GOVERNANCE

INVESTMENT COMMITTEE

The investment committee overlooks the company's acquisition and financing strategies including compliance with the organization's guidelines to ensure wise investments and future progress. Committee members possess in-depth expertise and knowledge in investments, finance, risk management as well as industry expertise vital in performing functions. The investment committee assists the board in fulfilling their responsibility towards company investments.

Key Responsibilities	Members
- Formulate and recommend investment policies - Establishing investment guidelines in furtherance of policies - Ensure investments as per policies - Monitor performance on a quarterly basis - Monitor management of portfolios by reviewing written reports	Mr. Shiron Gooneratne

RISK AND COMPLIANCE COMMITTEE

The committee reviews updates on risk management on a quarterly basis through meetings. Ad-hoc risk management updates are escalated to the committee through a special meeting.

Key Responsibilities	Members
- Eliminate and lessen the impact of losses - Facilitate a risk conscious culture within the organization - Consider whether compliance issues are adequately dealt with in the development of new products and services - Ensure flexible yet consistent risk management strategies - Increase returns, sustainable earnings, growth and shareholder value by managing risks in a prudent manner - Retain and enhance reputation of the organization in connection with robust risk management strategies	Mrs. Lasinee Serasinhe

REMUNERATION COMMITTEE

The remuneration committee of Richard Peiris and Company PLC functions on behalf of Arpico Insurance PLC.

The remuneration committee overlooks the maintenance of appropriate rewards policies to attract and motivate employees, encouraging their enhanced performance towards long-term growth of the company.

The committee plans and implements the company's general remuneration policy as well as remuneration of key management personnel. The remuneration committee also determines specific remuneration packages for each executive director.

Key Responsibilities	Members
Oversees implementation of an Paris appropriate reward policy in bringing out employee motivation and productivity.	Remuneration committee of Richard Peiris and Company PLC.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The related party transactions committee of Richard Pieris and Company PLC acts on behalf of Arpico Insurance PLC. Through relevant procedures, the board and the committee ensure that the company does not engage in transactions that would grant such a related party 'more favorable treatment' beyond the ordinary course of treatment relayed to third parties of the business

Key Responsibilities	Members
Reviews transaction reports between Arpico Insurance PLC and affiliates to ensure strict adherence to organizational regulations.	The Related Party Transactions Committee of Richard Peiris and company PLC

COMMITTEE MEETINGS

Overall, 5 sub-committee meetings were organized in the operational year under review. The meetings provided the backdrop to evaluate Board responsibilities.

The following provides meeting participations of each member.

OTHER AREAS OF GOVERNANCE

ENVIRONMENTAL AND SOCIAL GOVERNANCE

Environmental and social governance considerations affect the company's ability to execute business strategy and facilitate sustained value.

ENVIRONMENTAL FACTORS

Strategies adopted by the company for environmental governance.

- Implementing proper waste management by establishing Green Club.

- Planning to launch a paper recycling project with external service provider
- Ongoing technical and operations support on minimizing paper usage.

Name of Director	Directorship Status	Meeting Attendance			
		Board Meeting	Audit Committee	Investment Committee	Related Party Transaction Committee (Group)
Ms. Lasinee Serasinhe	Non Executive Independent Director	4/4	5/5	N/A	N/A
Mr. Shiron Gooneratne	Non Executive Director	4/4	N/A	2/2	N/A
Mrs. Dilukshika Fernando	Non Executive Independent Director	4/4	2/2	N/A	N/A
Mr. Viville Perere (retired w.e.f 30th June 2022)	Chairman and Non Executive Director	2/2	N/A	1/1	N/A
Mr.S Sirikananathan (retired w.e.f 30th June 2022)	Non Executive Independent Director	2/2	2/2	N/A	N/A

Group Level					
Mr.J.F.Fernandopulle	Non Executive Independent Director				4/4
Dr.Jayatissa de Costa PC	Non Executive Independent Director				4/4
Mr.Prasanna Fernando	Non Executive Independent Director				4/4

IT GOVERNANCE

The company, with guidance from group IT ensures that action is taken to safeguard core business systems and data from cyber threats. The following are adopted to strengthen IT governance.

- Back up and digitize all system data and related documents.
- Secure the network connection by use of virtual private networks (VPNs) on branch and WFH connections.
- Use of multi-factor authentication when connecting from external places or connecting with third party service providers using APIs.
- Manage passwords on systems with OTP facility.
- Ensure application security controls especially on payment gateway portal.
- Monitor use of computer equipment and systems according to group recommendations.
- Follow group IT policies in guiding staff.

MANDATORY COMPLIANCES

The following provides the company's disclosure of statement of compliance under section 7.10 of the continuing listing requirements of the Colombo Stock Exchange (CSE).

Code	Requirement	Compliance Status	Reference	Pages No.
7.10 Corporate Governance				
7.10.1 Non Executive Directors	The Board of Directors of a Listed Entity shall include at least, - two Non-Executive Directors; or - such number of Non-Executive Directors equivalent to one-third of the total number of Directors, whichever is higher.	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98

CORPORATE GOVERNANCE

Code	Requirement	Compliance Status	Reference	Pages No.
	The total number of Directors is to be calculated based on the number as at the conclusion of the immediately preceding Annual General Meeting.	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98
	Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change.	N/A	N/A	N/A
7.10.2 Independent Directors	Two or one-third of Non-Executive Directors, whichever is higher, should be independent.	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98
7.10.3 Disclosures Relating to Directors	Names of Independent Directors should be disclosed in the Annual Report.	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98
	In the event a Director does not qualify as independent as per the rules on Corporate Governance but if the Board is of the opinion that the Director is nevertheless independent, it shall specify the basis of the determination in the Annual Report.	N/A	N/A	N/A
	A brief resume of each Director should be published in the annual report including the areas of expertise.	Yes	Board of Directors	60
	A brief resume of any new Director appointed to the Board should be provided to the Exchange for dissemination to the public.	N/A	N/A	N/A
7.10.4 Criteria for Defining Independence	Requirements for meeting the criteria to be an Independent Director	Yes	Corporate Governance	66
7.10.5 Remuneration Committee	If the parent and subsidiary are listed, parent's remuneration committee can function for both parent and subsidiary.	Yes	Remuneration Committee Report	N/A
7.10.6 (A) Composition and role of the Audit Committee	The functions of the Audit Committee	Yes	Audit Committee Report	89
	The Annual Report shall set out; the names of the Directors who comprise the Audit Committee	Yes	Audit Committee Report	89
	The Audit Committee shall make a determination of the independence of the External Auditors and disclose the basis for such determination.	Yes	Audit Committee Report	89
	A report by the Audit Committee setting-out the manner of compliance of the functions set out in above, during the period to which the annual report relates.	Yes	Audit Committee Report	89
9 Related Party Transactions				
9.1.1 Non recurrent transactions	There were no non-recurrent related party transactions which aggregate value exceeded 10% of the equity or 5% of the total assets of the Company whichever is lower as per 31st December 2020 audited financial statements.			

Code	Requirement	Compliance Status	Reference	Pages No.
9.1.2 recurrent transactions	Details pertaining to recurrent related party transactions	Yes	Related Party Transaction Review Committee Report	92
9.2 Related party transaction review committee	Related Party Transactions which were reviewed by RPT Review Committee	Yes	Related Party Transaction Review Committee Report	92
	Composition of the related party transaction review committee	Yes	Related Party Transaction Review Committee Report	92
	If the both Parent and Subsidiary are listed companies, Parent's RPT Review Committee can act as the RPT review committee of the subsidiary.	Yes	Related Party Transaction Review Committee Report	92
	Meetings of the related party transaction review committee	Yes	Related Party Transaction Review Committee Report	92
9.3 Disclosures	Immediate Disclosures	Yes	Related Party Transaction Review Committee Report	92
	Disclosures in the annual report	Yes	Related party transactions Note	166
	Acquisition and Disposal of Assets from/to Related Parties	Yes	Related party transactions Note	166
IRCSL Direction				
Direction No 2. B.1	The Board The Board of an Insurer must be comprised of a minimum of two Directors who are citizens of Sri Lanka and also residents of Sri Lanka.	Complied	Board of Director Profiles	60
Direction No 2. B.2	The total period of service of a Director of an Insurer, other than an Executive Director, shall not exceed 9 years and such period in office shall be inclusive of the total period of service served by such Director up-to 01st July 2019.	Complied	Board of Director Profiles	60
Direction No 2.3	The age of a person who serves as Director shall not exceed 75 years.	Complied	Board of Director Profiles	60
Direction No 2.4	The Board of an Insurer must adhere to Section 7.10 of the Listing Rules of the Colombo Stock Exchange (CSE) (or any amendments made thereto), pertaining to Corporate Governance.	Complied	Corporate Governance Section	66
Direction No 2.5	A person shall be disqualified to be a Director of an Insurer if such person is a Director of more than 20 companies, inclusive of subsidiaries or associate companies of the Insurer. Of such 20 companies, not more than 10 companies shall be classified as Specified Business Entities.	Complied	Board of Director Profiles	60
Direction No 2.6	Insures are required to demonstrate compliance with direction by the way of disclosures in their Annual Report, including the disclosure requirements stated in 7.10 of the listing rules of the Colombo Stock Exchange.	Complied	Corporate Governance Section	66

CORPORATE GOVERNANCE

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE

The following discloses the Company's voluntary compliance of the Code of Best Practice on Corporate Governance presented by CA Sri Lanka.

Requirement	Compliance Status	Reference	Pages No.
A. Directors			
A.1 The Board	Yes	Corporate Governance	66
A.1.1 Board meetings	Yes	Corporate Governance	66
A.1.2 Role and responsibilities of the Board	Yes	Corporate Governance	66
A.1.3. Act in accordance with laws of the country. Obtain professional advice, when required.	Yes	Corporate Governance	66
A.1.4. Access to advice and services of Company Secretary	Yes	Corporate Governance	66
A.1.5. Independent judgement	Yes	Corporate Governance	66
A.1.6. Procedures relating to directors matters in the best interest of the company	Yes	Corporate Governance	66
A.2. Division of responsibilities between Chairman and CEO			
A.3. Chairman's role in preserving good Corporate Governance			
A.3. Availability of financial acumen	Yes	Financial Review	31
A.4. Board balance	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98
A.5. Supply of timely information	Yes	Annual Report of the Board of Directors on the Affairs of the Company	98
A.6. Re election and resignation of director	Yes	Corporate Governance	66
A.7. Disclosure of information in respect of Directors	Yes	Board of Directors	60
C. Relations with Shareholders			
C.1. Constructive use of the Annual General Meeting (AGM) and conduct of General Meetings	Yes	Stakeholder Engagement	16
C.2. Disclosure of Major and material transactions	N/A	N/A	N/A

Requirement	Compliance Status	Reference	Pages No.
D. Accountability and Audit			
D.1 Present a balanced and understandable assessment of the company's financial position, performance and prospects	Yes	Management Discussion and Analysis Annual Report of the Board of Directors on The Affairs of the Company Statement of Directors Responsibility	98
D.2 Risk Management and Internal Control	Yes	Risk Management	79
D.3 Audit Committee	Yes	Audit Committee Report	89
D.3.1 The Audit committee should be comprised by minimum of 3 Non executive directors			89
D.4 Related Party Transaction Review Committee	Yes	RPT Review Committee Report	92
D.4.1 The Related party transaction review committee should be comprised by minimum of 3 Non executive directors			92
D.6 Corporate Governance Disclosure	Yes	Corporate Governance	66
F. Other Investors			
	Yes	Notice of Meeting Form of Proxy	186
G. Internet of things and Cyber Security			
	Yes		79
H. Environment, Society and Governance (ESG)			
	Yes	Capital reports	-

CORPORATE GOVERNANCE

COMPLIANCE STATUS OF REQUIREMENTS – ARPICO INSURANCE PLC

During the year 2022, Arpico Insurance PLC was in compliance with the applicable rules and regulations issued by various regulatory authorities.

Statement/Report	Regulatory Body	Relevant Act	Current Status
Motor Levy	Department of Motor Traffic	Finance Act No 16 of 1995	Complied
SRCC/TC/FUND	Ministry of Finance	Cabinet Memorandum	Complied
VAT	Insurance Regulatory commission of Sri Lanka	VAT Act No 14 of 2002	Complied
Returns to IRCSL (Quarterly/ Annual/ Further Returns/ Actuarial Returns/ Circular/ Management Letter)	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Annual Fee to IRCSL	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Reinsurance Arrangements to the Controller	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Copy of Register of Insurance Agents Registered with Arpico Insurance PLC	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Stamp Duty	Department of Inland Revenue	Stamp Duty (Special Provisions) Act No 12 of 2006	Complied
CSE Quarterly Returns	Colombo Stock Exchange	CSE Listing Rules	Complied
Anti-Money Laundering Statements	Financial Intelligence Unit-Central Bank of Sri Lanka	Financial Transactions Reporting Act No 6 of 2006	Complied
EPF and ETF	Central Bank of Sri Lanka/ETF Board	EPF Act NO 15 of 1958 and ETF Act NO 46 of 1980	Complied
Legal Interest	Monetary Board	Civil Procedure Code	Complied
Annual Return to the Registrar of Companies	Registrar General of Companies	Companies Act No 7 of 2007	Complied

RISK MANAGEMENT

At Arpico Insurance, we continuously enhance and strengthen our risk management strategies and measures, ensuring that we maintain a reasonable and calculated level of control over matters that are unexpected and unpredictable.

PURPOSE OF RISK MANAGEMENT FRAMEWORK

The Risk Management framework, fine-tuned in 2021 and operationalised in 2022, safeguards economical and non-financial interests of all our stakeholders. It supports the Company in achieving its strategic objectives and strategic plans despite highly volatile macro developments that impacts operations. At present, the plight of economic and social deterrents is vastly impacting businesses across Sri Lanka and the world; and within this context, our risk management framework enables us to be resilient to negative impacts, while operating within pre-determined and pre-defined parameters and thresholds.

THE RISK ENVIRONMENT

ECONOMIC

- Price-competitiveness from a saturated industry
- Macro-economic conditions that negatively impact customer interests in insurance
- Reducing disposable income due to on-going economic crisis.

SOCIAL

- An aging national population
- Health risks from the pandemic such as new COVID-19 variants
- Political tensions

TECHNOLOGICAL

- New cyber security threats to AIP's database
- Roadblocks in digital transformations

LEGAL

- Changing regulatory landscape
- Complexities in compliance requirements

ENVIRONMENTAL

- Increasing climate volatilities
- Vulnerabilities as an island nation from weather extremities

The Company is part of an industry that is driven in most part by regulatory directives, in addition to being an industry that constantly clashes with new and varying risks - having a high level of risk acceptance. Hence, as a life insurance provider, the company works amidst high probabilities of risks, which requires a strong and prudent risk management policy framework to manage the company's objectives across the short, medium and long terms – without compromises on value creation for Stakeholders.

With the ongoing economic crisis having either direct or indirect impacts on almost every aspect of the country's economic and social positions, the risks insurers are faced with continue to evolve. This has added extra caution and weight on the likelihoods of several risks, including health risks due to the pandemic and economic risks from loss of incomes, delayed business transactions, which has a direct impact on our business. Such a volatile ecosystem certainly requires a strong and adaptive risk management framework, where approaches are revisited almost regularly.

RISK MANAGEMENT OBJECTIVES

While the risk management policy sets several specific objectives in achieving a sound risk management framework, the Company adopts several broad objectives, which

Eliminate and lessen the impact of losses.

Facilitate a risk conscious culture within the organisation.

Ensure flexible yet consistent risk management strategies.

To increase returns, sustainable earnings, growth and shareholder value by managing risks in a prudent manner.

Retain and enhance reputation of the organisation in connection with robust risk management strategies.

RISK MANAGEMENT

HIGHLIGHTS OF 2022

- Conducted department-wise risk management training at Head Office as the first step towards creating a risk culture within the organisation.
- Operationalised the revised risk management policy.
- Operationalised the revamped the Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) policy.
- Preparation of risk registers for departments at the Head Office, which enables to identify record and track potential risks in each department, thereby take corrective measures to mitigate negative ramifications, if and when such risks transpire.

RISK CULTURE

The Company promotes a risk culture that complements the Company's strategic objectives. The Management, through the Risk Management Policy strives to embed risk awareness and mitigation controls across the organisation. This is achieved through continuous training and regular emphasis on assessing risks, empowering employees for responsible risk mitigation. This ensures that the risk management mechanism evolves into a holistic process that is interlinked with each functional area of the Company.

The first step towards instilling a risk culture is the strategic direction set in place by the Board of Directors.

Cultivating a risk culture across the Company is based on:

- Risk management training to existing and new employees.
- Conducting training programs specific to relevant functional areas including technical functions.
- Promoting proactive risk identification, reporting and mitigation; across each staff level of the organisation.
- Conducting a regular email campaign highlighting development.
- Organising risk management experience sharing sessions to transfer knowledge among staff members.

Principles of Effective Risk Management Culture at Arpico Insurance**RISK MANAGEMENT POLICY (RMP)**

The Company manages risk exposures based on an Enterprise Level Governance Framework that is enabled through a comprehensive Risk Management Policy (RMP). The purpose of the RMP is to provide in a structured manner, risk management principles and processes as part of a cohesive risk management framework.

The Risk Management Policy prescribes to ISO 31000:2018 Risk Management Standards, which functions as a guide for the development and implementation of the RMP. The Risk Management Policy complies with the requirements of the

Insurance Regulatory Commission of Sri Lanka (IRCSL), the Central Bank of Sri Lanka (CBSL) and the Securities and Exchange Commission of Sri Lanka (SEC).

- **SCOPE OF RMP**

The RMP is applicable to all operations and the entire organisational hierarchy; including its agents, outsourced staff and all individuals representing the company in matters of business.

Objectives of Risk Management Policy

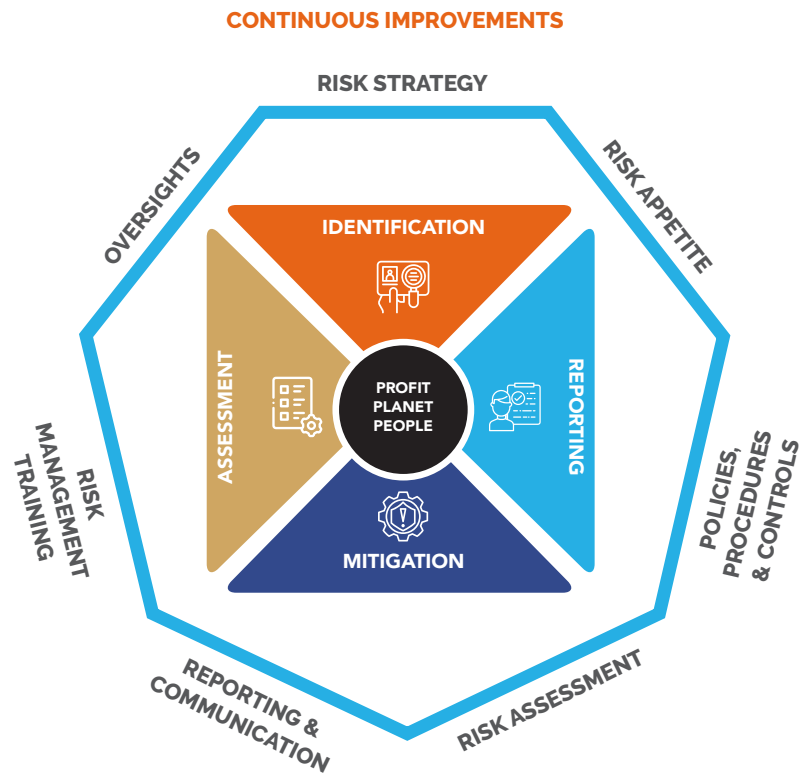
- Optimises risk and reward trade-off, to achieve strategic objectives – The enterprise risk management framework

is based on the Risk Management Policy.

- Set risk tolerance limits – Enables to specify clear tolerance limits and set operating risk limits.
- Promote a strong risk-conscious culture – Enables the integration of risk management in decision making and at all levels, with the aim of creating a culture aware of risk identification and mitigation.
- Formalise risk management – acts as the formal point of reference in implementing risk management proactive with authorities.

RISK MANAGEMENT FRAMEWORK

The Risk Management Framework is based on the Risk Management Policy (RMP) and is set in motion by the Risk Management Department together with risk owners, while oversight is distributed in a top-down approach from the Board of Directors to the Management, as they monitor and evaluate as well as provide guidance in improving risk management procedures.



RISK GOVERNANCE STRUCTURE

As we believe a well-governed organisation contributes to a stable operating platform, the following Risk Governance Structure is applied to ensure smooth interaction across all the organisational levels. Risk Governance Structure navigates the Company toward establishing efficient risk management system within the overall system.



RISK MANAGEMENT

LINES OF DEFENCE

First Line of Defence

This first tier is the management and internal control measures relevant to risk owners. Strong management and internal controls together with decision making based on risk awareness provides a buffer against risk events.

Second Line of Defence

- This level involves the risk management function, tasked with monitoring risk exposures and in setting in place mitigation measures company-wide. It is also allotted with the task of ensuring process improvements and aligning employee training.

- The officer that heads the risk management function is responsible for operational implementation of risk management procedures. The Risk Management function reports directly to the Chief Executive Officer.

Third Line of Defence

It involves the internal audit function, which acts independently, reporting directly to the Board of Directors through the Audit Committee. The internal audit is responsible for providing independently maintained oversight on the entire risk management process of the company. This independent monitoring is crucial in assessing existing procedure and in remediating gaps in the risk management process.

RISK MANAGEMENT PROCESS

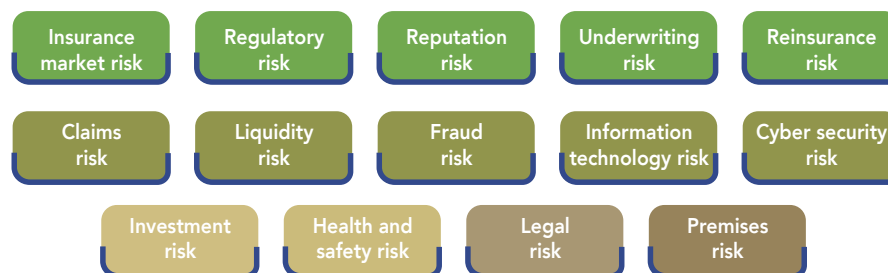
A clear process is followed when managing the deluge of potential risks and risk exposures the Company face from both internal and external environments. This gradual and interlinked process ensures transparency and soundness in recognising risks and proactively mitigating their likelihoods and occurrences.



RISK IDENTIFICATION

The Risk Management Division or individual risk owners detect risks via regular risk assessments and/or day-to-day operational activities. Arpico Insurance recognises risks as any aspect or event that has an effect on the company's strategic objectives. Therefore, several risk categories have been ascertained in tandem with their ability to affect strategic objectives.

RISK LANDSCAPE



• RISK ASSESSMENT

The following matrix is used to assess risks based on probability of occurrence and severity of loss of risk events.

		Severity of Loss					
		1	2	3	4	5	
	1	Low	Low	Low	Low	Medium	Low Medium high
	2	Low	Low	Medium	Medium	High	
	3	Low	Medium	Medium	High	High	
	4	Low	Medium	High	High	High	
	5	Medium	High	High	High	High	

RISK APPETITE

Risk appetite is the level of risk the company is able and willing to accept in achieving its strategic objectives. Defined at the top management level risk appetite is communicated to the company (top-down approach - setting the overall tone to risks accepted by the Company).

At the functional level, the Company's risk appetite is as follows.

Risk Category	Level of Risk Appetite
Insurance market risk	Strategically optimise risks taken
Regulatory risk	Full compliance, zero tolerance
Reputation risk	Minimise with operational risk controls
Underwriting risk	Minimise with operational risk controls
Reinsurance Risk	Strategically optimise risks taken
Claims risk	Minimise with operational risk controls
Liquidity risk	Strategically optimise risks taken
Fraud risk	Full compliance, zero tolerance
Information technology risk	Minimise with operational risk controls
Cyber security risk	Minimise with operational risk controls
Investment risk	Strategically optimise risks taken
Health & safety risk	Minimise with operational risk controls
Legal risk	Minimise with operational risk controls
Premises risk	Minimise with operational risk controls
Financial crime risk	Minimise with operational risk controls

• RISK TOLERANCE LEVELS

Risk tolerance levels at the Company refer to the level of risk acceptance the company can undertake during operations and in achieving a specific goal or objectives. It provides practical thresholds, which are assigned under each category of risk that has a direct impact on operations. Risk tolerance levels enable the company to effectively monitor and review decisions, actions and their repercussions.

• RISK REGISTER

A risk register is maintained in documenting and compiling the risk exposures of the Company. It is the role of the Risk Management Department in maintaining documentation, reviewed and updated by regularly.

• RISK MONITORING

Risk monitoring is conducted to examine and identify risk exposures – which may have a bearing on any process or unit of the organisation. Monitoring is also done in assessing gaps that may exist within the Risk Management Framework and processes. This task is undertaken by the Risk Management Department, and is accountable for effective monitoring.

Analytical methods are deployed in identifying and assessing such risks and

• COMMUNICATION OF RISK MANAGEMENT

Internal Risk Communication	External Risk Communication
Present risk management updates regularly to the Board Risk Committee.	Monthly, quarterly, and yearly regulatory reporting to IRCSL.
Present updates monthly to the Management Committee.	Regular reporting to CBSL.
Escalate ad-hoc risk management issues through a special board risk committee meeting.	Risk management update on the annual report
Regular risk alert emails to all staff members.	
Conduct regular risk awareness programs	

exposures, useful in providing structured, evidence- backed information to the management.

RISK REPORTING

Risk reporting takes a top-to-down approach, cascading throughout the organisation.

• BOARD RISK COMMITTEE

The committee reviews updates on risk management on a regularly basis through meetings. Ad-hoc risk management updates are escalated to the committee through a special meeting.

• CHIEF EXECUTIVE OFFICER

The CEO with assistance from the Risk Management Department and its Head is responsible for developing, implementing and evaluating risk management procedures.

• HEAD OF RISK MANAGEMENT DEPARTMENT

Reports directly to the CEO, while maintaining a line of communication open to the Board of Directors.

• RISK OWNERS

Responsible for updating the risk register together with the risk department.

RISK MANAGEMENT

• RISK MANAGEMENT REVIEW

A risk management review is conducted in order to evaluate the robustness of the risk management policy and its procedures. In this regard, an annual fitness test conducted during strategic planning process measures the strength of the procedures already in

effect, and of the department. A Regular reporting to CBSL review is conducted in assessing the effectiveness of the risk management procedures; this is in addition to being regularly assessed and revised.

In the event of an escalation, the risk management framework will be subjected

to change, under the authority of the Head of the Risk Management Department.

RISKS MITIGATION

Risk Categories and risks that impact Arpico Insurance PLC and internal controls for mitigation are as follows:

Risks	Description	Risk Rating	Mitigation
Insurance Risks			
Underwriting risk	Risks due to inaccurate assessment of risk when accepting insurance policies.	High	- Ensuring a sufficient level of segregation between duties of sales and underwriting functions while centralizing function at head office. - Maintaining a robust manual of financial to offer guidance to underwriting staff. - Frequent audits and verification to ensure the smooth function of the process. - Timely consultation and feedback from Consultant Actuary and Reinsurer to adequately price products. - The medical reports are only generated from the registered and well-respected laboratories monitor by the management to ensure quality service. - Carrying underwriting as per the set guideline given by the reinsurer.
Reinsurance Risk	Inability of the ceding company to obtain insurance from a reinsurer at the right time and at an appropriate cost	High	- The Company only works with reinsurers with 'A' or above ratings and monitors their ratings consistently. - Conducting frequent reviews of outstanding reinsurance receivables. - Maintain close relationship with all reinsurers
Claims risk	Claims experience that exceed the expected level	High	- Monitoring actual claims experience with respect to expected claims. - Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured. - The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.
Insurance Market Risk	Failure to adopt to changing insurance market dynamics	Moderate	Regularly monitor and discuss local and global industry developments.

Risks	Description	Risk Rating	Mitigation
Financial Risks			
Liquidity risk	Lack of readily available funds to meet expenses	Moderate	• Maintaining a diversified mix of term investments • Regularly review reviewing cash flow projections. • Guidelines to ensure availability of sufficient funding to meet insurance and investment contract obligations. • Clauses in reinsurance contracts to meet claim payments in the event claims exceed values.
Credit Risk	The risk of financial losses in case of the counter party failing to meet contractual payment obligations.	Moderate	• Credit risk exposure monitoring with respect to investment counterparties, credit risk evaluation when making new investments. • Periodical reviews into the creditworthiness and financial stability of all entities. • The Company only places corporate debt investment exposure with counter parties that retain a credit rating of or above BBB+, given by well-known rating companies. • Imposing strict credit limitations on all such entities, upon reviewing their stability. • Maintaining a structured and standardized credit approval process, based on the size and nature of the organization. • Employing only senior and experienced staff to carry our credit approval.
Interest Rate Risk	Risk of changes in the interest rates, which might affect the Company's investment portfolio	High	• Making investments to mitigate the asset and liability mismatch thereby reducing exposure to interest rate changes.
Investment Risk	Unfavorable economic conditions leading to below par investment returns.	Moderate	• Prudent long-term and short-term investment mix • Monitoring financial and banking market
Operational Risk			
Fraud Risk	Risks that occur due to misappropriation of financial or non-financial resources of the Company, as well as claims.	Moderate	• Proper management of financials and observation of misappropriation. • Take immediate action in remediating the fraud.
Information Risk / Cyber Security Risk	Risk of unauthorised access to IT systems and possible threats to data and network security, as well as the loss of confidential data	Moderate	• Comprehensive cyber security policy • Secured network connections across branch network and work from home (WFH) arrangements. • Assessment of firewall strength and protection environment through trusted third party service provider. • ICT and data security awareness and prevention through proactive training to staff. • Data backups through cloud technology. • Two factor authentication for staff accounts

RISK MANAGEMENT

Risks	Description	Risk Rating	Mitigation
Health and Safety Risks	Risks to the health and safety of individuals working for the Company.	Moderate	• Protocols in place against COVID-19 • Basic awareness of occupational safety risks
Premises risk	Damage to physical assets because of natural and man-made disasters such as flooding, fire, and riots	Low	• Prudent insurance of buildings and property • Training and awareness on workplace safety
Legal risk	Risk of facing litigation in court of law.	Low	• Seeking advice from group legal department when entering into contracts.
Strategic Risk			
Reputation Risk	The damage to reputation and brand image of the Company, when it fails to meet stakeholder expectations.	Low	• Management and staff are recommended to maintain ethical and professional conduct both in and out of premises. • Professional decorum maintained on social media accounts • Compliant management system in place for handling complaints swiftly
Regulatory Risk / Compliance Risk	Any adverse impacts that could occur from failure to meet existing and new regulatory requirements. Capital Adequacy Ratio (CAR) By calculating the capital adequacy ratio (CAR), the Company can ascertain the adequacy of its total available capital. The minimum regulatory cap for CAR is 120%, considered as sufficient to be solvent, when it is crucial to meet liquidity levels. Complying with the requirements mandated by IRCSL, Arpico Insurance PLC maintained a CAR at "434% as at 31st December 2021, (awaiting finalization)" with "214% as at 31st December 2022" well above the statutory minimum.	Moderate	• Strict adherence to relevant rules and regulations. • Periodical reviews on major regulatory developments and employing a mechanism to anticipate potential impact on the Company. • Consistent participation in industry forums such as events organized by the Insurance Association of Sri Lanka. • The Company's business process invariably goes through timely analyses and updates of policies and procedures.

RISK MANAGEMENT OUTLOOK FOR 2022

In 2022, the new Risk Management Policy (RMP) was operationalised. Nevertheless, the uncertainties in the external environment are expected to remain heightened in 2023, while the implementation of the risk management policy will enhance the resilience of the Company to both internal and external risks and facilitate the achievement of its strategic objectives.

GOALS FOR 2023

Introducing specialised risk management training sessions pertaining to Anti-Money Laundering (AML) and cyber security.

Carrying out risk assessment programme to cover the entire organisation including all functional departments and branches.

Extending training to staff at branches, ensuring literacy in risk management for all employees across the network.

Appointing a risk management representative for each department to lead risk management activities – developing a culture of risk-consciousness across each department.

RISK COMMITTEE REPORT

RISK COMMITTEE CHARTER

The risk management committee ("the committee") is appointed by the board of directors and accountable to the board. The responsibility of the committee is to supervise the risk management function of the company. The committee shall assist the board in terms of fulfilling its responsibility towards establishing and maintaining an enterprise-wide risk management framework, and any other risk management related matters determined by the board.

KEY RESPONSIBILITIES

1. Review the company's risk management framework including risk management policy, risk appetite, risk strategy, the effectiveness of risk management controls periodically.
2. Review the adequacy and effectiveness of senior management level committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee
3. Review the company's compliance with applicable laws and regulations.
4. Review and discuss on concerns raised by auditors and regulators.
5. Assess the impact of risks, including market, liquidity, operational, strategic, compliance and technological, through appropriate risk indicators and management information, and make recommendations on the risk strategies and the risk appetite to the board.

AUTHORITY

The committee has been empowered to have access to and receive regular reports from the management as well as be provided with any information with regard to its responsibilities.

ACTIVITIES IN 2022

1. Evaluated the effectiveness of the company's existing risk management controls and provide further directions to the management.
2. Reviewed the risk register of investment function and advised on further improvements.

3. Reviewed the risk register of actuarial function and advised on further improvements.
4. Reviewed the risk register of conservation and customer care function and advised on further improvements.
5. Evaluated the compliance status of the company and reviewed correspondences with the industry regulator.

COMPOSITION & MEETINGS

The committee comprised of the following directors.

Name	Category
Mrs. L. Serasinhe - Chairman	Committee chairman and independent non-executive director
Mr.S. Sirikananathan	Independent non-executive director (retired)

The Chief Executive Officer, Senior Manager – Actuarial, Risk & Compliance and Investments, Manager – Finance, and other corporate management team members attended meetings by invitation.

SECRETARY TO THE COMMITTEE

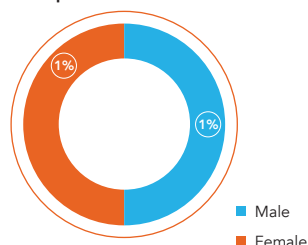
Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Related Party Review committee.

COMPOSITION OF THE BOARD

Gender Diversity



Composition of the Board



CONCLUSION

The committee will continue to review risks, mitigation strategies, and make recommendations in order to ensure the company is in compliance with its stipulated compliance framework and is within its defined risk appetite.

Mrs. Lasinee Serasinhe

Chairperson – Risk Committee

29th April 2023

BOARD AUDIT COMMITTEE REPORT

The audit committee charter dictates the purpose, authority, composition, meetings and responsibilities of the committee. The board of directors is responsible for the approval and effective implementation of the audit committee charter and appoints the audit committee.

PURPOSE

The purpose of the audit committee is to

- Assist the board of directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures
- Monitor the effectiveness of internal audit function
- Review the company's process for monitoring compliance with laws and regulations
- Assess the independence and performance of the company's external auditors
- Make recommendations to the board on the appointment of external auditors, their remuneration and terms of appointment

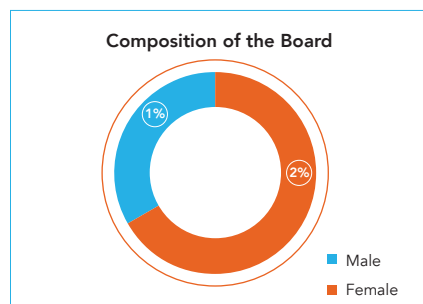
external auditors whenever their presence was deemed necessary. Board members received updates of the audit committee activities via meeting minutes tabled at board meetings held subsequently to each audit committee meeting.

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Board Audit Committee .

COMPOSITION OF THE BOARD

Gender Diversity



COMPOSITION OF THE COMMITTEE AND BAC MEETINGS AND ATTENDANCE

Name	Membership Status	Directorship Status	Attendance
Mr. S. Sirikananathan	Chairman (Ceased to be a Director W.E.F. 30th June 2022)	Non - Executive Independent Director	3/5
Ms. Lasinee Seresinhe	Chairman (effective from 1st July 2022)	Non - Executive Independent Director	5/5
Ms. Dilukshika Fernando	Member	Non - Executive Independent Director	2/5

The audit committee held a total of 5 meetings during the year under review. Audit committee meetings were conducted in attendance (upon invitation) of the finance manager and the internal auditors. The audit committee extended invitations to members of the management and

EXPERTISE OF THE COMMITTEE

The former Chairman of the committee is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka. He brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he has held finance director / CFO positions at fortune 500 and leading corporates.

AUTHORITY OF THE BAC

Audit Committee is empowered to carry out any investigations it deems necessary and has unrestricted access to records, data, reports and to Management and staff, to obtain relevant information considered necessary in the discharge of duties and responsibilities.

The Committee may seek external professional advice as and when required.

The Chairperson and the members of the Committee were in regular contact with the Management of the Company, through numerous meetings and communications to oversee the audit and control aspects of various initiatives the Company undertook during the year.

Key focus areas during the financial year were as follows:

1. FINANCIAL REPORTING

Reviewed the Company's financial reporting process to ensure Financial Statements are prepared in compliance with relevant laws and regulations, and reflect a true and fair view on the financial position and performance of the Company.

Reviewed and recommended to the Board for approval, the Annual and the Quarterly

No of BAC meetings for each Quarter of 2022

Quarter	Q1	Q2	Q3	Q4	Total
No of BAC meetings	2	1	1	1	5

BOARD AUDIT COMMITTEE REPORT

Financial Statements prior to their release, taking the following areas into account in particular:

- Changes in accounting policies and practices, if any,
- Any significant adjustments arising from the External Audit,
- the validity of the going concern assumption under current and future economic conditions
- compliance with all applicable regulatory provisions, including the Sri Lanka Financial Reporting Standards, the Companies Act, the Insurance Industry Act and amendments thereto, listing rules and other legal requirements

New Developments and amendments to the Accounting Standards

SLFRS 9 - Financial Instruments

SLFRS 9: Financial Instruments Classification and Measurement which replaces, LKAS 39: Financial Instruments Recognition and Measurement. SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018. Company intends to implement SLFRS 9 together with the implementation of SLFRS 17 in 2025.

SLFRS 17 - Insurance Contracts

SLFRS 17 will supersede SLFRS 4: Insurance Contracts. The objective of the standard is to provide a clear guideline on recognition, measurement and disclosure of an insurance contract. It also enhances the comparability and the quality of the information. Currently, the GAP analysis has been completed and the Company is in the process of the system implementation. Arpico Insurance PLC will apply SLFRS 17 from 01.01.2025 and planned to execute a parallel run from 2nd quarter of financial year 2024.

2. INTERNAL CONTROLS AND RISK MANAGEMENT

The audit committee reviewed the company's internal control system and its approach to managing the business and financial risks in its endeavor to identify potential inefficiencies for recommending countering measures to reduce such risks. The audit committee review ensured that the necessary tools are in place to secure company assets. The audit committee reviewed the financial reporting system to determine the effectiveness and accuracy of the preparation and presentation of the financial statements. The committee monitored the monthly comprehensive financial review reports to ensure that all critical performance criteria were prepared and reviewed by the management.

3. INDEPENDENCE AND OBJECTIVITY OF THE EXTERNAL AUDITORS

The Audit Committee is satisfied that the independence of the External Auditors has not been obstructed by any event or service that gives rise to a conflict of interest.

4. APPOINTMENT OF THE EXTERNAL AUDITORS

The Board Audit Committee is in charge of recommending to the Board the appointment, reappointment, or removal of the External Auditor of the company.

The audit committee has recommended to the board of directors, the reappointment of Messrs. Ernst and young as auditors for the financial year ended 31 December 2023 subject to the approval of the shareholders at the next annual general meeting.

5. SUPERVISION ON REGULATORY COMPLIANCE

The Board Audit Committee closely examines compliance with mandatory statutory requirements, reviewing alignment of the systems and procedures in place to

ensure compliance with the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

6. CORPORATE GOVERNANCE

The Company is fully compliant with the applicable rules on corporate governance in terms of Section 7.10 of the Listing Rules and amendments thereto, of the Colombo Stock Exchange (CSE) and Code of Best Practice on Corporate Governance issued jointly by the Securities and Exchange Commission of Sri Lanka (SEC) and the Institute of Chartered Accountants of Sri Lanka (ICASL) and direction no 2 of IRCSL on corporate governance framework for insures.

CONCLUSION

The audit committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company the safeguarding of the company's assets and the following of all relevant laws, rules, regulations, code of ethics and standards of conduct.



Lasinee Seresinhe

Acting Chairperson – Audit Committee

29th April 2023

INVESTMENT COMMITTEE REPORT

INVESTMENT COMMITTEE CHARTER

Investment committee provides guidelines to the investment decisions made by the company, monitors the organization's investment assets while providing strategic direction and managing the market risk effectively in the challenging economic environment.

KEY RESPONSIBILITIES

- Exercise the investment policies, strategies, and programs to ensure that they are consistent with goals and objectives of the organization.
- Review data on current economic conditions, inflation, interest rates to formulate future investment strategies.
- Monitor and review the performance, liquidity and the assets & liability mismatch of the investment portfolio.
- The Committee evaluated and assessed the impact on the performance of the Company's investment portfolio and highly volatile economic environment (Interest rates, inflation), due to Economic and Political instability and the implications of possible Debt Restructuring.
- Ensure full compliance with laws, rules, regulations, determinations and guidelines related to investments issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL).
- Act as the approving authority for inclusion of investment counterparties and asset classes to diversify the investment portfolio.

AUTHORITY

The committee has direct access to receive regular reports from the management at any given time. In order to discharge its duties and responsibilities effectively and efficiently, the committee is authorized to receive and request information from the management relating to its responsibilities.

ACTIVITIES IN 2022

- The committee reviewed the current investment portfolio, economic outlook of the country, and the interest rate fluctuations affecting the current investment yield.
- The committee decided to invest in long term assets to increase investment return and minimize the asset and liability mismatch.
- Identifying and monitoring the implementation of medium and long-term strategies.
- Monitor the investment portfolio and investment projections to identify risks and opportunities.
- In addition to scheduled meetings, the committee also maintained constant dialogue with the management throughout the year, and discussed matters as and when they arose.

COMPOSITION & MEETINGS

The investment Committee comprised of the following directors.

Name	Category
Mr. Shiron Goonaratne (Non- Executive Director)	Chairman
Mr. Viville Perera (Non-Executive Director)	Member (Retired w.e.f 30.06.2022)

The Committee held 2 meetings during the period.

The Chief Executive Officer, Deputy Chief Financial Officer of RPC, Senior Manager – Actuarial, Risk & Compliance and Investments, Manager – Finance attended meetings by invitation.

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Investment Committee.

PROFESSIONAL ADVICE

The members of Investment Committee will decide if and when expert external advice is necessary and seek such advice when required.

COMMITTEE EVALUATION

The annual evaluation of the performance of the investment committee was carried out by the Main Board of the company and it was concluded that the committee operated in an effective manner during the past year.



Shiron Goonaratne

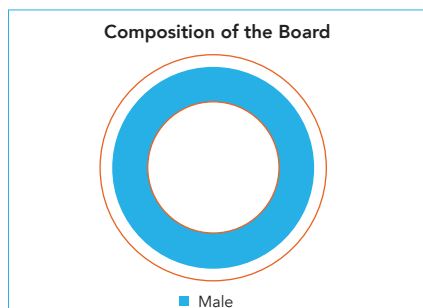
Chairperson – Investment Committee

29th April 2023

THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The related party transactions review committee of the Richard Peiris and company plc acts as the related party transactions review committee of Arfico insurance plc. This practice has permitted by the Securities and Exchange Commission of Sri Lanka (SEC) As the Parent Company is also a listed Company,

The related party transaction review committee, appointed by and responsible to the board of directors.



4. To review policies and procedures of related party transactions of Arfico Insurance PLC
5. To ensure shareholders' interests are protected and that fairness and transparency are maintained.

POLICIES AND PROCEDURES ADOPTED BY THE COMMITTEE

Head of finance is responsible for reporting the information set out under 'appendix 9 A' of the listing rules with regard to each related party transactions proposed to be entered into by the company with the exception of information listed in the section 9.5 of the listing rules for the committee to review and to grant approval or disapproval. The committee reviewed all related party transactions for the year 2020. All related party transactions entered into during

COMPOSITION OF THE COMMITTEE AND ATTENDANCE

Name	Membership Status	Directorship Status	Attendance
Dr. Jayatissa De Costa P.C	Chairman	Non - Executive Independent Director	4/4
Mr. Joseph Felix Fernandopulle	Member	Non - Executive Independent Director	4/4
Mr. Prasanna Fernando	Member	Non - Executive Independent Director	4/4

The Group Related Party Review committee held a total of 4 meetings during the year under review. Related Party Transaction Review committee meetings were conducted in attendance (upon invitation) of the finance manager. The activities and the views of the committee have been communicated to the board of directors where appropriate.

SECRETARY TO THE COMMITTEE

Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Related Party Review committee.

COMPOSITION OF THE BOARD

Gender Diversity



No of RPTRC meetings for each Quarter of 2022

Quarter	Q1	Q2	Q3	Q4	Total
No of BAC meetings	1	1	1	1	4

THE OBJECTIVES OF THE COMMITTEE

1. To exercise oversight on behalf of the board, that all related party transactions ("RPTs" Other than those exempted by the CSE listing rules on the related party transactions) of Arfico Insurance PLC are carried out and disclosed in a manner consistent with CSE listing rules.
2. To advise and update the board of directors on related party transactions of Arfico Insurance PLC on quarterly basis.
3. To ensure compliance with the CSE listing rules on related party transactions.

the year were of a recurrent, trading nature and were necessary for day to day operations of the company. In the opinion of the committee, the terms of these transactions were not more favorable to the related parties than those generally available to the public.

The committee held four meetings during the period under review. The activities and the views of the committee have been communicated to the board of directors where appropriate.

No related party transactions exceeded the limit of 10% of the equity or 5% of the total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the annual report as required by

section 9.3.2 (b) of listing rules, the board confirms that the company has complied with all requirements as per Section 9 of the listing rules.

WORK PERFORMED IN 2022

During the year, related party transactions were reviewed by the Committee and there was no transaction which exceeds the stipulated limits which mentioned in the listing rules of the Colombo Stock Exchange (CSE) which related to the company.

COMPLIANCE RESPONSIBILITIES

No related party transactions exceeded the limit of 10% of the equity or 5% of the total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the annual report as required by section 9.3.2 (b) of listing rules, the board confirms that the company has complied with all requirements as per Section 9 of the listing rules.

The directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard (LKAS 24). All details of such related party transactions entered into during the year are given in Note 37 to the financial statements on page 166 to 167 of this Annual Report.

The Related Party Transaction Review Committee shall ensure that the interest of the shareholders as a whole, are taken in to account by the Company when entering in to a related party transactions and to ensure strict compliance with the rules and regulations governing related party transactions.

THE YEAR AHEAD

The Committee will continue to review Related Party Transactions in order to ensure the Company is in compliance with its stipulated framework governing related party transactions.



Dr. Jayatissa De Costa P.C.

Chairperson – Related Party Transaction Review Committee

29th April 2023

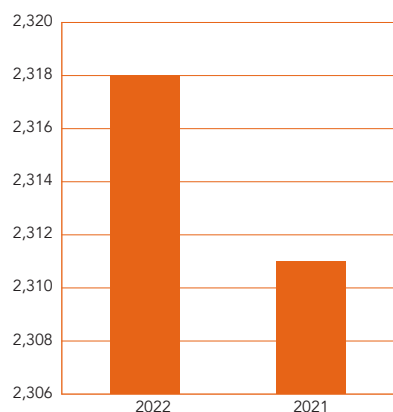
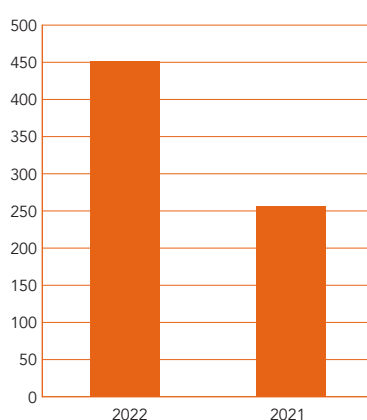
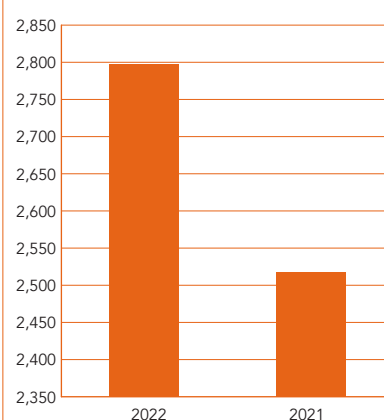
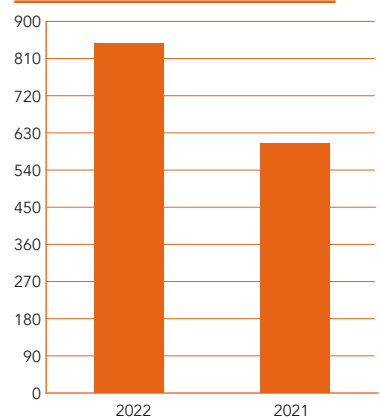
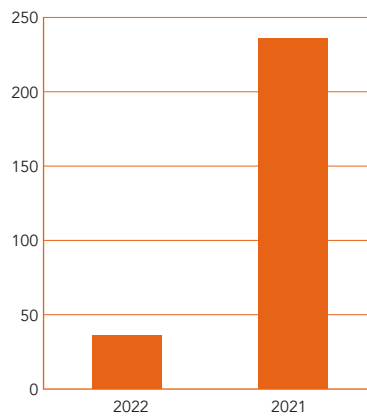
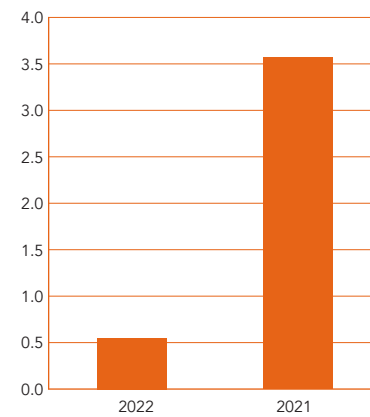
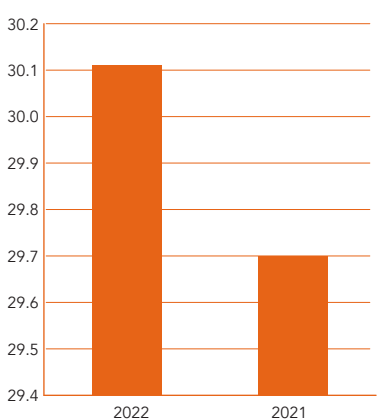
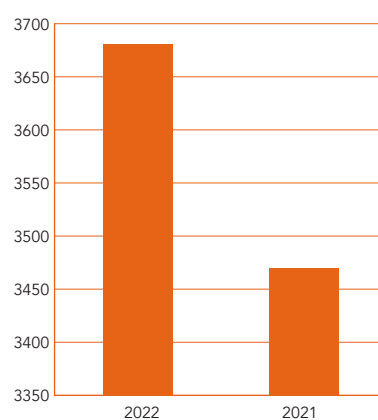
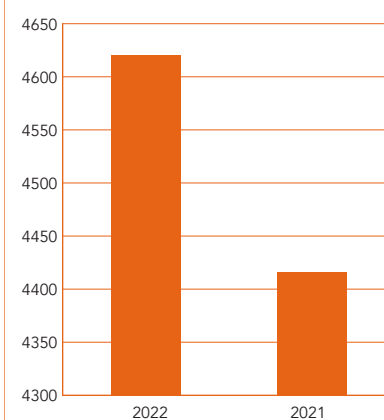
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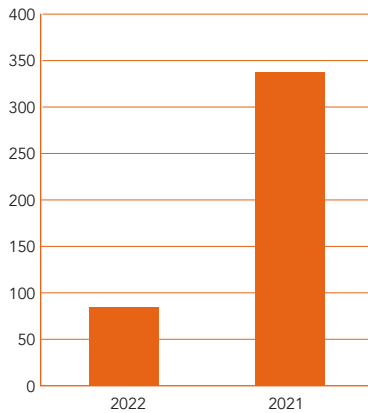
FINANCIAL CALENDAR

	for the Year 2023	for the Year 2022
ANNUAL REPORT	In March 2024	On April 29, 2023
Annual General Meeting	In April 2024	On June 23, 2023
INTERIM FINANCIAL STATEMENTS CALENDAR		
For the three months ended/ ending March 31	15th May 2023	13-May-22
For the six months ended/ending June 30	On or before 15th August 2023	15-Aug-22
For the nine months ended/ ending September 30	On or before 15th November 2023	5-Nov-22
For the year ended/ending December 31	On or before 29th February 2024	28-Feb-23

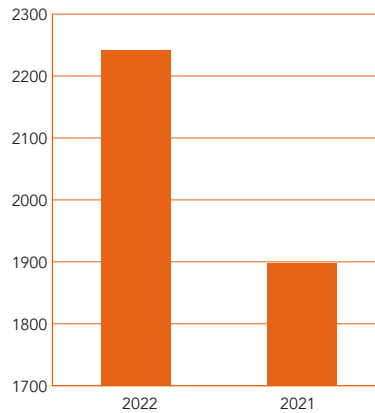
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GROSS WRITTEN PREMIUM (RS.MN)

INVESTMENT INCOME (RS.MN)

NET INCOME (RS.MN)

NET INSURANCE BENEFITS & CLAIMS (RS.MN)

PROFIT AFTER TAXATION (RS.MN)

EARNING PER SHARE (RS.)

NET ASSET PER SHARE (RS)

FINANCIAL INVESTMENTS (RS.MN)

TOTAL ASSETS (RS.MN)


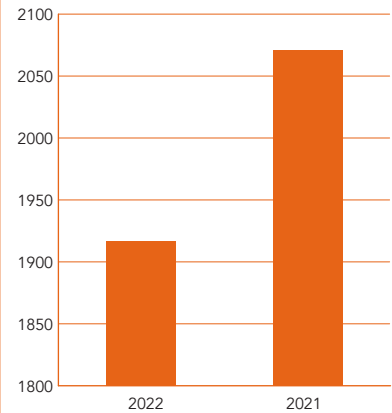
PROFIT BEFORE TAXATION (RS.MN)



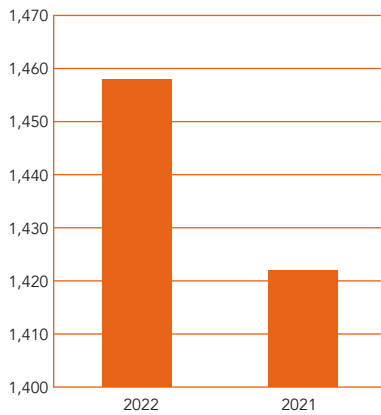
INSURANCE CONTRACT LIABILITIES (RS.MN)



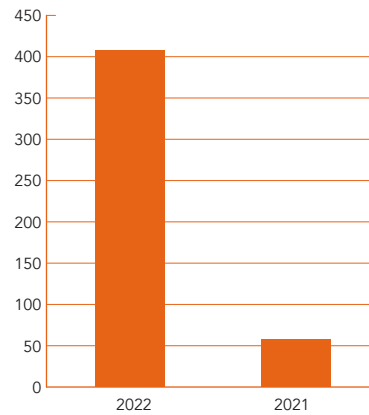
TOTAL EQUITY (RS.MN)



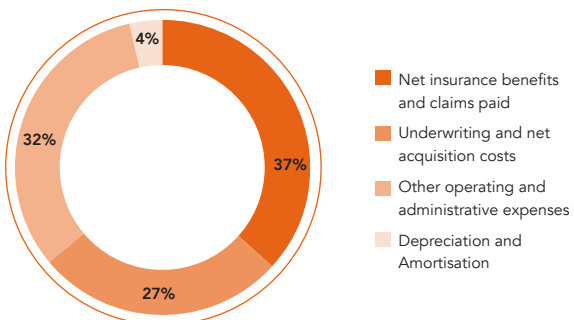
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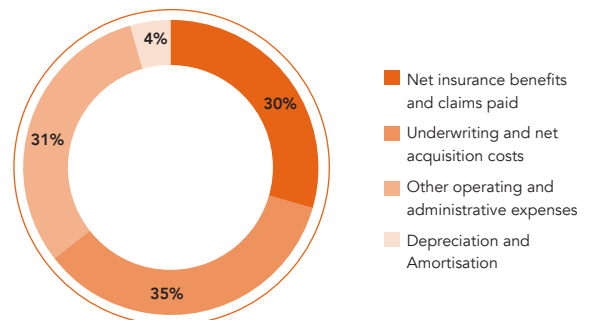
CHANGE IN CONTRACT LIABILITIES - LIFE FUND (RS.MN)



EXPENSES DISTRIBUTION 2022 (RS.MN)



EXPENSES DISTRIBUTION 2021 (RS.MN)



ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

GENERAL

It is with pleasure that the board of directors of Arpico Insurance PLC present their Annual Report on the affairs of the company, audited financial statements and the auditor's report for the year ended 31st December 2022. This report was approved by the board of directors on 29th April 2023.

Arpico Insurance PLC is a licensed life insurance company registered under the Regulation of Insurance Industry Act No. 43 of 2000. The company was incorporated on 22nd June 2011 as a limited liability company under the Companies Act, No. 17 of 1982 and re-registered on 21st May 2015 as per the requirements of the Companies Act No. 07 of 2007 and bears the company registration number, PB 4739 PQ.

The ordinary shares of the company are listed on the Diri Savi Board of Colombo Stock Exchange.

PRINCIPAL ACTIVITIES

The principal activity of the company constitutes provision of life insurance in Sri Lanka. No significant changes were made to the company's principal activities during the financial year under review. The company has not engaged in any activities, which contravene laws and relevant regulations.

VISION MISSION AND CORPORATE VALUES

Company's vision and mission are provided on page no 07 of this Annual Report. The directors ensure that the business activities of the company are carried out within the framework of objectives outlined in the vision and mission and are in conformity with the values of the company reflecting a commitment to the highest ethical standards and integrity.

REVIEW OF COMPANY PERFORMANCE

Complying with the requirements of the companies act, the chairman's review, review of operations, financial review and other statements in this Annual Report briefly describe the performance of the company

during the financial year under review. These reports form an integral part of the Annual Report of the board of directors.

FUTURE DEVELOPMENT

An overview of the future developments of the Company is presented in the Chief Executive Officer's Review (Page12 to13).

FINANCIAL STATEMENTS

The audited financial statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and notes to the financial statements of the company for the financial year ended 31st December 2022 on page 107 to 112 form an integral part of the annual report of the directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act No 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of Colombo Stock Exchange.

AUDITORS REPORT

The Auditors' Report can be found on page 104 to 106 of this Annual Report.

AUDITORS

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors,

at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorizing the directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 10 to the Financial Statements. As far as the directors are aware, the auditors do not have any other relationship with the company other than those disclosed in this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of the financial statements are given on page 113 to 167 There were no significant changes to the accounting policies of the company during the year.

GROSS WRITTEN PREMIUM

The table below gives growth in gross written premium for the year 2022. Further details on financial performance are given on page 120.

	2022	2021
	Rs. '000	Rs. '000
FYP	1,060,388	1,374,826
Renewal	1,084,782	869,854
Group premium	173,408	66,953
Total	2,318,578	2,311,633

RESULTS

The company recorded a net profit of Rs 36 Mn. for the year. A synopsis of the financial performance is presented below.

	2022	2021
	Rs. '000	Rs. '000
Net written premium	2,247,039	2,208,341
Total other revenue	551,826	309,772
Net income	2,798,865	2,518,113
Total benefits, claims and other expenses	(2,713,673)	(2,180,732)
Profit before tax	85,192	337,382
Income tax expense	(48,956)	(100,681)
Profit for the year	36,236	236,701

ACTUARY'S REPORT

This Annual Report includes reports from the Life Actuary of Arpico Insurance PLC. The Actuary has expressed satisfaction with the progress achieved by the Company to date and of the performance of the Company during the year under review.

Actuarial Reports are provided on page 101.

TAXATION

the Company's operations for the year under review were 24% and 30. The Company recognized deferred tax asset extent to which future taxable profits will be available to utilise the available tax losses in foreseeable future.

RISK BASED CAPITAL REQUIREMENT (RBC)

The Company have complied with the requirements of the Risk Based Capital (RBC) framework on solvency margin as required by the IRCSL. Total Available Capital (TAC) and Risk based Capital Adequacy Ratio (CAR) of the company were maintained in excess of the minimum requirements as prescribed by the IRCSL throughout the year. Details on RBC of the Company is given in page 166 of the Annual Report.

PROPERTY, PLANT AND EQUIPMENT

The book value of Property, Plant & Equipment of the company stood at Rs. 75.2 Mn. as at 31st December 2022. Details are given in Note 19 to the financial statements (page 129 to 132).

INVESTMENTS

Investments of the company amounted to Rs. 3,682 Mn. Details are given in Note 21 to the financial statements.

STATED CAPITAL AND RESERVES

Stated capital and total equity of the company as at 31st December 2021 stood at Rs. 675 Mn. and Rs. 1,917 Mn. respectively. Details for Statement of Changes in Equity are given on page 115.

HUMAN RESOURCES

The company's human resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

BOARD OF DIRECTORS

The board of directors of the company consists of three directors with wide financial knowledge and experience. The names of the directors who held office are given below and their brief profiles appear on page 60 to 61.

Name of the Director	Directorship Status
Mr. S Gooneratne	Non-Executive Director
Mrs. Dilukshika Fernando	Independent Non-Executive Director
Mrs. L S A Serasinhe	Independent Non-Executive Director
Mr. Ramal Jasinghe (Appointed w.e.f 16th May 2023)	Non Executive Independent Director

DIRECTORS' SHAREHOLDINGS

Name of the Director	2022 No. of Shares	2021 No. of Shares
Mr. S Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil
Mr. Ramal Jasinghe (Appointed w.e.f 16th May 2023)	N/A	N/A

BOARD COMMITTEES

The board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the company. The sub committees consist of

- Board Audit Committee
- Risk and Compliance Committee
- Investment committee.

- Related Party Transactions Review Committee (Group Level)

NEW REGULATIONS

SLFRS 17 will be effective w.e.f. 1st January 2025 which requires significant changes in Arpico Insurance PLC existing business model and it will affect to core business operations, IT systems, etc. Most

importantly, this will change the way we measure our performance in a logical manner. However, the Company has evaluated the risk of changing SLFRS 4 to SLFRS 17 and has taken key initiatives such as educating its close stakeholders at early stage.

DIRECTORS' INTEREST IN CONTRACTS WITH THE COMPANY

Directors' and other key management personnel's interest in transactions of the company are disclosed in note 32 to the Financial Statements.

The company maintains an interest register in conforming to the provisions of the Companies Act No. 07 of 2007.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The statement of directors' responsibility is given on Page 102. The Financial Statements of the Company are prepared in conformity with the requirements of relevant Sri Lanka Financial Reporting Framework and Sri Lanka Accounting Standards (Mandated by the Act No. 15 of 1995 and the Companies Act No. 07 of 2007 which reflect a true and fair view of the financial position and performance of the Company

CORPORATE GOVERNANCE

The board acknowledges their responsibility to ensure that the company complies with good corporate governance practices as set out on page 66 to 78.

RISK MANAGEMENT AND SYSTEM OF INTERNAL CONTROLS

The board recognizes effective risk management and internal control systems are essential parts of the management of the organization. Company has implemented a comprehensive risk management process which is monitored through the board risk management committee and the audit committee. Detailed outline of the risk management process is given on page 79 to 87 of this Annual Report.

CONTINGENCIES

There were no significant contingencies identified throughout the year to disclose in the Annual Report.

DONATIONS

There were no donations granted during the year under review.

STATUTORY PAYMENTS

The directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

COMPLIANCE WITH LAWS AND REGULATIONS

The company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the board of directors at board meetings.

EVENTS AFTER THE BALANCE SHEET DATE

Details of events after the balance sheet date are provided in note 40 (page 167) to the financial statements.

GOING CONCERN

The directors have adopted the going concern basis in preparing the financial statements. They have reviewed the company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held at Richard Pieris and Company Auditorium, No. 310, High Level Road, Nawinna, Maharagama on 23rd June 2023. The notice of the Annual General Meeting is on Page 184 of this publication.

For and on behalf of the Board,
19th May 2023



Shiron Gooneratne
Director



Dilukshika Fernando
Director



J Siriweera
Company Secretary

ACTUARY'S REPORT



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
603 2161 0433 Fax 603 2161 3595

29 April 2023

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2022

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2022. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2022, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2022, the Company maintained a Capital Adequacy Ratio of 214% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2022 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "Hassan Scott Odierno".

Hassan Scott Odierno
Actuary

STATEMENT OF DIRECTORS' RESPONSIBILITY ON FINANCIAL REPORTING

The Companies Act, No.7 of 2007 places responsibility on the directors to prepare and present financial statements for each year comprising

- statement of financial position as at year end date
- statements of comprehensive income,
- statement of cash flows
- statement of changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000,
- e) Listing Rules of Colombo Stock Exchange have been complied with,
- f) Code of Best Practice on Corporate Governance 2017 issued by CA Sri Lanka,
- g) Statement of Recommended Practice (SoRP),
- h) The Board of Directors accept responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report,

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the company with reasonable accuracy; they are mindful of their responsibility to ensure that the company maintains adequate accounting records for the purpose.

The directors have a responsibility to ensure that the company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The directors are responsible for the proper management of the resources of the company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the company is protected from undue risks, frauds and other irregularities.

The directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions levies and taxes payable on behalf of and in respect of the employees of the Company, and all other known statutory dues, as were due and payable by the Company, as at the reporting date have been paid or, where relevant provided for, except as detailed in Note 39 to the Financial Statements, relating to contingent liabilities.

By order of the Board,



Richard Pieris Group Services (Private) Limited

Company Secretary
Colombo, Sri Lanka

29th April 2023

CHIEF EXECUTIVE OFFICER'S AND FINANCE CONTROLLER'S RESPONSIBILITY STATEMENT

The financial statements of Arpico Insurance PLC as at 31st December 2022 are prepared and presented in compliance with the following;

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (CASL)
- Companies Act No. 07 of 2007
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- Insurance Industry Act No. 43 of 2000 and amendments thereto
- Statement of Recommended Practice (SoRP)
- Listing Rules of the Colombo Stock Exchange (CSE) and
- Code of Best Practice on Corporate Governance 2017 issued jointly by the CASL and Securities and Exchange Commission (SEC).

Accordingly, the Company has prepared the financial statements which comply with SLFRSs / LKASs and related interpretations applicable for the year ended 31st December 2022, together with the comparative data as at and for the year ended 31st December 2021, where required, as described in the accounting policies.

The accounting policies used in the preparation of the financial statements are appropriate and are consistently applied, unless otherwise stated in the notes accompanying the financial statements. There have been no changes in the accounting policies adopted by the Company during the year under review.

Significant accounting policies and estimates that involve a high degree of judgement and complexity were discussed with our External Auditors and the Board Audit Committee.

We confirm that to the best of our knowledge, the Financial Statements and other financial information included in this annual report, fairly present in all material

respects the financial position, results of operations and cash flows of the Company as of, and for, the periods presented in this Annual Report. We are responsible for establishing and maintaining internal controls and procedures to be designed under our supervision, and procedures. We have designed such controls and procedures, or caused such controls and procedures to be designed under our supervision, to ensure that material information relating to the Company is made known to us and for safeguarding the Company's assets and preventing and detecting fraud and error. We have evaluated the effectiveness of the Company's internal controls and procedures and are satisfied that the controls and procedures were effective as of the end of the period covered by this annual report and on an ongoing basis.

We confirm, based on our evaluations that there were no significant deficiencies and material weaknesses in the design or operation of internal controls and fraud that involves management or other employees. The Company's Internal Audit Function also conducts periodic reviews to ensure that the Internal Controls and Procedures are consistently followed.

The Financial Statements of the Company were audited by Messrs. Ernst & Young; Chartered Accountants and their Report is given on pages 104 to 106. The Audit Committee pre-approves the audit and non-audit services provided by Messrs. Ernst & Young, in order to ensure that the provision of such services does not impact to the Ernst & Young's independence and objectivity.

The Board Audit Committee also reviews the External Audit Plan, the Internal Audit Plan, all Internal Audit reviews and Management Letter, and follows up on any issues raised during the Statutory Audit as well as the Internal Audits. The Board Audit Committee also meets with the External and Internal Auditors to review the effectiveness of the audits.

We confirm that the company has complied with all applicable laws and regulations and guidelines and that there are no material litigations that are pending against the Company other than those arising in the normal course of conducting insurance business. We also confirm that the Company has complied with the following Insurance Regulatory Commission of Sri Lanka (IRCSL) requirements;

- All provisions in the RII Act No. 43 of 2000, and subsequent amendments there to, and all rules, regulations, determinations, directions issued by IRCSL; complied with all orders made by the Ministry of Finance and Planning under the RII Act, No. 43 of 2000
- Terms and conditions pertaining to reinsurance placements issued by IRCSL in terms of section 31(1) of the RII Act, No. 43 of 2000.
- All applicable circulars issued by IRCSL
- All provisions in the Financial Transactions Reporting Act, No. 06 of 2006
- Rules on Know Your Customer (KYC) and Customer Due Diligence (CDD) for the Insurance Industry issued by the Financial Intelligence Unit established under the Financial Transactions Reporting Act, No. 06 of 2006.
- Guidelines on Anti Money Laundering Programme for Insurers issued by IRCSL



Kelum Senanayake
Chief Executive Officer



S.H. Dulanjith Kaweesha
Finance Controller

29th April 2023

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS



Ernst & Young
Chartered Accountants
201, De Saram Place
P.O. Box 101
Colombo 10, Sri Lanka

Tel: +94 11 246 3500
Fax (Gen): +94 11 269 7369
Fax (Tax): +94 11 557 8180
Email: eysl@lk.ey.com
ey.com

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31 December 2022, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards tSL AuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These

matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Life Insurance Contract Liabilities Life Insurance Contract Liabilities amounting to Rs 2.24 Bn (note 30) represent 83% of total liabilities of the Group as at 31 December 2022 which are determined as described in note 2.2 to the financial statements. This was a key audit matter due to: - materiality of the reported Life Insurance Contract Liabilities; - the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities. Key areas of significant judgments, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following: - the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rates, discount rates and related claim handling expenses	To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following, based on the best available information up to the date of our report. - We assessed the competency, capability and objectivity of the management specialist engaged by the Group. - We obtained an understanding of the liability valuation process. - We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records. - We engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience. - We assessed the adequacy of the disclosures in note 30 and 2.2 to the financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Ronseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA FCMA, D K Hulangamuwa FCA FCMA LLB (London), Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: W S J De Silva BSc (Hons)-MIS MSc-IT, G B Goudian ACMA, D L B Karunathilaka ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Other information included in the Company's 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an

opinion on the effectiveness of the internal controls of the Company.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITORS' REPORT



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

29 April 2023
Colombo

INCOME STATEMENT

Year ended 31 December 2022	Note	Page	2022	2021
			Rs.	Rs.
Gross written premium	6	120	2,318,578,356	2,311,632,930
Premium ceded to reinsurers	7	120	(71,539,608)	(103,292,315)
Net written premium			2,247,038,748	2,208,340,615
Other revenue				
Fees and commission income	8	121	50,077,425	45,547,057
Net Investment income	9	121	452,057,515	256,205,977
Net fair value gains	10	122	14,011,738	870,338
Net realised gains			4,601,930	-
Other operating revenue	11	122	31,077,813	7,149,084
Total other revenue			551,826,421	309,772,456
Net income			2,798,865,169	2,518,113,071
Net insurance benefits and claims paid	12	123	(860,031,040)	(573,138,341)
Net change in insurance claims outstanding	12	123	13,762,008	(31,167,632)
Underwriting and net acquisition costs	13	123	(630,173,632)	(753,929,519)
Change in contract liabilities - life fund	30	146	(408,860,708)	(58,943,480)
Other operating, administrative and selling expenses	14	124	(747,448,886)	(671,118,030)
Depreciation and Amortisation	18 /19/20	128/129/132	(80,920,951)	(92,434,528)
Total benefits, claims and other expenses			(2,713,673,209)	(2,180,731,530)
Profit before tax			85,191,960	337,381,541
Income tax expense	16	125	(48,955,682)	(100,680,805)
Profit for the year			36,236,278	236,700,736
Earning per share				
Basis (Rs.)	17	128	0.55	3.57
Diluted (Rs.)	17	128	0.55	3.57

The accounting policies and notes as set out in page 113 to 167 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December	Note	Page	2022	2021
			Rs.	Rs.
Profit for the year			36,236,278	236,700,736
Other comprehensive income				
Items that are or may be reclassified to profit or loss				
Net change in fair value of available-for-sale financial assets			(190,147,302)	(26,545,650)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets			(59,402,497)	(66,854,478)
Net change in fair value of AFS reserve transferred to insurance liabilities	30	146	64,004,427	66,854,478
Net change in fair value of available for sale financial assets of insurance liabilities transferred to the income statement			(4,601,930)	-
Items that will never be reclassified to profit or loss				
Actuarial loss on defined benefit plan	31	149	83,360	181,391
Other comprehensive income, net of tax			(190,063,942)	(26,364,259)
Total comprehensive income for the year, net of tax			(153,827,664)	210,336,477

The accounting policies and notes as set out in page 113 to 167 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December	Note	Page	2022	2021
			Rs.	Rs.
Assets				
Intangible assets	18	128	1,118,327	586,844
Property, plant and equipment	19	129	75,284,032	57,691,938
Right of use assets	20	132	163,439,549	129,675,417
Deferred tax asset	16	125	-	36,979,105
Financial assets	21	134	3,681,717,640	3,470,094,773
Loans to life policyholders	22	138	321,812,161	425,525,375
Reinsurance receivables	23	139	1,902,666	8,373,896
Amounts due from related parties	24	140	21,654,039	12,002,002
Premium receivable	25	140	99,334,584	62,470,094
Other assets	26	141	83,994,218	62,822,687
Cash and cash equivalents	27	141	169,799,679	150,015,184
Total assets			4,620,056,895	4,416,237,315
Equity and liabilities				
Equity				
Stated capital	29	146	675,564,870	675,564,870
Retained earnings			1,458,445,721	1,422,126,083
Available for sale reserves			(216,692,952)	(26,545,650)
Total equity			1,917,317,639	2,071,145,303
Liabilities				
Insurance contract liabilities	30	146	2,241,859,388	1,897,003,107
Employee benefit obligation	31	149	17,057,855	16,146,223
Reinsurance payables	32	151	32,402,323	70,001,400
Lease liabilities	20	132	175,394,254	157,443,360
Amounts due to related parties	33	152	30,795,272	2,105,460
Other financial liabilities	34	152	117,550,937	107,718,526
Other liabilities	35	153	87,679,227	94,673,936
Total liabilities			2,702,739,256	2,345,092,012
Total equity and liabilities			4,620,056,895	4,416,237,315

The accounting policies and notes as set out in page 113 to 167 form an integral part of these financial statements.

S.H. Dulanjith Kaweesha

Finance Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.

Dilukshika N Fernando

Director

Lasinee Serasinghe

Director

29 April 2023
Colombo

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	AFS Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
As at 1 January 2021	675,564,870	-	1,185,243,956	1,860,808,826
Profit for the year	-	-	236,700,736	236,700,736
Actuarial loss on defined benefit plan	-		181,391	181,391
Net change in fair value of available-for-sale financial assets	-	(26,545,650)	-	(26,545,650)
Total comprehensive income	-	(26,545,650)	236,882,127	210,336,477
As at 31 December 2021	675,564,870	(26,545,650)	1,422,126,083	2,071,145,303
As at 1 January 2022	675,564,870	(26,545,650)	1,422,126,083	2,071,145,303
Profit for the year	-	-	36,236,278	36,236,278
Actuarial loss on defined benefit plan	-	-	83,360	83,360
Net change in fair value of available-for-sale financial assets	-	(190,147,302)	-	(190,147,302)
Total comprehensive income	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
As at 31 December 2022	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639

The accounting policies and notes as set out in page 113 to 167 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

For the year ended 31 December	2022	2021
	Rs.	Rs.
Cash flows from operating activities		
Insurance premium received	2,281,713,866	2,279,971,126
Reinsurance premium paid	(109,138,684)	(119,209,561)
Insurance benefits and claims paid	(926,265,262)	(627,709,811)
Reinsurance claim received	66,234,222	54,571,470
Payments to intermediaries to acquire insurance contracts	(295,352,938)	(239,948,177)
Other operating cash flows	(844,246,368)	(1,199,650,022)
Cash generated from operating activities	172,944,836	148,025,025
Employee benefits paid	(5,299,920)	(2,373,226)
Net cash generated from operating activities	167,644,916	145,651,799
Cash flows from investing activities		
Acquisition of financial investments	(2,043,004,255)	(1,179,421,915)
Proceeds from maturity of financial investments	1,714,633,025	487,150,791
Interest received	329,872,816	134,313,132
Dividend received	3,395,001	-
Acquisition of property, plant and equipment	(43,382,344)	(26,576,992)
Purchase of intangible assets	(844,000)	(465,400)
Advance paid to right of use assets	(23,120,000)	(11,681,052)
Net cash flows used in investing activities	(62,449,757)	(596,681,436)
Net cash flows generated / (used) before financing activities	105,195,159	(451,029,637)
Cash flows from financing activities		
Payment of lease liability	(85,410,662)	(67,503,371)
Net cash used in financing activities	(85,410,662)	(67,503,371)
Net increase / (Decrease) in cash and cash equivalents	19,784,497	(518,533,008)
Cash and cash equivalents at the beginning of the year	150,015,184	668,548,192
Cash and cash equivalents at the end of the year	169,799,681	150,015,184

STATEMENT OF CASH FLOWS

For the year ended 31 December	Note	Page	2022	2021
			Rs.	Rs.
Reconciliation of profit before taxation with cash from operating activities				
Profit before tax			85,191,960	337,381,541
Adjustment for :				
Non - cash items included in profit before tax				
Depreciation of property, plant & equipment			25,790,250	27,945,272
Amortisation of intangible assets			312,517	291,587
Interest income			(433,385,009)	(256,205,977)
Net depreciation of right of use assets			68,236,528	65,197,669
Dividend income			(18,672,506)	
Interest expense of lease Liability			24,480,897	23,772,003
Unrealised Gain			(14,011,738)	870,338
Realised Gain			(4,601,930)	-
Provision for employee benefit			6,294,912	3,957,333
Profit before working capital changes			(260,364,119)	202,339,428
Net change in operational assets				
Net change in reinsurance assets			6,471,230	(1,203,483)
Net change in premiums receivable			(36,864,490)	(31,661,804)
Net change in receivables and other assets			72,889,754	(48,332,270)
Net change in operating assets			42,496,494	(81,197,557)
Net change in operational liabilities				
Net change in life insurance contract liabilities			344,856,281	(7,910,998)
Net change in reinsurance liabilities			(37,599,077)	-15917247
Net change in other liabilities			83,555,257	50,711,399
Net change in operating liabilities			390,812,461	26,883,154
Cash flows from operating activities			172,944,836	148,025,025

The accounting policies and notes as set out in page 113 to 167 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Arpico Insurance PLC is primarily engaged in carrying out life insurance business. There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent enterprise

The company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2022 were authorised for issue by the board of directors on 29 April, 2023.

1.5 Number of Employees

The staff strength of the Company as at 31 December 2022 is 468 (2021 – 914).

1.6 Responsibility for Financial Statements

The responsibility of the Board of Directors in relation to the financial statements is set out

in the Statement of Directors' Responsibility in the annual report.

2 BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES, ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

2.1 Statement of compliance

The financial statements of the company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the regulation of insurance industry Act, No. 43 of 2000 and amendments there to Sri Lanka Accounting Standards, rules and regulations of the insurance regulatory commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE)

The company has not adopted any inappropriate accounting treatments, which are not compliance with the requirements of the SLFRS and LKASs, regulations governing the preparation and presentation of these Financial Statements.

Changes in accounting policies

The accounting policies adapted by the company is consistent with those used in the previous year.

The company financial statements include the following components.

- The Income Statement and Statement of profit and loss and other Comprehensive Income - providing information on the financial performance of the company for the year under review (Refer page 107 to 108);

- The Statement of Financial Position - providing information on the financial position of the company as at the year-end (Refer page 109);
- The Statement of Changes in Equity - depicting all changes in shareholders' (Refer page 110);
- The Statement of Cash Flows - providing information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entities to utilise those cash flows (Refer page 111 to 112);
- Notes to the Financial Statements - comprising Accounting Policies and other explanatory information (Refer page 113 to 167)

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

NOTES TO THE FINANCIAL STATEMENTS

Item	Basis of measurement	Note no
FINANCIAL ASSETS		
Available-for-sale financial assets are measured at fair value	Fair Value	28
Fair value through profit & loss	Fair Value	28
Held to maturity	amortised Cost	28
Loans & receivable	amortised Cost	28
NON-FINANCIAL ASSETS/LIABILITIES		
Insurance Contract liabilities	Actuarially valued in line with the guidelines issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL)	30
Employee Benefits Obligation	Actuarially valued and recognised at present value of the defined benefit obligation	31

2.3 Materiality and Aggregation

Each item which is similar in nature is presented together if material. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard LKAS 1 - Presentation of Financial Statements

2.4 Going concern

In determining the basis of preparing the financial statements for the year ended 31 December 2022, based on all available information the management has considered the consequences of current economic downturn, other events and conditions such as current market uncertainty and market volatility, Economic factors (exchange rates, Inflation, Unemployment, ect.) and it has determined that they do not create a material uncertainty that casts substantial doubt upon the entity's ability to continue as a going concern.

The directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for

liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

Further, the Company has taken actions to mitigate the impact from adverse macroeconomic conditions such as expense management and curtailment, development of product strategy to meet new environment, digitalisation and innovation, claims and surrender management, prudent asset allocation etc.

2.5 Functional and presentation currency

Items included in the Financial Statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the functional currency).

Accordingly, these Financial Statements are presented in Sri Lankan Rupees (LKR), the Company's functional and presentation currency

There was no change in the Company's presentation and functional currency during the year under review.

2.6 Supplementary Statements

Supplementary Statements are disclosed in page 169 to 178, continuing the past practice which is a requirement of the Statement of Recommended Practice (SORP) for insurance contracts, adopted by the ICASL.

2.7 Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the financial statements. The presentation and classification of the financial statement of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.8 Offsetting

Assets and liabilities including financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position, only when Sri Lanka Accounting Standards allows. Incomes and Expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revision to estimates are recognised prospectively

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:



4 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following standards have been issued and are effective for annual period beginning on or after 01 January 2018. Further, early adoption was permitted with the transitional rules. However, these standards have not been applied to these financial statements.

4.1 SLFRS 9 – Financial instruments

The standard became effective for the annual periods beginning on or after 1 January 2018, with early adoption permitted.

The Company met the eligibility criteria for temporary exemption under the amendments to SLFRS 4 from applying SLFRS 9 in 2018 and has accordingly deferred the adoption of SLFRS 9 until SLFRS 17, 'Insurance Contracts' is adopted upon its mandatory effective date.

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial

assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de recognition of financial instruments from LKAS 39.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

- (a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or Loss and;
- (b) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1 April 2016, or at a subsequent annual reporting date.

As the company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the company will be eligible for the temporary exemption from applying SLFRS 9.

Critical Judgements

	Note	Page
Classification of financial assets	28	141
Classification of insurance, reinsurance and investment contracts: assessing whether the contract transfers significant insurance risk and whether an insurance contract contains direct participation features	30	146
Impairment of financial assets	28	141
Impairment of intangible assets	18	128
Measurement of defined benefit obligations: key actuarial assumptions	31	149
Recognition and measurement of provisions and contingencies: key assumptions on the likelihood and magnitude of an outflow of resources	39	167
Impairment of non-financial assets: key assumptions underlying recoverable amounts	5.1	120
Measuring insurance and reinsurance contracts: key assumptions	30	146
Liability Adequacy Test	30	146
Measurement of GWP accrual adjustment	6	120

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December	2022	2021
	Rs.	Rs.
Insurance contract liabilities	2,241,859,388	1,897,003,107
Claim payable	11,861,801	32,095,039
Reinsurance payables	32,402,323	70,001,400
Liabilities connected with insurance	2,286,123,512	1,999,099,546
Total liabilities	2,702,739,256	2,345,092,012
Predominance ratio	85%	85%

Financial Assets

SLFRS 9 has introduced new classification and measurement approach for financial assets based on the characteristics of cash flows of financial asset and the business model in which assets are managed. Accordingly, SLFRS 9 includes three principal classification categories to financial assets.

- amortised cost – The financial assets held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- Fair value through profit or loss - The financial asset which has not identified as amortize cost or Fair value through other comprehensive income.

Impact Assessment

- The equity investment securities that are classified as fair value through profit or loss (FVTPL) under LKAS 39, will be remained under FVTPL and measured at fair value.
- Debt investment securities that are classified as available for sale under LKAS 39, may classified as fair value

through other comprehensive income under SLFRS9, or be classified at amortised cost and measured at fair value / amortised cost respectively.

- Held to maturity investment securities measured at amortised cost under LKAS 39 will be measured at amortised cost under SLFRS 9.
- Loans and receivables measured at amortised cost under LKAS 39 will also be measured at amortised cost under SLFRS 9.
- Trading assets and derivative assets held for risk management, which are classified as held for trading and measured at fair value under LKAS 39, will also be measured at fair value under SLFRS 9.

Impairment – Financial Assets

SLFRS 9 has replaced the "Incurred loss" model which is introduced by LKAS 39, by introducing "Expected Credit Loss" (ECL) model. In this impairment of financial assets is recognized under 3 stages.

Stage 01 - As soon as a financial instrument is originated or purchased, 12-month expected credit losses are recognised in

profit or loss and a loss allowance is established. This serves as a proxy for the initial expectations of credit losses. For financial assets, interest is calculated on the gross carrying amount (i.e without deduction for expected credit losses).

Stage 02 - If the credit risk increases significantly and is not considered low, full lifetime expected credit losses are recognised in profit or loss. The calculation of interest is the same as for Stage 1. (Gross carrying amount)

Stage 03 - If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest is calculated based on the amortised cost (i.e the gross carrying amount less the loss allowance which is the net carrying amount). Financial assets in this stage will generally be assessed individually.

This will be required considerable judgement over how changes in economic factors affect to Expected Credit Loss (ECL), which will be determined on a probability weighted basis.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognized in profit or Loss, whereas under SLFRS 9 the amount

of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

4.2 SLFRS 17 – Insurance contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 - Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2025.

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

This standard allows to recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

SLFRS – 17 has introduced three measurement approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- a) the amount of fulfilment cash flows (FCF), which comprise; estimates of future cash flows, an adjustment to reflect the time value of money (TVM) and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.
- b) the contractual service margin (CSM)

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- the initial recognition of an amount for the FCF
- the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
- any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach

(PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus Amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting

NOTES TO THE FINANCIAL STATEMENTS

treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows is adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. exclusion from the Standard's scope;
 - II. unbundling of different embedded derivatives;
 - III. redefinition of the contract boundary; or
 - IV. the reallocation to a different group of contracts; or
- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or
- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract are met.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use

information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

4.3 Other Standards

- Classification of liabilities as current or non current (amendments to LKAS 1)
- Deferred tax related to assets and liabilities arising from a single transaction (Amendments to LKAS 12)
- Disclosure of accounting policies (amendments to LKAS 1 and SLFRS practice statement 2)
- Definition of accounting estimates (amendments to LKAS 8)

5 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Company has consistently applied the following accounting policies to all periods presented in these financial statements. The accounting policies are presented along with the respective notes.

Set out below is an index of the significant policies;

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Other Significant Accounting Policies Not Covered With Individual Notes

5.1 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

6 GROSS WRITTEN PREMIUM

Accounting Policy

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.

Gross written premiums on life insurance contracts are recognised as revenue when payable by the policyholder (policies within the 30-day grace period are considered as due). Premiums received in advance are not recorded as revenue and recorded as liability until the premium is due unless otherwise the relevant policy conditions require such premiums to be recognised as income. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. For single premium business, revenue is recognised on the date on which the policy is effective.

For the year ended 31 December	2022	2021
	Rs.	Rs.
First year premium	1,060,387,844	1,374,826,069
Renewal premium	1,084,782,385	869,854,316
Group premium	173,408,127	66,952,545
Total gross written premium	2,318,578,356	2,311,632,930

7 PREMIUM CEDED TO REINSURERS ON INSURANCE CONTRACTS

Accounting Policy

Reinsurance Premiums are recognised as an expense on the earlier of the due date or date on which the policy is effective. Value of the premiums are decided on the rates agreed with reinsurers and accounted on an accrual basis.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Conventional policies	71,539,608	103,292,315
Total premium ceded to reinsurers	71,539,608	103,292,315
Total net written premium	2,247,038,748	2,208,340,615

8 FEES AND COMMISSION INCOME

Accounting Policy

Policyholders are charged for policy administration services, surrenders and other contract fees. These fees are recognised as revenue over the period in which the related services are performed.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Policyholder administration fees	50,077,425	45,547,057
Total fees and commission income	50,077,425	45,547,057

9 INVESTMENT INCOME

Accounting Policy

Investment income comprises interest income on funds invested and dividend income (including AFS financial assets).

Interest income is recognised in the income statement as it accrues and is calculated by using the Effective Interest Rate method (EIR). The effective interest rate is the rate that exactly discounts the estimated future cash receipts or payments through the expected life of the financial assets or liabilities (or, where appropriate, a shorter period) to the carrying amount of the financial assets or liabilities. When calculating the EIR, the Company estimates future cash flows considering all contractual terms of the financial instruments, but not future credit losses.

The calculation of the EIR includes all transaction costs and fees that are an integral part of EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the EIR of the instrument.

Dividend Income is recognised when the Company's right to receive the payment is established. For equity securities this is the ex-dividend date.

For the year ended 31 December		2022	2021
	Note	Rs.	Rs.
Held to maturity financial assets	9.1	118,515,245	2,546,009
Loans and receivables	9.2	277,071,126	219,909,968
Available for sale financial assets	9.3	56,471,144	33,750,000
Total investment income		452,057,515	256,205,977

9.1 Investment income from held to maturity financials assets

For the year ended 31 December		2022	2021
		Rs.	Rs.
Treasury bonds		118,515,245	2,546,009
		118,515,245	2,546,009

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9.2 Investment Income from loans and receivables financial assets

For the year ended 31 December	2022	2021
	Rs.	Rs.
Interest income		
Reverse repurchase agreements	68,648,797	48,932,320
Fixed deposits	55,519,669	27,435,944
Savings account interest	4,920,986	21,213,468
Debentures	117,612,784	109,746,140
Treasury bills	30,368,890	12,582,096
	277,071,126	219,909,968

9.3 Investment Income from available for sale financial assets

For the year ended 31 December	2022	2021
	Rs.	Rs.
Interest income		
Treasury bonds	37,798,638	33,750,000
Dividend income	18,672,506	-
	56,471,144	33,750,000

10 FAIR VALUE GAIN/(LOSS)

Accounting Policy

Fair value gains recorded in the income statement include fair value gains on financial assets at FVTPL.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Fair value through profit or loss financial assets		
Fair value gain from Unit Trusts	14,011,738	870,338
Total fair value gains	14,011,738	870,338

11 OTHER OPERATING REVENUE

Accounting Policy

Other income is recognised on an accrual basis.

	2022	2021
	Rs.	Rs.
Other operating revenue	31,077,813	7,149,084
Total other operating revenue	31,077,813	7,149,084

12 NET BENEFITS AND CLAIMS

Accounting Policy

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to processing and settlement of claims. Death, Hospitalisation and surrenders are recorded on the basis of notifications received. Maturity payments are recorded when due.

Reinsurance claims recoveries are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

For the year ended 31 December	2022				2021	
	Gross claims paid	Claims recovered from reinsurers	Net claims paid	Gross claims paid	Claims recovered from reinsurers	Net claims paid
Hospitalisation	165,451,656	(62,797,936)	102,653,720	109,352,359	(51,797,770)	57,554,589
Death	21,911,944	(3,436,286)	18,475,658	17,055,620	(2,773,700)	14,281,920
Surrender payments	462,144,844	-	462,144,844	354,406,147		354,406,147
Policy maturities	276,756,818	-	276,756,818	146,895,685		146,895,685
Total life insurance claims and benefits	926,265,262	(66,234,222)	860,031,040	627,709,811	(54,571,470)	573,138,341

12. (b) Net change in insurance claims outstanding

For the year ended 31 December	2022	2021
	Rs.	Rs.
Gross change in insurance claims outstanding		
Hospitalisation	(919,726)	3,095,354
Death	(3,384,390)	20,940,301
Policy maturities	(15,929,122)	15,505,872
	(20,233,238)	39,541,527
Change in contract liabilities ceded to reinsurers		
Hospitalisation and death	6,471,230	(8,373,895)
Total net change in insurance claims outstanding	(13,762,008)	31,167,632

13 UNDERWRITING AND NET ACQUISITION COSTS

Accounting Policy

All acquisition costs for insurance contracts are recognised as an expense when incurred. Reinsurance commission income on outward reinsurance contracts is recognised when receivable.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December	2022	2021
	Rs.	Rs.
Commission Expenses for Insurance Contracts	304,260,813	233,235,717
Staff Cost - Marketing	325,912,819	520,693,802
	630,173,632	753,929,519

14 OTHER OPERATING AND ADMINISTRATIVE EXPENSES

Accounting Policy

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Administration & establishment expenses	226,007,646	100,288,208
Employee benefits expense	14. (a) 451,259,129	492,637,228
Selling expenses	45,696,087	54,420,591
Finance cost	14. (b) 24,486,024	23,772,003
Total other operating and administrative expenses	747,448,886	671,118,030

14. (a) Employee benefits expense

Refer Note 31 for the Accounting Policy.

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short - term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Short Term Employee Benefits		
Staff remuneration and Other expenses	403,232,117	445,704,614
Employees' provident fund - EPF	33,378,581	34,531,684
Employees' trust fund - ETF	8,353,519	8,666,098
	444,964,217	488,902,396
Long Term Employee Benefits		
Contributions to employee benefit obligation plans	6,294,912	3,734,832
Total employee benefits expense	451,259,129	492,637,228

14.(b) Finance cost

Accounting Policy

Interest cost is recognised in the Income Statement as it accrues and is calculated by using the effective interest rate method.

For the year ended 31 December	2022	2021
	Rs.	Rs.
Interest expenses on lease liabilities	24,486,024	23,772,003
Total employee benefits expense	24,486,024	23,772,003

15 PROFIT BEFORE TAX

Accounting Policy

Operating profit is the result generated from the continuing principal revenue-producing activities of the Company as well as other income and expenses related to operating activities. Operating profit excludes share of profit of equity-accounted investees and income taxes.

Profit before tax is stated after charging all expenses including the following;

For the year ended 31 December	2022	2021
	Rs.	Rs.
Statutory audit and audit related services		
Depreciation of property plant and equipment	25,790,250	27,945,272
Amortisation of intangible assets	312,517	291,587
Depreciation of right of use assets	68,236,528	65,197,669
Amortisation of lease liabilities	24,480,897	23,772,003
EPF	33,378,581	34,531,684
ETF	8,353,519	8,666,098
Defined benefit plan cost	4,600,885	3,957,333

16 INCOME TAX EXPENSE

Accounting Policy

Income tax expense comprises current and deferred tax. Current and deferred taxes are recognised in profit or loss except to the extent that it relates to items recognised in the Other Comprehensive Income or directly in equity, when it is recognised in the OCI equity respectively.

16.1 Current Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for Taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods

NOTES TO THE FINANCIAL STATEMENTS

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

16.2 Deferred Tax Accounting Policy

Deferred tax is recognised in respect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

"Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary difference to the extent that it is probable that future taxable profits will be available against which they can be used. The reversal of relevant taxable temporary differences are determined based on future taxable profits. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversal of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves."

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Use of Judgements and Estimates Deferred Tax Assets

The company use judgement in recognising a deferred tax asset in its financial statements. Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available to the company which can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

16.3 Amounts recognised in Profit or Loss

16.3(a) Current year tax charge		2022	2021
	Note	Rs.	Rs.
Current income tax			
Income tax on current year's profit		11,976,577	-
Over/under provision of income taxes		-	-
Total current income tax		11,976,577	-
Deferred income tax			
Deferred tax assets	16.3. (b)	36,979,105	100,680,805
Deferred taxation		36,979,105	100,680,805
Total income tax (reversal)/expense		48,955,682	100,680,805

16.3.(b) Reconciliation of tax charge

	2022		2021	
	%	Rs.	%	Rs.
Profit before tax		85,191,960		337,381,541
Tax using the Company's domestic tax rate				
Dividend Income	14%	2,614,151	-	-
Other				
First half of the year	24%	4,161,078	24%	-
Second half of the	30%	5,201,348		
Tax on exempt Income				
Reversal of deferred tax asset		36,979,105		100,680,805
Income tax expense		48,955,682		100,680,805

Income tax rate of 24% has been applied for 50% of the taxable profits and the revised rate of 30% has been applied for 50% of the taxable profits on the total taxable income in 2022 as per the revised tax rate and other amendments in line with Inland Revenue (Amendment) Act No. 45 of 2022.

16.3.(c) Tax loss analysis

	2022	2021
	Rs.	Rs.
Balance as at 1 January	154,079,604	491,642,537
Tax losses utilised during the year	(154,079,604)	(337,562,933)
Balance as at 31 December	-	154,079,604

16.3.(d) Deferred taxation

	2022	2021
	Rs.	Rs.
Deferred tax asset	-	36,979,105
Deferred tax asset	-	36,979,105

NOTES TO THE FINANCIAL STATEMENTS

17 EARNING PER SHARE

Accounting Policy

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit after tax of the Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is determined by adjusting the profit after tax and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

17.1 Basic Earnings per Share

For the year ended 31 December	2022	2021
	Rs.	Rs.
Profit for the year	36,236,278	236,700,736
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic earning per ordinary share Rs.	0.55	3.57

17.2 Diluted Earnings per Share

There was no dilution of ordinary shares outstanding. Therefore, diluted earnings per share is the same as basic earnings per share as shown in Note 17.1 above.

18 INTANGIBLE ASSETS

Accounting Policy

Recognition and Measurement

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standard LKAS 38 - Intangible Assets.

Computer Software

Computer software acquired separately are measured on initial recognition at cost. Following initial recognition, these assets are stated in the statement of financial position at cost, less accumulated Amortisation and accumulated impairment losses.

Subsequent Expenditure

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic Life and Amortisation

Amortisation is calculated to write off the cost of the computer software on straight line basis over their estimated useful lives of 5 years and is generally recognised in profit or loss. None of the intangible assets are assumed to have a residual value.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Changes in the expected useful life or the expected pattern of future economic benefits embodied in the assets is accounted for by changing the useful life or method as appropriate and are treated as changes in accounting estimates.

De-Recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from de-recognition of such intangible assets is included in income statement.

Computer software	2022	2021
Cost	Rs.	Rs.
Balance as at 1 January	1,485,400	1,020,000
Acquisitions during the year - separately acquired	844,000	465,400
As at 31 December	2,329,400	1,485,400
Accumulated Amortisation and impairment losses		
As at 1 January	898,556	606,969
Amortisation charge for the year	312,517	291,587
As at 31 December	1,211,073	898,556
Carrying amount		
As at 31 December 2022	1,118,327	
As at 31 December 2021		586,844

18.1 Acquisition of intangible assets during the year

During the financial year, the Company acquired intangible assets to the aggregate value of Rs. 0.84 Million (2021 - 0.47 Mn). Cash payments amounting to Rs. 0.84 Million (2021 - 0.47 Mn) were made during the year to purchase of intangible assets.

18.2 Fully amortised intangible assets in use

There were no fully amortised intangible assets in use as at reporting date.

18.3 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the company as at the reporting date.

18.4 Assessment of impairment of intangible asset

18.5 Intangible Assets Pledged as Security

None of the Intangible assets have been pledged as security as at the reporting date.

18.6 Amount of Contractual Commitments for the Acquisition of Intangible Assets

19 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

The Company applies the requirements of the Sri Lanka Accounting Standard LKAS 16 - Property, Plant and Equipment, in accounting for its owned assets which are held and used in the provision of services or for administrative purposes and are expected to be used for more than one year.

Basis of Recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year. Company recognise Property, plant and equipment if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be reliably measured.

NOTES TO THE FINANCIAL STATEMENTS

Basis of Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Subsequent Costs

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

Repairs and Maintenance

Repairs and maintenance are charged to the income statement during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Useful Economic Life and Depreciation

Depreciation is recognised in the Income Statement on a straight line basis over the estimated useful lives of each part of an item of property, plant and equipment since this most closely reflects the expected pattern of consumption of the future economic benefits embedded in the asset. Land is not depreciated.

The estimated useful lives for the current and comparative periods are as follows:

Furniture Fittings	5 years
Office Equipments	5 years
Computer	4 years
Motor Vehicle	5 years

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

De-recognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the Income statement when the item is derecognised.

Capital Work in Progress

Capital work in progress is stated at cost. These are expenses of a capital nature directly incurred in property, plant and equipment, awaiting for capitalisation

Rs.	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	2022	2021
Cost					Total	Total
As at 1 January	29,510,776	97,526,651	54,935,784	5,800,000	187,773,211	161,196,219
Additions	6,550,893	29,335,901	7,495,550	-	43,382,344	26,576,992
Disposals	-	-	-	-	-	-
As at 31 December	36,061,669	126,862,552	62,431,334	5,800,000	231,155,555	187,773,211
Accumulated depreciation						
As at 1 January	20,865,391	63,910,173	39,602,376	5,703,333	130,081,273	102,136,001
Depreciation charge for the year	3,857,304	14,623,509	7,212,770	96,667	25,790,250	27,945,272
Disposals	-	-	-	-	-	-
As at 31 December	24,722,695	78,533,682	46,815,146	5,800,000	155,871,523	130,081,273
Carrying amount						
As at 31 December 2022	11,338,974	48,328,870	15,616,188	-	75,284,032	
As at 31 December 2021	8,645,385	33,616,478	15,333,408	96,667		57,691,938

19.1 Title Restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of property, plant and equipment of the Company as at the reporting date.

19.2 Acquisition of PPE during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 43 Million (2021 - Rs. 27 Million). Cash payments amounting to Rs. 43 Million (2021 - Rs. 27 Million) were made during the year to purchase of property, plant & equipment.

19.3 "Disposal of Property, Plant and Equipment During the Year"

There was no disposal of property, plant and equipment during the year (2021 - Nil)

19.4 "Amount of Contractual Commitments for the Acquisition of Property, Plant and Equipment"

There are no contractual commitments for the acquisition of property, plant and equipment as at the reporting date.

19.5 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2021 - Nil)

19.6 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31 December 2022. (2021 - Nil)

19.7 Fully depreciated PPE in use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows;

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December,	2022	2021
	Rs.	Rs.
Computer	23,530,379	23,509,802
Furniture	24,651,429	24,946,859
Office Equipment	7,100,297	7,114,984
	55,282,105	55,571,645

20 RIGHT OF USE ASSETS AND LEASE LIABILITIES

Accounting Policy

20.1 Right of use assets

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified”
- The company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the company has the right to direct the use of the asset if either
- The company has the right to operate the asset; or
- The company designed the asset in a way that predetermines how and for what purpose it will be used.

Initial measurement

At the commencement date the company measure the right-of-use asset at cost. Cost include the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the company in dismantling and removing the underlying asset or restoring the site on which it is located.

Subsequent measurement

The recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Right of use assets are subject to impairment.

Short-term leases and leases of low-value assets

The company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Right of use assets

As at 31 December	2022	2021
	Note	Rs.
Opening as at 01 January		129,675,417
Additions of right of use asset during the period		78,880,660
Net depreciation for the period	20.1. (a)	(68,236,528)
Advance payment for leases		23,120,000
Closing right of use asset balance as at 31 December		163,439,549
20.1.(a) Net depreciation for the period		
Lease depreciation		(54,818,185)
Amortisation of advance		(13,418,343)
		(68,236,528)

20.2 Extension Options

Some property leases contain extension options exercisable by the Company up to one year before the end of the non-cancellable contract period. Where practicable, the Company seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Company and not by the lessors. The Company assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Company reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

20.3 Lease Liabilities

Initial recognition and measurement

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the company's incremental borrowing rate.

Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

As at 31 December	2022	2021
	Rs.	Rs.
Opening as at 01 January	157,443,360	155,319,117
Additions during the period	78,880,659	45,855,611
Finance cost recognised in profit and loss	24,480,897	23,772,003
Lease payments	(85,410,662)	(67,503,371)
Closing as at 31 December	175,394,254	157,443,360

NOTES TO THE FINANCIAL STATEMENTS

21 FINANCIAL ASSETS

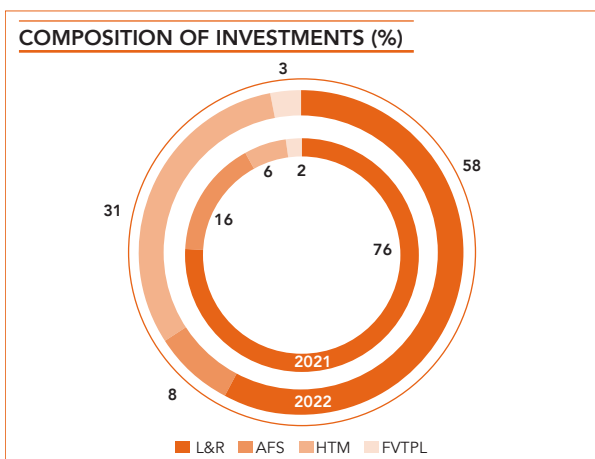
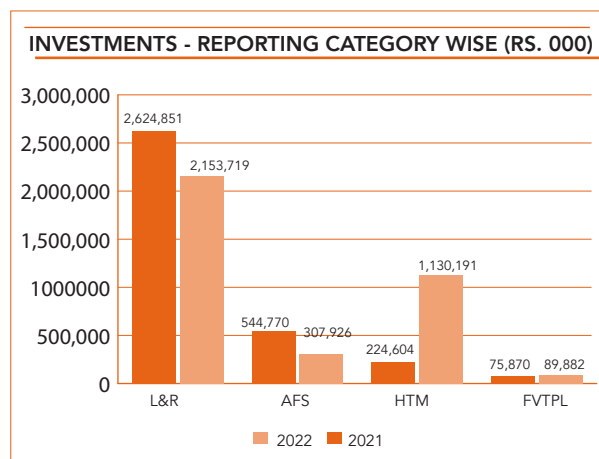
Accounting Policy

See accounting policy in Note 28

The risk management practices adopted by the Company in relation to the investment portfolio and risk management disclosures are outlined in Note 36 to the financial statements.

The Company's financial instruments are summarised by categories together with their carrying values as follows;

As at 31 December		2022		2021	
		Carrying value	Fair value	Carrying value	Fair value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	21.1	2,153,718,672	2,115,889,001	2,624,851,025	2,585,353,531
Available-for-sale financial assets	21.2	307,925,670	307,925,670	544,769,901	544,769,901
Held to maturity	21.3	1,130,191,222	831,534,615	224,603,509	224,603,509
Fair value thought profit or loss	21.4	89,882,076	89,882,076	75,870,338	75,870,338
Total financial instruments		3,681,717,640	3,345,231,362	3,470,094,773	3,430,597,279



21.1 Loans and receivables (L&R)

As at 31 December		2022	2021
		Rs.	Rs.
Amortised cost			
Debentures	21.1. (a)	794,531,247	1,000,967,995
Fixed deposit		784,289,965	412,220,600
Reverse repurchase agreements		404,752,229	1,062,259,234
RPAF loan		100,000,000	100,000,000
Treasury bills		70,145,231	49,403,196
		2,153,718,672	2,624,851,025

21.1.(a) Debentures

As at 31 December				2022		
Issuer	Credit rating	Maturity date	No. of debentures	Carrying value	Market value	Interest
				Rs.	Rs.	(%)
Sampath Bank PLC	A	3/20/23	750000	77,538,956	76,597,500	12.5
Seylan Bank PLC	BBB+	3/29/23	750000	77,505,750	74,857,500	12.9
LOLC Holdings	A	7/31/23	200000	21,327,096	22,198,000	14.8
National Development Bank PLC	BBB+	3/31/24	1050000	109,838,548	111,216,000	14.0
National Development Bank PLC	BBB+	3/31/24	450000	56,041,521	47,664,000	14.0
Hatton National Bank PLC	A	9/22/24	162800	16,834,100	16,280,000	12.3
Seylan Bank PLC	BBB+	4/12/26	175700	18,809,046	17,570,000	9.8
Seylan Bank PLC	BBB+	4/12/26	175700	18,809,046	17,570,000	9.8
Singer Finance PLC	BBB	6/25/26	212500	22,267,817	21,250,000	9.3
Singer Finance PLC	BBB	6/25/26	212500	22,267,817	21,250,000	9.3
LOLC Holdings	A	7/30/26	250000	26,081,164	25,000,000	10.3
LOLC Holdings	A	7/30/26	250000	26,081,164	25,000,000	10.3
Commercial Bank of Ceylon PLC	A	9/21/26	200000	20,498,082	20,000,000	9.0
Commercial Bank of Ceylon PLC	A	9/21/26	500000	51,327,397	50,000,000	9.5
Commercial Bank of Ceylon PLC	A	9/21/26	300000	30,754,521	30,000,000	9.0
National Development Bank PLC	BBB+	11/24/26	500000	50,619,452	45,000,000	11.9
National Development Bank PLC	BBB+	11/24/26	300000	30,371,671	27,000,000	11.9
Commercial Bank of Ceylon PLC	A	12/11/27	39200	3,980,142	3,920,000	28.0
Commercial Bank of Ceylon PLC	A	12/12/27	69600	7,066,784	6,960,000	28.0
Sampath Bank PLC	A	4/12/28	500000	53,254,795	50,000,000	9.0
Sampath Bank PLC	A	4/12/28	500000	53,256,379	50,000,000	9.0
				794,531,247	759,333,000	

As at 31 December				2021		
Issuer	Credit rating	Maturity date	No. of debentures	Carrying value	Market value	Interest
				Rs.	Rs.	(%)
Merchant Bank of Sri Lanka & Finance PLC	A	5/2/22	750000	82,460,450	76,628,000	14.5
LB Finance PLC	A-	12/10/22	546800	55,080,156	54,680,000	12.8
Sampath Bank PLC	A	12/20/22	75000000	75,294,090	75,000,000	12.5
Sampath Bank PLC	A	3/20/23	750000	82,187,930	76,140,000	12.5

NOTES TO THE FINANCIAL STATEMENTS

Seylan Bank PLC	BBB+	3/29/23	750000	77,505,750	74,858,000	12.9
LOLC Holdings	A	7/31/23	200000	21,327,100	22,198,000	14.8
National Development Bank PLC	BBB+	3/31/24	150000000	165,880,068	150,000,000	4.8
Hatton National Bank PLC	A	9/22/24	162800	16,835,690	16,280,000	12.3
Seylan Bank PLC	BBB+	4/12/26	175700	18,809,050	17,570,000	9.8
Seylan Bank PLC	BBB+	4/12/26	175700	18,809,050	17,570,000	9.8
Singer Finance PLC	BBB	6/25/26	212500	22,267,820	21,250,000	9.3
Singer Finance PLC	BBB	6/25/26	212500	22,267,820	21,250,000	9.3
LOLC Holdings	A	7/30/26	250000	26,081,160	25,000,000	10.3
LOLC Holdings	A	7/30/26	250000	26,081,160	25,000,000	10.3
Commercial Bank of Ceylon PLC	A	9/21/26	200000	20,498,080	20,000,000	9.0
Commercial Bank of Ceylon PLC	A	9/21/26	500000	51,327,400	50,000,000	9.5
Commercial Bank of Ceylon PLC	A	9/21/26	300000	30,754,520	30,000,000	9.0
National Development Bank PLC	BBB+	11/24/26	500000	50,619,450	50,000,000	11.9
National Development Bank PLC	BBB+	11/24/26	300000	30,371,670	30,000,000	11.9
Sampath Bank PLC	A	4/12/28	500000	53,254,790	50,000,000	9.0
Sampath Bank PLC	A	4/12/28	500000	53,254,791	50,000,000	9.0
				1,000,967,995	953,424,000	

21.2 Available for sale financial assets

At 31 December 2021	2022	2021
	Rs.	Rs.
Treasury bonds	192,297,670	310,854,332
Quoted equities	115,628,000	233,915,569
	307,925,670	544,769,901

21.3 Held to Maturity

At 31 December 2021	2022	2021
	Rs.	Rs.
Treasury bonds	1,130,191,222	224,603,509
	1,130,191,222	224,603,509

21.4 Fair Value Through Profit or Loss

At 31 December 2021	2022	2021
	Rs.	Rs.
Unit trust	89,882,076	75,870,338
	89,882,076	75,870,338

21.5 Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

	Loans and Receivables	Available- For-Sale	Held to Maturity	Fair Value Through Profit & Loss	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
At 1 January 2021	2,304,767,644	377,708,810	-	-	2,682,476,454
Purchases	621,903,196	260,461,219	222,057,500	75,000,000	1,179,421,915
Maturities	(487,150,791)	-			(487,150,791)
Disposals	-	-			-
Fair value gains recorded in other comprehensive income	-	(26,545,650)		870,338.00	(25,675,312)
Amortisation adjustment/accrued interest	185,330,976	(66,854,478)	2,546,009		121,022,507
At 31 December 2021	2,624,851,025	544,769,901	224,603,509	75,870,338	3,470,094,773
At 1 January 2022	2,624,851,025	544,769,901	224,603,509	75,870,338	3,470,094,773
Purchases	1,085,742,080	47,879,600	909,382,575	-	2,043,004,255
Script Dividend		15,277,505	-	-	15,277,505
Maturities	(1,664,633,025)	(45,398,246)	-	-	(1,710,031,271)
Disposals	-	-	-	-	-
Fair value gains recorded in income statement				14,011,738	14,011,738
Fair value gains recorded in other comprehensive income	-	(254,151,729)	-		(254,151,729)
Amortisation adjustment/accrued interest	107,758,592	(451,361)	(3,794,862)	-	103,512,369
At 31 December 2022	2,153,718,672	307,925,670	1,130,191,222	89,882,076	3,681,717,640

21.6 Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and

NOTES TO THE FINANCIAL STATEMENTS

maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

21.7 Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1:** quoted (unadjusted) prices in active markets for identical assets or liabilities
- Level 2:** valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3:** valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2022				
	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available for sale financial assets	-	307,925,670	-	307,925,670
Fair Value Through Profit or Loss	89,882,076	-	-	89,882,076
	89,882,076	307,925,670	-	397,807,746
As at 31 December 2021				
	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available For Sale Financial Assets	-	544,769,901	-	544,769,901
Fair Value through Profit or Loss	75,870,338	-	-	75,870,338
	75,870,338	544,769,901	-	620,640,239

22 LOANS TO LIFE POLICYHOLDERS

Accounting Policy

See accounting policy in Note 28

	2022	2021
	Rs.	Rs.
Movement of policy loan		
Balance as at 1 January	362,294,981	334,326,999
Loans granted during the year	26,865,431	111,032,650
Repayments during the year	(121,630,642)	(83,064,668)
Balance as at 31 December	267,529,770	362,294,981
Interest receivable	54,282,391	63,230,394
Total loans to life policyholders	321,812,161	425,525,375

Please refer Page 159 to 168 for maturity analysis on loans to life policyholders.

22.1 Credit exposure on policy loan

The surrender value of the policies for which policy loans have been granted as at 31 December 2022 amounted to Rs. 533 Mn. (2021 Rs. 509.5 Mn).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans.

This mitigates the company's credit exposure on policy loans.

The company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at carrying value equal to the fair value.

22.2 Impairment losses on loans to life policyholders

Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders (2021 - Nil)

23 REINSURANCE RECEIVABLES

Accounting Policy

See accounting policy in Note 28

The company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

As at 31 December	2022	2021
	Rs.	Rs.
Reinsurance receivable on outstanding claims	1,902,666	8,373,896
	1,902,666	8,373,896

NOTES TO THE FINANCIAL STATEMENTS

23.1 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31 December 2022. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer page 156 for reinsurance rating analysis.

24 AMOUNTS DUE FROM RELATED PARTIES

Accounting Policy

See accounting policy in Note 28

As at 31 December		2022	2021
		Rs.	Rs.
Amounts due from related companies	24.1	21,654,039	12,002,002

24.1 Related party

Related party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	3,651,383	7,192,641
Richard Pieris Distributors PLC	Fellow Subsidiary	18,002,656	4,809,361
		21,654,039	12,002,002

25 PREMIUM RECEIVABLE

Accounting Policy

See accounting policy in Note 28

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 60-day grace period) are recognised at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the company policy.

As at 31 December		2022	2021
		Rs.	Rs.
Premium receivable from policyholders		99,334,584	62,470,094
		99,334,584	62,470,094

The Management has assessed potential impairment loss of premiums receivable as at 31 December 2022. Based on the assessment, there was no impairment loss on premiums receivable (2021 - Nil)

Collateral Details

The Company does not hold any collateral as security against potential default by policyholders or intermediaries.

26 OTHER ASSETS

Accounting Policy

As at 31 December	2022	2021
	Rs.	Rs.
Advances, deposits & prepayments	31,754,219	22,857,980
Taxation recoverable	31,385,102	31,385,102
Inventories	20,854,897	8,579,605
	83,994,218	62,822,687

27 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short-term deposits with banks.

As at 31 December	2022	2021
	Rs.	Rs.
Cash in hand	887,183	629,141
Cash at bank	168,912,496	149,386,043
Total cash and cash equivalent balance	169,799,679	150,015,184

28 FINANCIAL INSTRUMENTS

Accounting Policy

Initial Recognition and Measurement

The Company initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets (including assets designated at fair value through profit or loss) are recognised initially on the trade date at which the Company becomes a party to the contractual provisions of the instrument.

In the case of financial assets not measured at fair value through profit or loss, it is measured initially at fair value plus transaction costs that are directly attributable to its acquisition or issue.

Depending on the intention and ability to hold the invested assets, the financial assets categories and their classification criteria are shown in the table below;

NOTES TO THE FINANCIAL STATEMENTS

Classification	Classification criteria
Held-To-Maturity (HTM)	Financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the Company has the positive intention and ability to hold it to maturity
Loans and Receivables (L&R)	Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market.
Fair Value Through Profit or Loss (FVTPL)	Financial assets held for trading and those designated upon initial recognition at FVTPL and investments typically bought with the intention to sell in the near future For investments designated at FVTPL, the following criteria must be met; The designation eliminates or significantly reduces the inconsistent treatment that would otherwise rise from measuring the assets or liabilities or recognising gains or losses on a different basis, or The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis, or
Available for Sale (AFS)	Financial assets that are designated as AFS and that are not classified in any of the previous categories. AFS financial investments includes debt securities. Securities in this category are those that are intended to be held till maturity and which maybe sold in response to the need for liquidity or in response to changes in the market conditions.

The company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category			
	HTM	L&R	FVTPL	AFS
Treasury bonds	√			√
Treasury bills		√		
Quoted shares				√
Reverse repurchase agreements		√		
Corporate debts		√		
Fixed deposits		√		
Unit trusts			√	
Policy loans		√		
Reinsurance receivables		√		
Premiums receivable		√		
Other receivables		√		
Cash in hand and at bank		√		

Subsequent Measurement

Held to maturity (HTM)

Subsequent to initial measurement, held to maturity financial assets are measured at amortised cost, using the Effective Interest Rate (EIR), less impairment. The EIR Amortisation is included in 'Interest Income' in Profit or Loss.

Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

Fair Value Through Profit or Loss (FVTPL)

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with changes in fair value recognised in the income statement.

Available-for-sale financial assets (AFS)

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve. The company has applied the shadow accounting principles and recognised the fair value movement in life fund under movement on AFS reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the Income Statement in the Other Revenue and removed from the available-for-sale reserve.

The company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

NOTES TO THE FINANCIAL STATEMENTS

28.1 Impairment of financial assets

"The company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available for sale financial asset

For available-for-sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

28.2 De-recognition

The company derecognises a financial asset when,

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

28.3 Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

As at 31 December	L&R		AFS		HTM		FVTPL		Other Financial Liabilities		Total	
Rs.	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
Financial assets by categories												
Financial investments	2,153,718,672	2,624,851,025	307,925,670	544,769,901	1,130,191,222	224,603,509	89,882,076	75,870,338	-	-	3,681,717,640	3,470,094,773
Loans to life policyholders	321,812,161	425,525,375	-	-	-	-	-	-	-	-	321,812,161	425,525,375
Premium receivables	99,334,584	62,470,094	-	-	-	-	-	-	-	-	99,334,584	62,470,094
Reinsurance receivable	1,902,666	8,373,896	-	-	-	-	-	-	-	-	1,902,666	8,373,896
Amounts due from related parties	21,654,039	12,002,002	-	-	-	-	-	-	-	-	21,654,039	12,002,002
Cash and cash equivalent	169,799,679	150,015,184	-	-	-	-	-	-	-	-	169,799,679	150,015,184
Total Financial Assets	2,768,221,801	3,283,237,576	307,925,670	544,769,901	1,130,191,222	224,603,509	89,882,076	75,870,338	-	-	4,296,220,769	4,128,481,324
Financial liabilities												
Reinsurance Payables									32,402,323	70,001,400	32,402,323	70,001,400
Amounts due to related parties									30,795,272	2,105,460	30,795,272	2,105,460
Lease liabilities									175,394,254	157,443,360	175,394,254	157,443,360
Financial liabilities									117,550,937	107,718,526	117,550,937	107,718,526
Total									356,142,786	337,268,746	356,142,786	337,268,746

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance payables, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

NOTES TO THE FINANCIAL STATEMENTS

29 STATED CAPITAL

Accounting Policy

Ordinary Shares

The company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are paid.

As at 31 December	2022		2021	
	Nos	Rs.	Nos	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Addition/ New Shares	-	-	-	-
At the end of the year	66,230,407	675,564,870	66,230,407	675,564,870

30 INSURANCE CONTRACT LIABILITIES

Accounting Policy

30.1 Recognition and Measurement

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation, which cash flows discounted using the best estimate investment returns. All other assumptions are at best estimate with risk margins as per RBC basis.

30.2 Use of Judgements, Estimates and Assumption

30.2(a) Product Classification

According to SLFRS 4, Insurance Contract is a contract under which one party (the insurer) accept significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affect the policyholder.

Insurance contracts are those contracts when the company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the company does not have any investment contracts within its product portfolio as at the reporting date.

30.2(b) Valuation of Life Insurance Contract Liabilities

The liability of the insurance contracts is valued using the Gross Premium Valuation (GPV) methodology. GPV liability is a prospective valuation method which is derived by discounting the projected future cash flows of each individual policy. These policy cash flows reflect the best estimate assumptions of the current portfolio and increased with a margin for risk an adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to discount rate, mortality, morbidity, withdrawal, expenses and expense inflation, lapses, surrender rates and discount rates as further detailed in Note 30.6. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the company's own risk exposure.

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

30.3 Liability adequacy test for financial reporting

As required by the SLFRS 4 - Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

30.4 Insurance Contract Liabilities - Life

As at 31 December	2022	2021
Life Insurance Fund	2,289,003,962	1,880,143,254
AFS Reserve	(47,144,574)	16,859,853
	2,241,859,388	1,897,003,107

30.5 Movement in Life Fund

As at 31 December	2022	2021
	Rs.	Rs.
Balance as at 1 January	1,897,003,107	1,904,914,105
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	277,169,203	326,446,805
Surplus transferred from / (to) shareholders	131,691,505	(267,503,325)
Increase in life insurance fund	408,860,708	58,943,480
Movement in AFS reserve transferred to life fund	(64,004,427)	(66,854,478)
Balance as at 31 December	2,241,859,388	1,897,003,107

NOTES TO THE FINANCIAL STATEMENTS

The valuation of the Life Insurance business as at 31 December 2022 was assessed by Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 2,241 Mn (2021 - 1,897 Mn) is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional non - participating Life Insurance products. The actuarial reserves have been established based on gross premium valuation (GPV) with cash flows discounted using the best estimate investment return.

According to Solvency margin rules (Risk Based Capital) effective from 1 January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. The external actuary, Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320 Mn on the RBC Basis. The one off surplus is applicable only for the non participating businesses. The Company does not engage in participating business. As company has adopted a distribution basis for the insurance contract liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the valuation, the Life Insurance Fund included in the financial statements shows deficit in the required actuarial reserves by Rs. 132 Mn as at 31 December 2022 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 132 Mn has been transferred from Shareholders fund to the Life Insurance Fund in 2022.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31 December 2022 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability.

30.6 Key assumptions

The main assumptions used to estimate liability are as follows.

Mortality	The latest industry mortality table for male and female is used
Discount rate	The discount rates are derived based on the asset mix and expected rates of return of the Company. The cash flows are discounted using the best estimate expected fund return. This is derived based on the Company's expected return.
Inflation	Based on the weighted salary increment experience from Arpico and the expected inflation of Sri Lanka for non-salary expense.
Morbidity	Based on the company experience

30.7 Sensitivity Analysis

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

As at 31 December 2022	Change in assumption	Impact on gross liabilities
Assumption		%
Expenses	+ 10 %	1.33%
Mortality	+ 10 %	0.39%
Mortality	- 10 %	-0.39%
Discount Rate	+ 50 basis points	-0.98%
Discount Rate	- 50 basis points	1.04%

30.8 Expected Maturity Profile for Reserves for Insurance Contracts, Net of Reinsurance (Undiscounted Cash Flows)

As at 31 December	2022	2021
	Rs. (000)	Rs. (000)
< 1 year	(104,206)	(346,183)
1 to 5 years	3,379,605	1,551,793
5 to 10 years	4,116,721	2,120,296
10 to 20 years	1,789,862	1,075,477
> 20 years	2,002,534	7,419

31 EMPLOYEE BENEFIT OBLIGATION

Accounting Policy

31.1 Defined Contribution Plans

A defined contribution plan is a post employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the income statement in the periods during which related services are rendered by employees.

Employees' Provident Fund

All employees of the Company are members of the Employees' Provident Fund (EPF). The Company and employees contribute 12% and 8% respectively of the salary, monthly to the Employees Provident Fund managed by the Central Bank of Sri Lanka.

Employees' Trust Fund

All employees of the Company are members of the Employees' Trust Fund (ETF). The Company contributes each month at the rate of 3% of the salaries of each employee, to the Employees' Trust Fund administrated by the Employees' Trust Fund Board.

Following contributions have been made to the employee provident fund and employee trust fund during the year

For the year ended 31 December	2022	2021
	Rs.	Rs.
Employees' Provident Fund (EPF)		
Employer's contribution (12%)	33,378,580	34,531,684
Employee's contribution (8%)	22,252,387	23,021,123
Employees' Trust Fund (ETF)		
Employer's contribution (3%)	8,353,518	8,666,098

NOTES TO THE FINANCIAL STATEMENTS

31.2 Defined Benefit Plans - Gratuity

A defined benefit plan is a post employment benefit plan other than a defined contribution plan. The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 - Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

As per LKAS 19 - Employee Benefits, the re-measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognised immediately in other comprehensive income. Interest cost and current service cost are recognised in profit or loss.

	2022	2021
	Rs.	Rs.
Gratuity benefit obligation		
Balance as at 1 January	16,146,223	14,743,507
Included in Profit or Loss:		
Current service cost	3,099,286	3,072,722
Past service cost	-	-
Interest cost on benefit obligation	1,501,599	884,611
Included in OCI:		
Gain arising from changes in assumptions	(83,360)	(181,391)
Other		
Gratuity transfer	-	-
Gratuity paid / payable for those who left during the period	(3,605,893)	(2,373,226)
Balance as at 31 December	17,057,855	16,146,223

The actuarial valuation for the gratuity liability was carried out as at 31 December 2022, by Mr. Poopalanathan, of M/S Actuarial and Management Consultants (Pvt) Ltd.

31.3 Principal Actuarial Assumptions Used

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in valuation of gratuity liability are set out as below;

Assumption	2022	2021
Discount rate	20.00%	9.30%
Future salary increases	14.00%	5%
Staff turnover rate	35% - 39%	28% - 41%
Retirement age	60 years	60 years

31.4 Sensitivity Analysis

Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	Rate change	2022		2021	
		Impact to Financial Position-Increment / (Reduction) of Liability (Rs.)	Impact to Comprehensive Income-Charged / (Reversal) (Rs.)	Impact to Financial Position-Increment / (Reduction) of Liability (Rs.)	Impact to Comprehensive Income-Charged / (Reversal) (Rs.)
Discount rate	1%	(16,737)	(16,737)	(320,284)	(320,284)
Discount rate	-1%	17,394	17,394	335,837	335,837
Salary increment rate	1%	17,437	17,437	381,302	381,302
Salary increment rate	-1%	(16,690)	(16,690)	(369,574)	(369,574)

31.5 Maturity profile of defined benefit obligation

The following payments are expected on employee benefit liabilities in future years

As at 31 December	2022	2021
	Rs.	Rs.
Less than one year	6,101,050	5,334,539
Between 1-2 years	6,444,466	6,998,298
Between 3-5 years	3,422,058	2,892,572
Beyond 5 years	1,090,281	920,814
	17,057,855	16,146,223

32 REINSURANCE PAYABLES

Accounting Policy

See accounting policy in Note 28

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

As at 31 December	2022	2021
	Rs.	Rs.
Munich Re	30,025,208	65,589,250
Hannover Re	2,377,115	4,412,150
	32,402,323	70,001,400

NOTES TO THE FINANCIAL STATEMENTS

33 AMOUNTS DUE TO RELATED PARTIES

As at 31 December		2022	2021
		Rs.	Rs.
Amounts due from related companies	33. (a)	30,795,272	2,105,460

33. (a) Related Parties	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	10,782,831	-
Richard Pieris Distributors Limited	Fellow Subsidiary	19,656,828	1,749,847
Arpico Interiors	Fellow Subsidiary	179,475	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	176,138	176,138
		30,795,272	2,105,460

34 OTHER FINANCIAL LIABILITIES

Accounting Policy

34.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

34.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognised in the statement of income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

Other financial liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

34.3 De recognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires

As at 31 December		2022	2021
		Rs.	Rs.
Agency commission payable		37,601,785	28,693,910
Accrued expenses		68,087,351	46,929,577
Claims outstanding		11,861,801	32,095,039
		117,550,937	107,718,526

35 OTHER LIABILITIES

Accounting Policy

See accounting policy in Note 28.

Other Liabilities include advances and Government levies payable and these liabilities are recorded at the amounts that are expected to be paid.

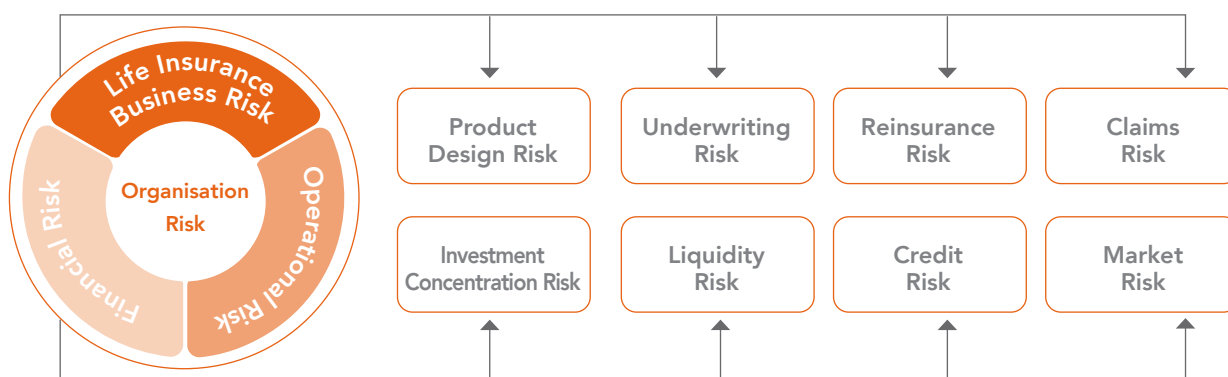
As at 31 December	2022	2021
	Rs.	Rs.
Policyholder advance payments	72,965,502	90,791,877
Government levies	14,713,725	3,882,059
	87,679,227	94,673,936

36 RISK MANAGEMENT FRAME WORK

36.1 Overview

The mission of risk management of the company is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimise returns.

The Company is exposed to the following risks and considers in Risk Management



This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

36.2 Risk management framework

36.2(a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

NOTES TO THE FINANCIAL STATEMENTS

The board of directors has appointed a Risk Management Committee, chaired by an independent director comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

36.2(b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

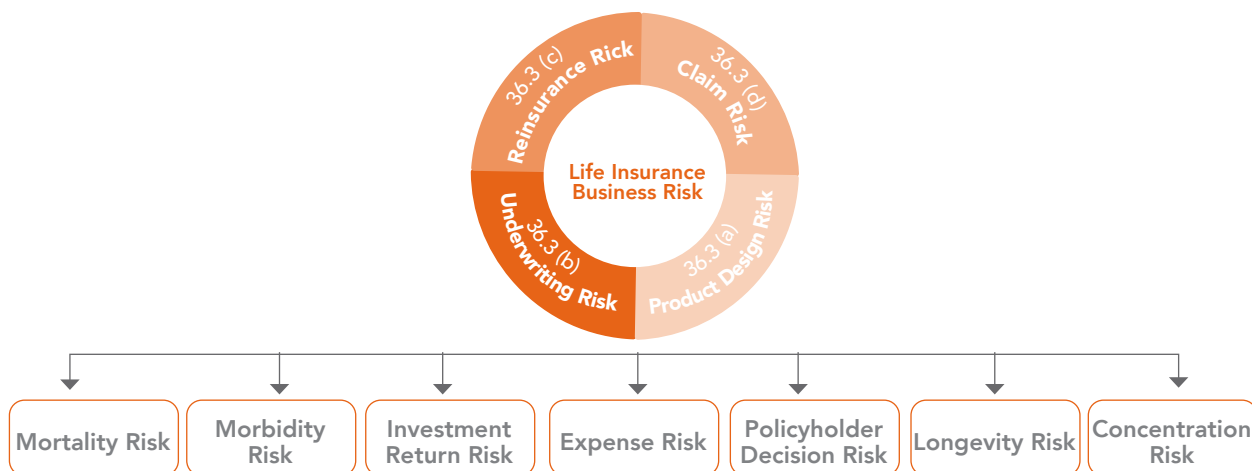
The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

c) Regulatory framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRCSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRCSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

36.3 Life Insurance Business Risk



The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

Risk Response

- Diversification across a large portfolio of insurance contracts and geographical areas.
- The variability of risks is improved by careful selection and implementation of underwriting strategy guidelines
- Use of reinsurance arrangements.
- Ensure compliance (determination) requirements imposed by the regulator (IRCSL)

Risk management procedures adopted by the Company to manage insurance risk is given on page 79 to 87.

36.3(a) Product design risk

Life insurance product design is largely depending on futuristic hypothetical assumptions. Accordingly there is a risk of introducing unprofitable product to the market due to inappropriate use of assumptions or judgments.

The risk that the company is exposed to under Life Insurance Contracts are as follows.

Risk	Description
Mortality risk	Risk of loss arising due to policyholders' death experience being different from expected
Morbidity risk	Risk of loss arising due to policyholders health related claim experience being different from expected
Longevity risk	Risk that annuitants live longer than expected.
Investment return risk	Risk that actual returns being difference from expected.
Expense risk	Risk that expenses incurred in acquiring and administering policies being difference from expected.
Policyholder behavior risk	Risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contracts are differecen from expected.
Concentration risk	Risk of losses due to maintaining inadequate product portfolio/ mix. (Over dependence on a product, product type or geographical area)

NOTES TO THE FINANCIAL STATEMENTS

36.3(b) Underwriting Risk

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

Risk responses

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

36.3(c) Reinsurance risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimising the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	A+(Superior)	AM Best
Hannover Re	AA-	Standard & Poor's

Risk Responses

- Reinsurance is placed in line with policy guidelines approved by the Board of Directors on an annual basis based on the guidelines issued by the IRCSL.
- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

The Company reinsures approximately 3- 4 % of gross written premium

For the year ended 31 December	2022	2021
	Rs.	Rs.
Gross written premium	2,318,578,356	2,311,632,930
Reinsurance	(71,539,608)	(103,292,315)
Net Written Premium	2,247,038,748	2,208,340,615

The Company has recovered approximately 7% of gross claims from reinsurers during the period under review (2021 - 9%)

For the year ended 31 December	2022	2021
	%	%
	Rs.	Rs.
Gross claims paid	926,265,262	627,709,811
Claims recovered from reinsurers	7% (66,234,222)	9% (54,571,470)
Net Claims	860,031,040	573,138,341

36.3(d) Claim Risk

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Risk responses

- Obtaining adequate Reinsurance cover
- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

36.4 Financial Risk

The Financial Risk refers to multiple types of risk associated with financing. The Company is exposed to following financial risks.



NOTES TO THE FINANCIAL STATEMENTS

36.4(a) Investment Concentration Risk

Investment concentration risk is arising due to less diversification of investment portfolio or investing too heavily in one industry, one geographic area or one type of security

Risk Response

- The Company ensures that an acceptable level of risk. diversification is maintained on an ongoing basis.
- Assets allocation limits are regularly reviewed by the Risk Officer.

Investment concentration related to financial investments is given below.

As at 31 December	2022		2021	
	Rs.	%	Rs.	%
Government securities	1,797,386,352	49	1,647,120,271	47
Corporate debt securities	794,531,247	22	1,000,967,995	30
Fixed deposits	784,289,965	21	412,220,600	12
Quoted equities	115,628,000	3	233,915,569	7
RPAF loan	100,000,000	3	100,000,000	3
Unit trusts	89,882,076	2	75,870,338	2
	3,681,717,640	100	3,470,094,773	100

36.4(b) Liquidity risk

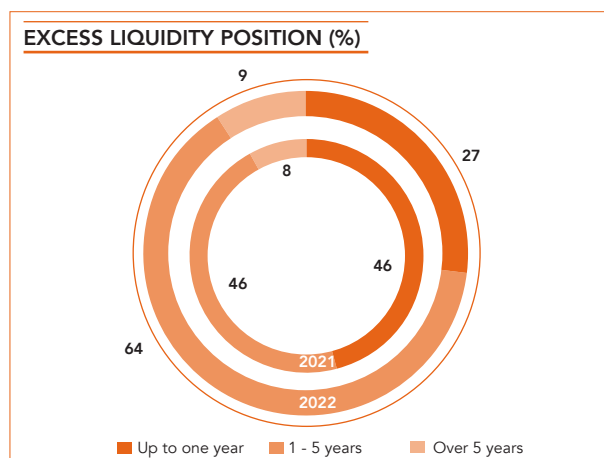
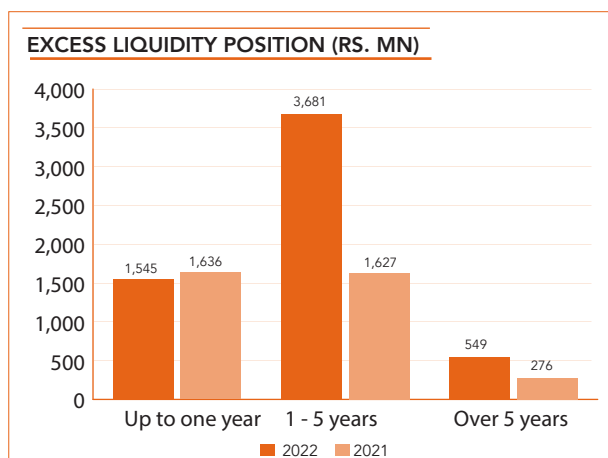
Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

Risk response

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain siSe.
- Reviewing the maturity mix of the investment portfolio by the Management and the Investment Committee (IC) on a regular basis.
- Maintaining sufficient cash balances, overnight investments and other short tenure investments to accommodate expected obligations and commitments of the Company.

Excess liquidity position of the Company excluding insurance contract liabilities is given below;

As at 31 December	2022		2021	
	Rs.	%	Rs.	%
Up to one year	1,544,598	27	1,636,297	46
1 - 5 years	3,681,095	64	1,627,301	46
Over 5 years	548,641	9	275,827	8
	5,774,334	100	3,539,425	100



The table below summarises the maturity profile of the non- derivative financial assets and Liabilities of the Company based on remaining undiscounted contractual obligations, including interest payable and receivable.

As at 31 December 2022	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,153,719	1,277,426	1,187,261	527,048	-	2,991,735
Available for sale	307,926	-	-	546,416	-	546,416
Held to maturity	1,130,191	114,783	574,786	879,291	340,734	1,909,594
Fair value through profit or loss	89,882	89,882	-	-	-	89,882
Life policyholders loans	321,812	31,665	10,072	68,044	212,031	321,812
Reinsurance receivable	1,903	1,903	-	-	-	1,903
Premiums receivable	99,335	99,335	-	-	-	99,335
Cash and cash equivalents	169,800	169,800	-	-	-	169,800
Total assets	4,274,568	1,784,794	1,772,119	2,020,799	552,765	6,130,477

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2022	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance payables	32,402	32,402	-	-	-	32,402
Amounts due to related parties	30,795	30,795	-	-	-	30,795
Other financial liabilities	117,551	117,551	-	-	-	117,551
Lease Liabilities	175,394	59,447	102,180	9,643	4,124	175,394
Total liabilities	356,143	240,196	102,180	9,643	4,124	356,143
Total excess liquidity	3,918,425	1,544,598	1,669,939	2,011,156	548,641	5,774,334

As at 31 December 2021	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,624,851	1,471,160	703,935	449,756	-	2,624,851
Available for sale	310,854	51,904	-	258,950	-	310,854
Held to maturity	224,604	-	117,084	107,520	-	224,604
Life policyholders loans	425,524	41,870	13,318	89,973	280,363	425,524
Reinsurance receivable	8,374	8,374	-	-	-	8,374
Premiums receivable	62,470	62,470	-	-	-	62,470
Cash and cash equivalents	150,015	150,015	-	-	-	150,015
Total assets	3,806,692	1,785,793	834,337	906,199	280,363	3,806,692

As at 31 December 2021	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Amounts due to related parties	2,105	2,105	-	-	-	2,105
Lease liabilities	157,443	39,672	104,005	9,230	4,536	157,443
Other financial liabilities	107,719	107,719	-	-	-	107,719
Total liabilities	267,267	149,496	104,005	9,230	4,536	267,267
Total excess liquidity	3,539,425	1,636,297	730,332	896,969	275,827	3,539,425

36.4(c) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures.

As at 31 December	2022 Rs '000	% of Allocation	2021 Rs '000	% of Allocation
Financial Investments	3,466,090	85	3,136,179	83
Life policyholders loans	321,812	8	425,525	11
Reinsurance receivable	1,903	-	8,374	-
Amounts due from related parties	21,654	1	12,002	-
Premiums receivable	99,335	2	62,470	2
Cash in hand and at bank	169,800	4	150,015	4
Total credit risk exposure	4,080,594	100	3,794,566	100

As of December 31 2022 the largest credit risk exposure of 85% (2021 - 83%) is arising from financial investments.

Credit Risk Related to Financial Investments

The Company is exposed to credit risk from counterparties where the Company holds securities issued by those entities.

Credit ratings of counterparties were downgraded during the year following downgrading of the country's overall credit rating as a direct result of suspension of servicing foreign debt. However, there is no significant impact to the financial statements stemming from downgraded debenture investments of the Company

Sri Lanka's debt to GDP ratio is approximately 121% and the government suspended its payment for International sovereign bonds in 2022. Possible domestic debt restructure (DDR) will improve the sustainability of Sri Lanka's debt and this was discussed at various forums. Depending on the form of DDR, there will be an impact to local financial system in turn the Company's financial statement as a large part of the portfolio carries government securities. As at the reporting date nature and probability of a DDR is not known. Hence, impact cannot be quantified.

Risk Response

- The Company's investment policy prohibits non-graded investments, unless specifically authorised.
- Appropriate actions are implemented when the Company identifies investments that are expected to be downgraded.
- The Company identifies and selectively reduces unsecured and subordinated credit exposure issued by third parties with weak credit profiles.
- Structured finance exposures are assessed on a look through basis prior to acquisition and not merely on the strength of prevailing credit ratings or credit profiles"

The Company actively manages its investment portfolio to ensure that there is no significant concentration of credit risk. The Company monitors concentration of credit risk by sector and instrument. An analysis of concentration of credit risk and credit quality of financial investments are shown below.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December Rs '000	Held to maturity financial assets	Loans and receivables	Available for sale financial assets	Financial assets at fair value through profit or loss	2022	% of allocation
Financial investments						
Government securities						
Treasury Bonds	1,130,191	-	192,298	-	1,322,489	32
Treasury Bills	-	70,145	-	-	70,145	2
Reverse Repo	-	404,752	-	-	404,752	10
Corporate debt securities						
A+ A-	-	376,953	-	-	376,953	9
BBB+ BB-	-	417,578	-	-	417,578	11
Deposits	-	784,290	-	-	784,290	19
Unit Trusts	-	-	-	89,882	89,882	2
Maximum exposure to credit risk, carrying amount	1,130,191	2,053,718	192,298	89,882	3,466,089	85

As at 31 December Rs '000	Held to maturity financial assets	Loans and receivables	Available for sale financial assets	Financial assets at fair value through profit or loss	2021	% of allocation
Financial investments						
Government securities						
Treasury Bonds	224,604	-	310,854	-	535,458	14
Treasury Bills	-	49,403	-	-	49,403	1
Reverse Repo	-	1,062,259	-	-	1,062,259	28
Corporate debt securities						
AAA+ AAA-	-	52,162	-	-	52,162	2
A+ A-	-	911,188	-	-	911,188	24
BBB+ BB-	-	37,618	-	-	37,618	1
Deposits	-	412,221	-	-	412,221	11
Unit Trusts	-	-	-	75,870	75,870	3
Maximum exposure to credit risk, carrying amount	224,604	2,524,851	310,854	75,870	3,136,179	83

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

(i) Government securities

As shown in table above, as at 31 December 2022, 44% (2021 - 43%) of total credit exposure are from investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31 December 2022, corporate debt securities comprise 20% (2021 - 27%) of the total credit exposure which were rated "BBB" or better.

Credit risk relating to loans to life policyholders

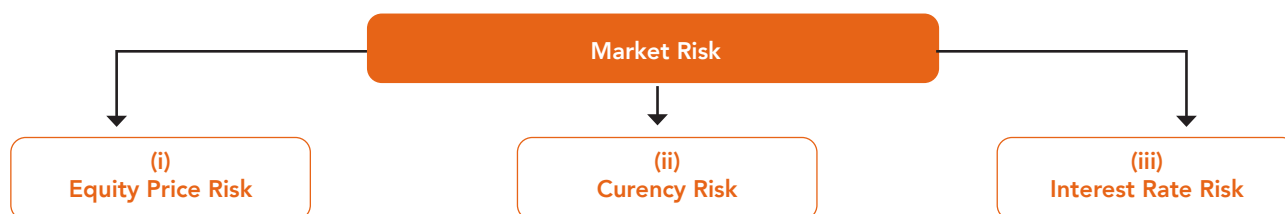
A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 321 Million (2021 - Rs. 425 Million) and its related surrender value is Rs. 533 Million (2021 - Rs. 509.5 Million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 169 Million at 31 December 2022 (2021 - Rs. 150 Million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated BBB or better.

36.4(d) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices.



Risk Response

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(i) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

NOTES TO THE FINANCIAL STATEMENTS

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

(ii) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

Risk Response

- The Company's financial assets are primarily denominated in the same currencies as its insurance.
- Prioritising critical foreign currency payments with bank partners to ensure continuous settling of foreign currency payments
- As agreed with reinsurers settling net reinsurance payment after setting off reinsurance receivable against reinsurance payable.

(iii) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Central Bank of Sri Lanka (CBSL) adopted a tightening monetary policy stance during the financial year, resulting in an upward trend in interest rates. Elevated pressures on inflation on account of many factors including increases in global commodity prices, food supply and the sharp depreciation of the currency in March 2022 have resulted in strong actions by the CBSL on monetary policy. Such actions have raised monetary policy rates significantly and helped bridge the gap between policy and market interest rates. Government security yields which have a direct bearing on the Company's investment income, increased correspondingly during the year. The Company proactively changed the asset allocation to capitalise on high interest rate environment. However, higher interest rate environment has a negative impact on capital adequacy ratio (CAR) of the Company and the Company has taken various measures to mitigate the impact on capital adequacy ratio to the possible extent

Risk Response

- The Investment Committee keeps a regular track of macroeconomic scenarios and their likely impact on interest rates and corresponding impact on the investment portfolio.
- Monthly review of upcoming cash flows and established suitable investment strategies to take advantages of the increasing interest rate.
- Proactively evaluate and execute forward purchases to lock in future cash flows at favourable interest rates.
- Initial recognition of investments is closely monitored.
- Re-design of investment portfolio to keep in par with the interest rate movements.

36.5 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Risk Response

- Segregation of duties, including the independent authorisation of transactions
- Compliance with regulatory and other legal requirements.
- Documentation of controls and procedures
- Periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Reporting of operational losses and proposed remedial actions.
- Development of contingency plans
- Ethical and business standards.
- Risk mitigation, including insurance, where it is cost effective
- Compliance with Company standards, policies and procedures is supported by a programme of periodic reviews undertaken by internal audit.
- The results of internal audit reviews are discussed, with audit committee and management

36.6 Capital Management

Objectives, Policies and Processes for Capital Management

For the purpose of the Company's capital management, capital includes stated capital, reserves and retained earnings. The primary objectives of the Company's capital management are to maximise shareholder returns, share price appreciation, sustain financial stability and financial strength.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and regulatory requirements to maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using the Risk Based Capital method.

In terms of using capital, the Company engages in following value adding processes in order to provide the desired output to its varied stakeholders, while maintaining the right balance of risk based capital required.

- Providing financial security to citiSens (Underwriting process)
- Management of overall business operations
- Prudent investments and risk management
- Delivering benefits and claims assured
- Closely follow up RBC guidelines issued by IRCSL

The Company has adequate Total Available Capital (TAC) to support the Risk-Based Capital Required (RCR) or Surrender Value Capital Charge (SVCC) whichever is higher.

NOTES TO THE FINANCIAL STATEMENTS

Summary Quantitative Data

As at 31 December	2022	2021
	Rs. (000)	Rs. (000)
Total Available Capital (TAC)	1,859,980	2,225,237
Formula Risk Based Capital Required (RCR)	476,219	478,286
Surrender Value Capital Charge (SVCC)	867,846	511,232
Risk based Capital requirement (RCR)	867,846	511,232
Risk based Capital Adequacy Ratio (CAR)	214%	435%

37. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party is in Srilanka Accounting Standard, LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the company and its related parties.

37.1 Transactions with Key Management Personnel (KMP) of the Company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors(Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

	2022	2021
	Rs.	Rs.
Short term employee benefits	757,000	800,000

37.2 Transactions with the ultimate controlling party of the company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows

Insurance contracts transactions with the ultimate controlling party of the company.

Nature of the transaction	2022	2021
	Rs.	Rs.
Insurance premium received /receivable	42,221,001	49,704,957
Claim paid	(24,424,000)	(23,235,790)

Other transactions with the ultimate controlling party of the company.

Nature of the transaction	2022	2021
	Rs.	Rs.
Interest received/receivables	12,268,000	13,538,707
Expenses incurred behalf of the company	(84,720,264)	(40,719,001)
Fund transfers	53,985,280	41,004,651

37.2(b) Transaction with / between subsidiary companies of parent company

Nature of the transaction	2022	2021
Fellow subsidiaries	Rs.	Rs.
Claim paid	(3,230,549)	(5,091,460)
Insurance premium received / receivable	8,094,654	16,172,068
Purchase of fixed assets	(8,027,640)	(4,996,329)
Rent paid	(4,995,781)	(3,952,373)
Others	(448,000)	(55,100)

37.2(c) Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeded 10% of the gross revenue of the Company as per 31 December 2022 audited financial statements, which required additional disclosures in the 2022 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

37.2(d) Non recurrent related party transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the Company as per 31 December 2022 Audited Financial Statements, which required additional disclosures in the 2022 Annual Report under Colombo stock exchange listing rule 9.3.2

38. COMMITMENT

There were no capital commitments and contingent liabilities as at the reporting date.

39. PROVISIONS AND CONTINGENCIES

Accounting Policy

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre - tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised in the profit or loss.

Contingent liabilities are disclosed if there is a possible future obligation as a result of a past event, or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated.

There have been no contingent Liabilities identified to recognise or disclose during the period

40. EVENTS OCCURRING AFTER THE REPORTING PERIOD

Accounting Policy

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue.

No events have arisen since the reporting date which would require adjustment to or disclosure in the Financial Statements.

SUPPLEMENTARY INFORMATION

INSURANCE REVENUE ACCOUNT

For the year ended 31 December	2022	2021
	Rs.	Rs.
Gross written premium	2,318,578,356	2,311,632,930
Premium ceded to reinsurers	(71,539,608)	(103,292,315)
Net written premium	2,247,038,748	2,208,340,615
Other revenue		
Fees and commission income	50,077,425	45,547,057
Investment income	244,629,752	186,654,120
Realised Gain	4,601,930	-
Other operating revenue	31,077,813	7,149,084
Total other revenue	330,386,920	239,350,261
Net income	2,577,425,668	2,447,690,876
Net insurance benefits and claims paid	(860,031,040)	(573,138,341)
Net change in insurance claims outstanding	13,762,008	(31,167,632)
Underwriting and net acquisition costs	(630,173,632)	(753,929,519)
Change in contract liabilities - life fund	(408,860,320)	(58,943,480)
Other operating and administrative expenses	(823,814,580)	(763,189,970)
Total benefits, claims and other expenses	(2,709,117,564)	(2,180,368,942)
Surplus from life insurance business	(131,691,896)	267,321,934
Shareholder Fund		
Expenses not attributable to policyholders	(4,555,644)	(362,588)
Total other revenue from shareholder fund	221,439,500	70,422,195
Income Tax Expense	(48,955,682)	(100,680,805)
Profit from shareholders' fund	167,928,174	(30,621,198)
Profit before tax	36,236,278	236,700,736

SHAREHOLDER INFORMATION

Share Ledger Management System

Twenty Largest Shareholders

As at 31 December		2022	
Name of the Shareholder		No. of Shares	%
1.	Kegalle Plantations Limited	26,685,001	40.29
2.	Richard Pieris Distributors Limited	17,790,001	26.86
3.	Richard Pieris And Co Ltd	15,125,001	22.84
4.	Mr. D.G. Wijemanna	1,587,105	2.40
5.	Mrs.T.T.A.De Silva Weerasooria	763,254	1.15
6.	Mr.C.S.N.Silvapulle	668,399	1.01
7.	Mr. Mr.J.P.Paul	343,113	0.52
8.	T R L Holdings (Pvt) Limited	300,000	0.45
9.	Mr.A.P.Arumugampillai Annamalai Pillai	200,000	0.30
10.	Mr.D.P.Navaratnam Dinesh Prakash	181,400	0.27
11.	Mr.T.A.N.Gomis	140,257	0.21
12.	Peoples Leasing & Finance Plc/Mr.K.J. Gamage	135,261	0.20
13.	Mr.S.A.Obeyesekere Siridev Ajit	103,300	0.16
14.	Trading Partners (Pvt) Ltd	100,000	0.15
15.	Flybrunei Sdn Bhd	99,700	0.15
16.	Mr.M.L.A.Benedict Mark Lawrence Ajit	93,500	0.14
17.	Mr.S.D.L.K.Lakmal	86,641	0.13
18.	Peoples Leasing & Finance PLC/Mr.K	86,531	0.13
19.	Mr.B.T.De S Weerasooria	80,000	0.12
20.	Mr.H.A.S.Madanayake Hiran Arjuna Surendra	78,300	0.12
Other		1,583,643	2.40
		66,230,407	100

As at 31 December		2022		2021	
Composition of Shareholders		No. of Shareholders	No. of Shares	% of Shareholding	
Institutional investors		34	60,442,084	91%	35
Individual investors		726	5,788,323	9%	642
Total		760	66,230,407	100%	677
Resident investors		749	65,701,539	99%	664
Non-resident investors		11	528,868	1%	13
Total		760	66,230,407	100%	677

Distribution of Shareholdings	2022			2021		
	No. of Shareholders	No. of Shares Held	%	No. of Shareholders	No. of Shares Held	%
Less than or equal						
1 - 1,000	570	127,706	0.19	512	112,368	0.17
1,001 - 10,000	135	533,419	0.81	113	443,107	0.67
10,001 - 100,000	41	1,557,583	2.35	38	1,405,493	2.12
100,001 - 1,000,000	10	2,824,591	4.26	10	3,239,702	4.89
Over 1,000,000	4	61,187,108	92.39	4	61,029,737	92.15
Grand total	760	66,230,407	100	677	66,230,407	100

Directors Shareholdings

No. of shares as at 31 December	2022	2021
Mrs. Lasinee Serasinhe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr. Viville Perera [Resigned w.e.f. 30.06.2022]	N/A	Nil
Mr. Saravanapavan Sirikananathan [Resigned w.e.f. 30.06.2022]	N/A	Nil

Market Price Per Share

For the year ended 31 December	2022	2021
	Rs.	Rs.
Net Asset Value Per Share	30.3	31.6
Highest Price Per Share	23.4	29.0
Lowest Price Per Share	15.0	21.8
Last traded Price Per Share	22.9	22.7

QUARTERLY ANALYSIS INCOME STATEMENT

QUARTERLY ANALYSIS	2022				
	31 March 2022	30 June 2022	30 September 2022	31 December 2022	Total
For the quarter ended	Rs	Rs	Rs	Rs	Rs
Revenue					
Gross written premium	608,876,917	509,814,602	564,586,267	635,300,570	2,318,578,356
Premium ceded to reinsurers	(10,094,950)	(15,242,382)	(19,125,890)	(27,076,386)	(71,539,608)
Net written premium	598,781,967	494,572,220	545,460,377	608,224,184	2,247,038,748
Other revenue					
Fee and commission income	8,563,477	11,535,738	8,905,150	21,073,060	50,077,425
Income from investments	74,402,638	100,566,660	123,813,762	153,274,455	452,057,515
Net fair value gains / (losses)	1,479,427	2,809,084	3,359,793	6,363,434	14,011,738
Net realised gains	-	-	-	4,601,930	4,601,930
Other income	1,388,382	1,135,943	931,567	27,621,921	31,077,813
Total other revenue	85,833,924	116,047,425	137,010,272	212,934,800	551,826,421
Net income	684,615,891	610,619,645	682,470,649	821,158,984	2,798,865,169
Net insurance benefits and claims	(152,905,634)	(133,712,098)	(179,446,066)	(380,205,234)	(846,269,032)
Underwriting and net acquisition costs	(166,508,677)	(164,382,493)	(143,622,415)	(155,660,047)	(630,173,632)
Change in contract liabilities - life fund	(86,750,515)	(49,109,344)	(106,118,303)	(166,882,546)	(408,860,708)
Other operating and administrative expenses	(252,055,269)	(206,802,445)	(195,675,889)	(173,836,234)	(828,369,837)
Net benefits and claims	(658,220,095)	(554,006,380)	(624,862,673)	(876,584,061)	(2,713,673,209)
Profit/(Loss) before tax	26,395,796	56,613,265	57,607,976	(55,425,077)	85,191,960
Income tax expense	-	-	-	(48,955,682)	(48,955,682)
Profit/(Loss) for the period	26,395,796	56,613,265	57,607,976	(104,380,759)	36,236,278

2021				
31 March 2021	30 June 2021	30 September 2021	31 December 2021	Total
Rs	Rs	Rs	Rs	Rs
786,649,069	451,965,247	495,690,790	577,327,824	2,311,632,930
(36,169,821)	(18,859,839)	(27,130,996)	(21,131,659)	(103,292,315)
750,479,248	433,105,408	468,559,794	556,196,165	2,208,340,615
11,840,702	10,069,451	13,430,710	10,206,194	45,547,057
63,675,705	60,489,168	63,880,664	68,160,440	256,205,977
-	-	-	870,338	870,338
-	-	-	-	-
1,819,845	1,388,613	1,904,340	2,036,286	7,149,084
77,336,252	71,947,232	79,215,714	81,273,258	309,772,456
827,815,500	505,052,640	547,775,508	637,469,423	2,518,113,071
(180,868,482)	(95,171,256)	(144,387,698)	(183,878,537)	(604,305,973)
(262,503,750)	-183,106,507	(145,352,623)	(162,966,639)	(753,929,519)
(177,006,308)	(20,751,507)	(12,484,409)	151,298,744	(58,943,480)
(190,567,499)	-191,724,852	(228,068,658)	(153,191,549)	(763,552,558)
(810,946,039)	(490,754,122)	(530,293,388)	(348,737,981)	(2,180,731,530)
16,869,461	14,298,518	17,482,120	288,731,442	337,381,541
-	-	(4,195,684)	(96,485,121)	(100,680,805)
16,869,461	14,298,518	13,286,436	192,246,321	236,700,736

DECADE AT A GLANCE

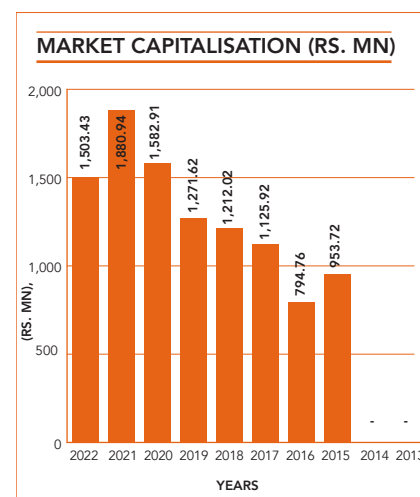
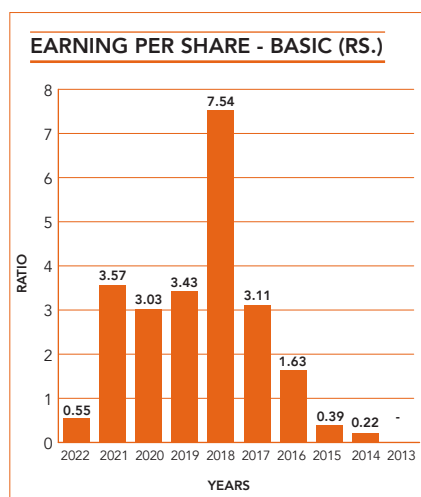
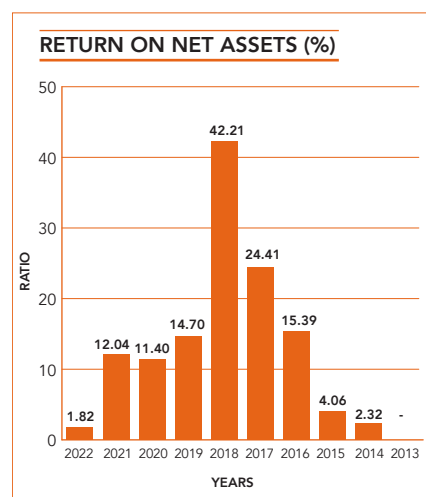
INCOME STATEMENT

For the year ended

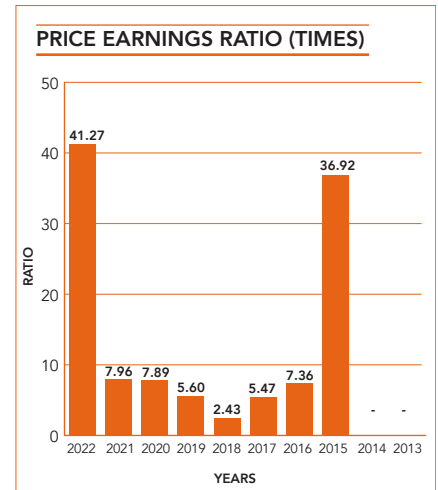
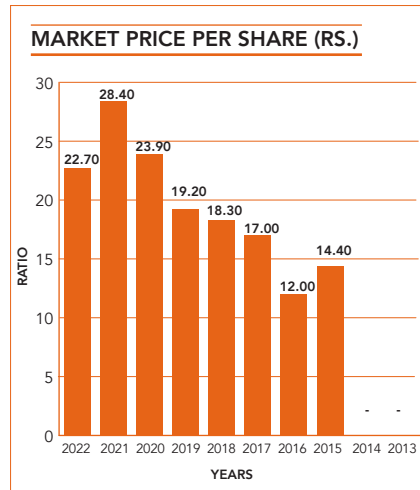
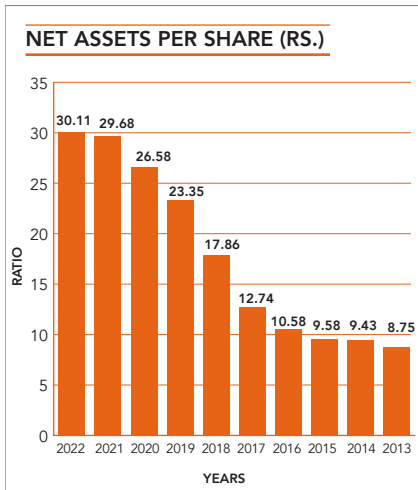
	2022	2021	2020
	Rs.	Rs.	Rs.
Gross written premium	2,318,578,356	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	(71,539,608)	(103,292,315)	(91,424,657)
Net written premium	2,247,038,748	2,208,340,615	1,744,675,604
Other revenue			
Fees and commission income	50,077,425	45,547,057	34,222,629
Investment income	452,057,515	256,205,977	253,389,343
Fair value gains / (losses)	14,011,738	870,338	-
Net realised gains	4,601,930	-	-
Other operating revenue	31,077,813	7,149,084	9,039,175
Total other revenue	551,826,421	309,772,456	296,651,147
Net income	2,798,865,169	2,518,113,071	2,041,326,751
Net insurance benefits and claims paid	(860,031,040)	(573,138,341)	(395,053,475)
Net change in insurance claims outstanding	13,762,008	(31,167,632)	(7,955,560)
Underwriting and net acquisition costs	(630,173,632)	(753,929,519)	(418,946,461)
Change in contract liabilities - life fund	(408,860,708)	(58,943,480)	(296,040,673)
Other operating and administrative expenses	(747,448,886)	(670,118,030)	(557,458,730)
Depreciation and Amortisation	(80,920,951)	(93,434,528)	(87,276,940)
Total benefits, claims and other expenses	(2,713,673,209)	(2,180,731,530)	(1,762,731,839)
Profit before tax	85,191,960	337,381,541	278,594,912
Income tax (expense)/reversal	(48,955,682)	(100,680,805)	(77,918,674)
Profit for the year	36,236,278	236,700,736	200,676,238

DECADE AT A GLANCE

VIEW THROUGH RATIOS



2019	2018	2017	2016	2015	2014	2013
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
1,633,157,997	1,387,432,253	1,038,085,079	745,386,354	482,447,118	297,439,405	206,494,248
(88,849,485)	(41,327,272)	(28,370,148)	(24,436,905)	(21,833,476)	(11,944,255)	(12,593,608)
1,544,308,512	1,346,104,981	1,009,714,931	720,949,449	460,613,642	285,495,150	193,900,640
28,825,103	10,666,036	8,064,174	6,269,983	4,249,018	2,983,134	2,153,764
261,012,023	205,215,741	163,757,872	114,148,063	78,565,662	73,303,028	85,848,693
21,327,018	13,823,318	85,349	(1,089,247)	1,477,455	16,342	-
-	-	-	-	-	-	-
10,573,868	6,935,285	5,872,807	4,773,224	3,501,200	2,122,425	2,514,465
321,738,012	236,640,380	177,780,202	124,102,023	87,793,335	78,424,929	90,516,922
1,866,046,524	1,582,745,361	1,187,495,133	845,051,472	548,406,977	363,920,079	284,417,562
(298,735,091)	(164,148,852)	(117,741,823)	(78,125,724)	(65,985,012)	(41,509,012)	(25,462,975)
(7,350,853)	(4,797,718)	(2,015,224)	(872,422)	(2,224,490)	1,393,393	(4,656,106)
(374,031,638)	(319,820,986)	(213,455,102)	(114,124,472)	(93,743,779)	(58,706,090)	(37,969,091)
(221,785,330)	(309,732,195)	(280,513,648)	(290,207,532)	(155,787,012)	(97,915,660)	(110,543,800)
(563,234,348)	(565,145,575)	(355,656,190)	(247,014,772)	(198,910,263)	(150,155,288)	(136,032,070)
(84,801,644)	(20,265,126)	(12,099,932)	(6,817,379)	(6,027,190)	(4,040,195)	(3,099,262)
(1,549,938,904)	(1,383,910,452)	(981,481,919)	(737,162,301)	(522,677,746)	(350,932,852)	(317,763,304)
316,107,620	198,834,909	206,013,214	107,889,171	25,729,231	12,987,227	(33,345,742)
(88,849,801)	300,349,604	-	-	-	-	-
227,257,819	499,184,513	206,013,214	107,889,171	25,729,231	12,987,227	(33,345,742)



DECADE AT A GLANCE

STATEMENT OF FINANCIAL POSITION

As at 31 December	2022	2021	2020
	Rs.	Rs.	Rs.
Assets			
Intangible assets	1,118,327.00	586,844	413,031
Property, plant and equipment	75,284,032.00	57,691,938	59,060,218
Right of use assets	163,439,549.00	129,675,417	137,336,423
Deferred tax asset	-	36,979,105	137,659,910
Financial assets	3,681,717,640.00	3,470,094,773	2,682,476,454
Loans to life policyholders	321,812,161.00	425,525,375	389,694,262
Reinsurance receivables	1,902,666.00	8,373,896	7,170,413
Amounts due from related parties	21,654,039.00	12,002,002	6,448,559
Premium receivable	99,334,584.00	62,470,094	30,808,290
Other assets	83,994,218.00	62,822,687	55,874,973
Cash and cash equivalents	169,799,679.00	150,015,184	668,548,192
Total assets	4,620,056,895.00	4,416,237,315.00	4,175,490,725.00
Equity and liabilities			
Shareholders' equity			
Stated capital	675,564,870.00	675,564,870	675,564,870
Retained earnings	1,458,445,722.00	1,422,126,083	1,185,243,956
Available for sale reserves	(216,692,952.00)	(26,545,650)	-
Total ordinary shareholders' equity	1,917,317,640.00	2,071,145,303.00	1,860,808,826.00
Liabilities			
Insurance contract liabilities	2,241,859,388.00	1,897,003,107	1,904,914,105
Employee benefit obligation	17,057,855.00	16,146,223	14,743,507
Reinsurance payables	32,402,323.00	70,001,400	85,918,647
Lease liabilities	175,394,254.00	157,443,360	155,319,117
Amounts due to related parties	30,795,272.00	2,105,460	16,573,459
Other financial liabilities	117,550,937.00	107,718,526	79,190,578
Other liabilities	87,679,226.00	94,673,936	58,022,486
Bank overdraft	-	-	-
Total liabilities	2,702,739,255.00	2,345,092,012.00	2,314,681,899.00
Total equity and liabilities	4,620,056,895.00	4,416,237,315.00	4,175,490,725.00
DECADE AT A GLANCE VIEW THROUGH RATIOS			
Investor Information			
Return on Net Assets (%)	1.82	12.0	11.4
Earning per share - basic (Rs.)	0.55	3.6	3.0
Net Assets Per Share (Rs.)	30.11	29.7	26.6
Market Price Per Share (Rs.)	22.70	28.4	23.9
Market Capitalisation (Rs. Mn)	1,503	1,881	1,583
Price Earnings Ratio (Times)	41.3	8.0	7.9
Other Information			
No of Shares ('000)	66,230	66,230	66,230

STATEMENT OF FINANCIAL POSITION OF THE LIFE INSURANCE FUND

As at 31 December	2022	2021
	Rs.	Rs.
Assets		
Intangible assets	1,118,327	586,844
Property, plant and equipment	75,284,032	57,691,937
Right of use assets	163,439,549	129,675,417
Financial assets	1,927,560,234	1,956,332,106
Loans to life policyholders	321,812,161	425,525,376
Reinsurance receivables	1,902,666	8,373,895
Amounts due from related parties	21,654,039	12,002,002
Premium receivable	99,334,584	62,470,095
Other assets	61,146,518	5,971,914
Cash and cash equivalents	167,128,864	150,015,184
Total assets	2,840,380,974	2,808,644,770
Reserves and liabilities		
Reserves		
Other reserves	632,509	549,149
Total ordinary shareholders' equity	632,509	549,149
Liabilities		
Insurance contract liabilities	2,241,858,505	1,897,003,000
Employee benefit obligation	17,057,855	16,146,223
Reinsurance payables	32,402,323	70,001,399
Lease Liabilities	175,394,254	157,443,360
Amounts due to related parties	30,795,272	2,105,459
Other financial liabilities	266,537,221	87,176,794
Other liabilities	75,703,035	578,219,386
Total liabilities	2,839,748,465	2,808,095,621
Total equity and liabilities	2,840,380,974	2,808,644,770

GLOSSARY OF INSURANCE TERMS

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

ACTUARIAL VALUATION

A determination by an actuary at a specific date of the value of a life insurance company's asset and its liabilities. The purpose of a valuation is to determine if the company old adequate assets to fund the company's liabilities.

AVAILABLE FOR SALE (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

AVERAGE PREMIUM PER POLICY

Measures of Total premium divided by number of policies. This is a measure to understand market segment company is accessing.

BENEFICIARY

A person named by the policyholder as the recipient of the sum insured and other benefits due in the event of the policyholder's death.

CASH FLOWS STATEMENT

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

CLAIMS OUTSTANDING – LONG TERM INSURANCE

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

COMBINED RATIO

Sum of the loss ratio and expense ratio.

COMMISSION

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

DEPOSIT PREMIUM

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

EARNINGS PER SHARE

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

ENDOWMENT

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

EX-GRATIA PAYMENT

A payment made to an insured where there is no liability to pay under the terms of the policy. In some cases, an insurer may feel there has been a mistake or a misunderstanding and it may pay claim, even though he does not appear to be liable.

FAIR VALUE

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

GROSS WRITTEN PREMIUM – LIFE

Premium to which the insurer is contractually entitled and received in the accounting period.

INSURANCE

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

INSURANCE PROVISION – LONG TERM

The fund or funds to be maintained by an insurer in respect of its long-term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

LIFE SURPLUS

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

LONG TERM INSURANCE

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Glossary of Insurance Terms

MATURITY

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

NET WRITTEN PREMIUM

Gross written premium less reinsurance premium payable.

NET CLAIMS INCURRED

Claims incurred less reinsurance recoveries.

POLICY LOANS

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

PREMIUM

The consideration payable by the insured for an insurance contract.

PROFIT COMMISSION

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

REVENUE ACCOUNT

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

REINSURANCE

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

REINSURANCE COMMISSION

Commission received or receivable in respect of premium paid or payable to a reinsurer.

REINSURANCE PREMIUM

The premium payable to the reinsurer.

RISK BASED CAPITAL (RBC)

Amount of required capital that the insurance company must maintain based on the inherent risks in the insurer's operations. These risks include Asset Depreciation Risk, Credit Receivables Risk, Underwriting Risk and Off-Balance-Sheet Risk.

RISK-BASED CAPITAL ADEQUACY RATIO (CAR)

The capital adequacy ratio (CAR) is a measurement of available capital expressed as a percentage of risk weighted credit exposures.

$$RCAR = \frac{\text{Total Available Capital}}{\text{Risk Based Capital Required}} \times 100$$

SOLVENCY MARGIN – LIFE

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

SURRENDER

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

SURRENDER VALUE

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

CORPORATE INFORMATION

THE COMPANY

Arpico Insurance PLC

LEGAL FORM OF THE COMPANY

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007.

COMPANY REGISTRATION NO.

P B 4739 P Q

STOCK EXCHANGE LISTING

The shares of the Company are Listed on the Colombo Stock Exchange, Diri Savi Board

ACCOUNTING YEAR-END

December 31st

TAX PAYER IDENTIFICATION NUMBER (TIN)

134047399

REGISTERED OFFICE

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 100
Fax : 0114 310 777

CORPORATE OFFICE

Arpico Insurance PLC
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 900
Fax : 0112 330 713

BOARD OF DIRECTORS OF ARPICO INSURANCE PLC

Mr. Shiron Gooneratne
Mrs. Lasinee Serasinhe
Mrs. Dilukshika Fernando

CHIEF EXECUTIVE OFFICER

Mr. Kelum Senanayake

MANAGEMENT COMMITTEE

Mr. Toni Kitchilan
General Manager - Corporate Affairs

Mr. Pramoda Karunathilaka
General Manager Partnerships & Strategic Planning

Mrs. Sriyonie Mendis
Deputy General Manager - Life Operations / Specified Officer

Mr. P Vanojan
Snr. Asst. General Manager

Mr. Sidesh Jayasekara
Asst. General Manager-National Recruitment & Development

Mr. Nelushan Gunewardena
Head of Marketing

Mr. Piyal Gunewardena
Head of Training

Mr. Prashan Jayatissa
Senior Manager – Actuarial, Risk, Compliance, and Investments

Mrs. L A C Priyanthi- Manager Actuarial

Mrs. Pavithra Peiris- Manager Conservation & Customer Care

Mr. S.H. Dulanjith Kaweesha
Finance Controller

SECRETARIES OF THE COMPANY

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

AUDITORS TO THE COMPANY

Ernst & Young Chartered Accountants
No. 201, De Saram Place, Colombo 10.
Tel : 0112 463 500
Fax : 0112 697 369

CONSULTANT ACTUARY

Actuarial Partners Consulting Sdn Bhd.

REINSURANCE PANEL

Partner Reinsurance ASIA Pte Ltd
Munich Re India Branch

BANKERS TO THE COMPANY

National Development Bank PLC
Commercial Bank of Ceylon PLC
Union Bank of Colombo PLC
Seylan Bank PLC
Sampath Bank PLC
People's Bank
Pan Asia Banking Corporation PLC
Nations Trust Bank
Hatton National Bank PLC
DFCC Bank PLC
Bank of Ceylon
National Savings Bank
Regional Development Bank
SANASA Development Bank PLC

FOR ANY CLARIFICATION ON THIS REGARD PLEASE WRITE TO;

Accountant
D.D.Thushara Rawidewa
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 924
Email: ravidewa.t@arpicoinsurance.com

Hanwella-Metro 93/4/2/1, Main Street, Hanwella Tel: 362238010	Horana 19/A/2/1, Sri Somananda Mawatha, Horana. 342031050	Ja-Ela 1/A, Dr. Jayathajayawardana Rd, Weligampitiya, Ja Ela Tel: 112127070 ja-ela@arpicoinsurance.com
Jaffna No.86, Navalar Road, Jaffna Tel: 212035000 jaffna@arpicoinsurance.com	Kadawatha 172/21-22, Ragama Road, Mahara, Kadawatha Tel: 112127060 kadawatha@arpicoinsurance.com	Kaluthara 398A, Galle Road, Kaluthara North Tel: 342031262 kaluthara@arpicoinsurance.com
Kandy 204, Katugasthota Road, Kandy Tel: 812207000 kandy@arpicoinsurance.com	Kalmunai 140/1/2, Main Street, Kalmunai Tel: 672117410	Karapitiya No. 197/1/1, Wakkwella Road, Galle Tel: 912209000 karapitiya@arpicoinsurance.com
Kegalle 311 G, Colombo Road, Ranwala, Kegalle Tel: 352031010 kegalle@arpicoinsurance.com	Kilinochchi A9 Road, Karadepokku, Kilinochchi Tel: 212035030 kilinochchi@arpicoinsurance.com	Kottawa Arpico Supercenter, 296, Highlevel Road, Makumbura, Pannipitiya Tel: 112127110 kottawa@arpicoinsurance.com
Kurunegala Mallika Bldg. Colombo Rd, Wandurugala, Kurunegala Tel: 372031000 kurunegala@arpicoinsurance.com	Mahiyanganaya 201, Padiyathalawa Road, Mahiyanganaya Tel: 552031020 mahiyanganaya@arpicoinsurance.com	Mannar 144, Main Street, Sinnakudy, Mannar Tel: 232031000 mannar@arpicoinsurance.com
Matara Arpico Supercenter, 584, Anagarika Darmapala Mw, Walgama, Matara Tel: 412031000 mathara@arpicoinsurance.com	Mathugama 62, Ananda Mawatha, Mathugama Tel: 342031000 mathugama@arpicoinsurance.com	Monaragala 142, Wellawaya Road, Monaragala Tel: 552031010 monaragala@arpicoinsurance.com
Moratuwa 612, 1/1, Galle Rd, Rawathawatta, Moratuwa Tel: 112425016 moratuwa@arpicoinsurance.com	Mullathivu No. 52, Opposite Police Station, PWD Road, Mullathivu Tel: 212035020 mulathiwe@arpicoinsurance.com	Mutur 3D, Junction, Periya Palam, Muttur
Negombo 349/1 A, Main Sreet, Negombo Tel: 312035000 negombo@arpicoinsurance.com	Nochchiyagama Opposite Vidyadarsha Maha Vidyalaya, Puttalam Road, Nochchiyagama Tel: 252031010 nochchagama@arpicoinsurance.com	Nuwara Eliya 170, Badulla Road, Nuwara Eliya Tel: 522231000 nuwaraeliya@arpicoinsurance.com
Panadura 445/1/1, Galle Road, Panadura Tel: 382034000 panadura@arpicoinsurance.com	Polonnaruwa 125/1A, Batticaloa Road, Polonnaruwa Tel: 272117300 polonnaruwa@arpicoinsurance.com	Puttalam No. 171/A, Kurunegala Road, Puttalam. Tel: 322035000 putalam@arpicoinsurance.com
Rathnapura 450/1/1, Pizza Hut Building, 1st Floor, Depot Junction, Rathnapura. Tel: 452235000 rathnapura@arpicoinsurance.com	Thambuttegama No 145, Anuradhapura road, Rejina Junction, Thambuththegama Tel : 252031030	Thissamaharama 43/2, Hambanthota Road, Kachcheriyagama, Thissamaharama. Tel: 472037020 thissamaharama@arpicoinsurance.com
Trincomalee No. 314, Central Road, Trincomalee Tel: 262031000 trinco@arpicoinsurance.com	Vaichenai Main Street, Karuwakerny, Vaichenai Tel: 652031000 valachenai@arpicoinsurance.com	Vavuniya 52, A9 Road, Vavuniya Tel: 242230012 vauniya@arpicoinsurance.com
Warakapola 25E 1/1, Darmasiri Senanayake Mw, Piladuwa, Warakapola Tel: 352031000 warakapola@arpicoinsurance.com	Wattala 669/1/1, Keragapokuna, Wattala. Tel: 112127280 wattala@arpicoinsurance.com	Welimada 206, Nuwara Eliya Road, Welimada Tel: 572236000 welimada@arpicoinsurance.com
S4 - Kandy No. 7 1/1, Temple road, Kandy Tel : 812034020	S4 - Matara No. 101, New Tangalle Road, Kotuwegoda, Matara Tel : 412031030	S4 - Nuwara Eliya No. 170/4, Bambarakele, Nuwara Eliya 522030510

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 11th Annual General Meeting of Arpico Insurance PLC will be held at the Richard Pieris and Company Auditorium, No. 310, High Level Road, Nawinna, Maharagama, Sri Lanka. on 23rd June 2023 at 3.30 p.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2022 with the Report of the Auditors thereon.
2. To elect Mr. Ramal Githan Jasinghe who retires in terms of Article 29 (2) at the Annual General Meeting, a Director
3. To re-elect Mrs. Dilukshika N Fernando who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.
4. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
5. To authorize the Directors to determine contributions to charities.
6. To consider any other business of which due notice has been given

By order of the Board,

Sgd.

Richard Pieris Group Services (Private) Limited
Secretaries

19th May 2023

Notes:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
 - b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report
 - c) A Member wishing to vote by Proxy at the Meeting may use the Form of Proxy enclosed.
 - d) The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama., not less than 48 hours before the time appointed for the holding of the meeting.
-

NOTES

FORM OF PROXY

I/We* (in block letters) of
..... being a
member / members of the ARPICO INSURANCE PLC , hereby appoint
..... of
.....

whom failing LASINEE SRIYANTHIE AMALA SERASINHE whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE whom failing WEWALAGE DILUKSHIKA NILANGI FERNANDO whom failing RAMAL GITHAN JASINGHE as my/our proxy to represent me/us and to vote on my/our behalf at the 11TH ANNUAL GENERAL MEETING of the Company to be held on 23rd June 2023 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

Please indicate your preference by placing a 'X' in the box of your choice against each Resolution

	For	Against
1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2022 with the Report of the Auditors thereon.	☐	☐
2. To elect Mr. Ramal G Jasinghe , who retires in terms of Article 29(2) at the Annual General Meeting , a Director	☐	☐
3. To re-elect Mrs. Dilukshika N Fernando, who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
4. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
5. To authorize the Directors to determine contributions to charities	☐	☐
6. To consider any other business of which due notice has been given	☐	☐

Signed this.....day of2023

.....
Signature of shareholder

Note:

- Please delete the inappropriate words.
- A proxy need not be a member of the Company.
- Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

- To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 3.30 p.m. on Wednesday 21st June 2023.
- In perfecting the Form of Proxy, please ensure that all details are legible.
- In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
- Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.
- This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

STAKEHOLDER FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return this page to,

Richard Pieris Group Services (Pvt) Limited

No. 310, High Level Road,

Nawinna, Maharagama.

Sri Lanka.

Tel : 0114 310 500

Fax : 0114 310 777

E mail : nishadhi.s@arpico.com

Name :

Permanent Mailing Address :

Contact Numbers (Tel) :

Country Code

Area Code

Number

(Fax) :

Country Code

Area Code

Number

Email :

Name of Company :

(If Applicable)

Designation :

(If Applicable)

Company Address :

(If Applicable)

Comments/Queries :

.....

.....

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